

COVER SHEET

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S.E.C. Registration Number

J	O	L	L	I	B	E	E		F	O	O	D	S		C	O	R	P	O	R	A	T	I	O	N				
D	O	I	N	G		B	U	S	I	N	E	S	S		U	N	D	E	R		T	H	E		N	A	M	E	
A	N	D		S	T	Y	L	E		O	F		J	O	L	L	I	B	E	E									

(Company's Full Name)

10/F		J	O	L	L	I	B	E	E		P	L	A	Z	A		B	U	I	L	D	I	N	G				
10		F.		O	R	T	I	G	A	S		J	R	.		A	V	E	N	U	E							
O	R	T	I	G	A	S		C	E	N	T	E	R	,		P	A	S	I	G		C	I	T	Y			

(Business Address: No. Street City / Town / Province)

Atty. Vera Marie Baustista-King
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Contact Person

(632) 8634-1111

Company Telephone Number

31-Dec

Month Day Year
Fiscal Year

Last Friday of June

Month Day Year
Annual Meeting

17Q

Second Quarter Ended June 30, 2025

Secondary License Type, If Applicable

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Dept. Requiring this Doc.

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Amended Articles Number/Section

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Total no. of Stockholders

Total Amount of Borrowings

--

Domestic

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Foreign

To be accomplished by SEC Personnel concerned

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File Number

LCU

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Document I.D.

Cashier

STAMPS

Remarks = please use **black ink** for scanning purposes

COVER SHEET

JOLLIBEE FOODS CORPORATION

Doing business under the name and style of Jollibee

(Company's Full Name)

10/F Jollibee Plaza Building

10 F. Ortigas Jr. Avenue,

Ortigas Center, Pasig City

(Company's Address)

(632) 8634-1111

Telephone Number

December 31

(Fiscal Year Ending)

Last Friday of June

(Annual Meeting)

SEC Form 17-Q

Quarterly Report

Second Quarter Ended June 30, 2025

(Form Type)

Amendment Designation (If applicable)

(Secondary License Type and File Number)

Cashier

LCU

DTU

77487
S.E.C REG. No.

Central Receiving Unit

File Number

Document I.D.

SECURITIES AND EXCHANGE COMMISSION SEC FORM 17-Q
QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE
SECURITIES REGULATIONS CODE (SRC) AND SRC RULE 17 (2)(b) THEREUNDER

1. For the quarterly period ended: **June 30, 2025**
2. Commission identification number: **77487**
3. BIR Tax Identification No.: **000-388-771**
4. **JOLLIBEE FOODS CORPORATION**
doing business under the name and style of Jollibee
Exact name of registrant as specified in its charter
5. **PHILIPPINES**
Province, country or other jurisdiction of incorporation or organization
6. Industry classification code: (SEC Use Only)
7. **10/F JOLLIBEE PLAZA BUILDING, 10 F. ORTIGAS JR. AVENUE, ORTIGAS CENTER, PASIG CITY**
Address of registrant's principal office

1605
Postal Code
8. **(632) 8634-1111**
Registrant's telephone number, including area code
9. **N/A**
Former name, former address and former fiscal year, if changed since last report.
10. Securities registered pursuant to Sections 4 and 8 of the RSA

Common Shares (JFC)	1,120,620,545
Preferred Shares (JFCPB)	9,000,000
Treasury Shares - Common	16,447,340
Treasury Shares - Preferred (JFCPA)	3,000,000

11. Are any or all of the securities listed on the Philippine Stock Exchange?

Yes [X] No []

12. Indicate by check mark whether the registrant:

(a) has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder and Sections 26 and 141 of the Corporation Code of the Philippines during the preceding 12 months (or for such shorter period the registrant was required to file such report)

Yes [X] No []

(b) has been subject to such filing requirements for the past 90 days

Yes [X] No []

No other material information.

SIGNATURE:

JOLLIBEE FOODS CORPORATION
Registrant



RICHARD SHIN
Chief Financial Officer &
Corporate Information Officer

PART 1 – FINANCIAL INFORMATION

Item 1. Financial Statements

a.	Consolidated Statements of Financial Position as at June 30, 2025 (Unaudited) and December 31, 2024 (Audited)
b.	Unaudited Consolidated Statements of Comprehensive Income for the Quarters Ended June 30, 2025 and 2024
c.	Unaudited Consolidated Statements of Comprehensive Income for the Six Months Ended June 30, 2025 and 2024
d.	Unaudited Consolidated Statements of Changes in Equity for the Six Months Ended June 30, 2025 and 2024
e.	Unaudited Consolidated Statements of Cash Flows for the Six Months Ended June 30, 2025 and 2024
f.	Store Network and System Wide Sales
g.	Notes to Unaudited Consolidated Financial Statements
h.	Unaudited Supplementary Schedules Required by Annex 68-J for the Six Months Ended June 30, 2025
i.	Schedule of Financial Soundness Indicators for the Six Months Ended June 30, 2025 (Unaudited) and Year Ended December 31, 2024 (Audited)

JOLLIBEE FOODS CORPORATION
Doing business under the name and style of Jollibee
AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

(Amounts in Thousand Pesos)

	June 30, 2025 (Unaudited)	December 31, 2024 (Audited)	Change	
			Amount	Pct
ASSETS				
Current Assets				
Cash and cash equivalents (Notes 6, 31 and 32)	31,940,484	29,326,649	2,613,835	8.9
Short-term investments (Notes 6, 31 and 32)	715,420	85,455	629,965	737.2
Financial assets at fair value through profit or loss (Notes 10, 31 and 32)	210,531	211,534	(1,003)	(0.5)
Receivables and contract assets (Notes 7, 31 and 32)	9,846,126	10,802,515	(956,389)	(8.9)
Inventories (Note 8)	15,855,141	13,872,706	1,982,435	14.3
Other current assets (Note 9)	11,915,382	11,476,061	439,321	3.8
Total Current Assets	70,483,084	65,774,920	4,708,164	7.2
Noncurrent Assets				
Financial assets at fair value through profit or loss (Notes 10, 31 and 32)	375,125	374,046	1,079	0.3
Interests in and advances to joint ventures, co-venturers and associates (Note 11)	17,118,274	26,827,599	(9,709,325)	(36.2)
Property, plant and equipment (Note 12)	45,039,050	43,893,416	1,145,634	2.6
Investment properties (Notes 13 and 32)	86,347	89,395	(3,048)	(3.4)
Right-of-use assets (Note 29)	42,527,120	44,529,498	(2,002,378)	(4.5)
Trademarks, goodwill and other intangible assets (Notes 14)	78,334,641	67,794,488	10,540,153	15.5
Deferred tax assets - net (Note 24)	9,946,001	9,372,429	573,572	6.1
Other noncurrent assets (Notes 15, 31 and 32)	5,310,952	4,895,103	415,849	8.5
Total Noncurrent Assets	198,737,510	197,775,974	961,536	0.5
	269,220,594	263,550,894	5,669,700	2.2
LIABILITIES AND EQUITY				
Current Liabilities				
Trade payables and other current liabilities and contract liabilities (Notes 16, 31 and 32)	47,230,624	48,364,343	(1,133,719)	(2.3)
Income tax payable	704,419	787,740	(83,321)	(10.6)
Short-term debt (Notes 18 and 31)	10,718,309	6,472,199	4,246,110	65.6
Current portion of:				
Lease liabilities (Notes 29, 31 and 32)	8,337,400	8,106,429	230,971	2.8
Long-term debt (Notes 18, 31 and 32)	4,398,463	3,955,607	442,856	11.2
Provisions (Note 17)	733,014	733,014	-	-
Total Current Liabilities	72,122,229	68,419,332	3,702,897	5.4
Noncurrent Liabilities				
Senior debt securities (Notes 18 and 31)	50,455,139	34,582,581	15,872,558	45.9
Noncurrent portion of:				
Lease liabilities (Notes 29, 31 and 32)	42,178,220	44,115,015	(1,936,795)	(4.4)
Long-term debt (Notes 18, 31 and 32)	16,469,855	12,096,973	4,372,882	36.1
Provisions (Note 17)	1,200,938	1,200,938	-	-
Pension liability (Note 25)	3,058,983	2,851,393	207,590	7.3
Deferred tax liabilities - net (Note 24)	5,801,759	5,717,243	84,516	1.5
Total Noncurrent Liabilities	119,164,894	100,564,143	18,600,751	18.5
Total Liabilities (Carried Forward)	191,287,123	168,983,475	22,303,648	13.2

(Forward)

	June 30, 2025 (Unaudited)	December 31, 2024 (Audited)	Change	
			Amount	Pct
Total Liabilities (<i>Brought Forward</i>)	191,287,123	168,983,475	22,303,648	13.2
Equity Attributable to Equity Holders of the Parent Company (Note 31)				
Capital stock (Note 19):				
Preferred	12,000,000	12,000,000	-	-
Common	1,136,999	1,135,538	1,461	0.1
Additional paid-in capital (Note 19)	14,461,101	13,907,912	553,189	4.0
Other reserve	1,877,400	1,877,400	-	-
Cumulative translation adjustments of foreign subsidiaries and interests in joint ventures and associates (Note 11)	736,700	1,817,231	(1,080,531)	(59.5)
Remeasurement loss on net defined benefit plan - net of tax (Note 25)	(1,074,763)	(1,074,763)	-	-
Excess of cost over the carrying value of non-controlling interests acquired (Note 19)	(2,026,340)	(2,026,340)	-	-
Retained earnings (Note 19):				
Appropriated for future expansion	38,000,000	23,400,000	14,600,000	62.4
Unappropriated	14,519,220	25,182,366	(10,663,146)	(42.3)
	79,630,317	76,219,344	3,410,973	4.5
Less cost of stock held in treasury (Note 19):				
Preferred stock	3,000,000	3,000,000	-	-
Common stock	180,511	180,511	-	-
	76,449,806	73,038,833	3,410,973	4.7
Senior perpetual securities (Notes 10 and 19)	-	20,264,804	(20,264,804)	(100.0)
Non-controlling interests (Note 11)	1,483,665	1,263,782	219,883	17.4
Total Equity	77,933,471	94,567,419	(16,633,948)	(17.6)
	269,220,594	263,550,894	5,669,700	2.2

See accompanying Notes to Unaudited Consolidated Financial Statements.

JOLLIBEE FOODS CORPORATION
Doing business under the name and style of Jollibee
AND SUBSIDIARIES

UNAUDITED CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

(Amounts in Thousand Pesos, Except Per Share Data)

	Quarters Ended June 30				Change	
	2025		2024		Amount	Pct
	Pesos	Pct	Pesos	Pct		
REVENUES						
Gross sales	73,012,718	94.1%	63,858,248	95.0%	9,154,470	14.3%
Sales discount	(1,655,232)	-2.1%	(1,501,536)	-2.2%	(153,696)	-10.2%
Net sales	71,357,486	91.9%	62,356,712	92.8%	9,000,774	14.4%
Royalty, set-up fees and others	4,850,449	6.2%	3,720,060	5.5%	1,130,389	30.4%
	76,207,935	98.2%	66,076,772	98.3%	10,131,163	15.3%
PFRS 15 impact on system-wide advertising fees	1,418,134	1.8%	1,138,755	1.7%	279,379	24.5%
	77,626,069	100.0%	67,215,527	100.0%	10,410,542	15.5%
DIRECT COSTS						
Cost of inventories	37,777,571	48.7%	31,197,603	46.4%	6,579,968	21.1%
Store and manufacturing costs	25,034,247	32.2%	22,922,173	34.1%	2,112,074	9.2%
	62,811,818	80.9%	54,119,776	80.5%	8,692,042	16.1%
GROSS PROFIT	14,814,251	19.1%	13,095,751	19.5%	1,718,500	13.1%
EXPENSES						
General and administrative expenses - net	7,615,686	9.8%	7,002,083	10.4%	613,603	8.8%
Advertising and promotions	1,161,528	1.5%	1,024,344	1.5%	137,184	13.4%
	8,777,214	11.3%	8,026,427	11.9%	750,787	9.4%
OPERATING INCOME	6,037,037	7.8%	5,069,324	7.5%	967,713	19.1%
INTEREST INCOME (EXPENSE)						
Interest income	164,929	0.2%	239,494	0.4%	(74,565)	-31.1%
Interest expense:						
Financing	(1,061,419)	-1.4%	(633,461)	-0.9%	(427,958)	-67.6%
PFRS-16 Leases and others	(792,894)	-1.0%	(736,845)	-1.1%	(56,049)	-7.6%
	(1,689,384)	-2.2%	(1,130,812)	-1.7%	(558,572)	-49.4%
EQUITY IN NET EARNINGS OF JOINT VENTURES AND ASSOCIATES - Net	153,981	0.2%	102,054	0.2%	51,927	50.9%
OTHER INCOME - Net	419,704	0.5%	332,654	0.5%	87,050	26.2%
INCOME BEFORE INCOME TAX	4,921,338	6.3%	4,373,220	6.5%	548,118	12.5%
PROVISION FOR (BENEFIT FROM) INCOME TAX						
Current	1,908,331	2.5%	1,545,085	2.3%	363,246	23.5%
Deferred	(402,602)	-0.5%	(358,985)	-0.5%	(43,617)	-12.2%
	1,505,729	1.9%	1,186,100	1.8%	319,629	26.9%
NET INCOME	3,415,609	4.4%	3,187,120	4.7%	228,489	7.2%
OTHER COMPREHENSIVE INCOME						
<i>Other comprehensive income (loss) to be reclassified to profit or loss in subsequent periods:</i>						
Translation adjustments of foreign subsidiaries	3,152,745	4.1%	1,067,628	1.6%	2,085,117	195.3%
Translation adjustments of foreign joint ventures and associates	(2,251,219)	-2.9%	(500,754)	-0.7%	(1,750,465)	349.6%
	901,526	1.2%	566,874	0.8%	334,652	59.0%
TOTAL COMPREHENSIVE INCOME	4,317,135	5.6%	3,753,994	5.6%	563,141	15.0%
Net Income Attributable to:						
Equity holders of the Parent Company	3,210,886	4.1%	3,040,934	4.5%	169,952	5.6%
Non-controlling interests	204,723	0.3%	146,186	0.2%	58,537	40.0%
	3,415,609	4.4%	3,187,120	4.7%	228,489	7.2%
Total Comprehensive Income (Loss) Attributable to:						
Equity holders of the Parent Company	3,967,703	5.1%	3,754,800	5.6%	212,903	5.7%
Non-controlling interests	349,432	0.5%	(806)	0.0%	350,238	43453.8%
	4,317,135	5.6%	3,753,994	5.6%	563,141	15.0%
Earnings Per Share for Net Income Attributable to Equity Holders of the Parent Company						
Basic	2.788		2.622		0.166	6.3%
Diluted	2.780		2.618		0.162	6.2%

JOLLIBEE FOODS CORPORATION
Doing business under the name and style of Jollibee
AND SUBSIDIARIES

UNAUDITED CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

(Amounts in Thousand Pesos, Except Per Share Data)

	Periods Ended June 30				Change	
	2025		2024		Amount	Pct
	Pesos	Pct	Pesos	Pct		
REVENUES						
Gross sales	139,347,545	94.2%	122,172,907	95.1%	17,174,638	14.1%
Sales discount	(3,285,067)	-2.2%	(2,913,361)	-2.3%	(371,706)	-12.8%
Net sales	136,062,478	92.0%	119,259,546	92.8%	16,802,932	14.1%
Royalty, set-up fees and others (Note 20)	9,106,122	6.2%	7,094,924	5.5%	2,011,198	28.3%
	145,168,600	98.2%	126,354,470	98.3%	18,814,130	14.9%
PFRS 15 impact on system-wide advertising fees	2,683,061	1.8%	2,165,331	1.7%	517,730	23.9%
	147,851,661	100.0%	128,519,801	100.0%	19,331,860	15.0%
DIRECT COSTS (Note 21)						
Cost of inventories	70,868,093	47.9%	59,695,769	46.4%	11,172,324	18.7%
Store and manufacturing costs	49,122,508	33.2%	44,509,576	34.6%	4,612,932	10.4%
	119,990,601	81.2%	104,205,345	81.1%	15,785,256	15.1%
GROSS PROFIT	27,861,060	18.8%	24,314,456	18.9%	3,546,604	14.6%
EXPENSES						
General and administrative expenses - net (Note 22)	14,806,496	10.0%	13,459,854	10.5%	1,346,642	10.0%
Advertising and promotions	2,208,530	1.5%	1,694,670	1.3%	513,860	30.3%
	17,015,026	11.5%	15,154,524	11.8%	1,860,502	12.3%
OPERATING INCOME	10,846,034	7.3%	9,159,932	7.1%	1,686,102	18.4%
INTEREST INCOME (EXPENSE) (Note 23)						
Interest income	318,383	0.2%	461,547	0.4%	(143,164)	-31.0%
Interest expense:						
Financing	(2,047,960)	-1.4%	(1,262,855)	-1.0%	(785,105)	-62.2%
PFRS-16 Leases and others	(1,579,432)	-1.1%	(1,405,838)	-1.1%	(173,594)	-12.3%
	(3,309,009)	-2.2%	(2,207,146)	-1.7%	(1,101,863)	-49.9%
EQUITY IN NET EARNINGS OF JOINT VENTURES AND ASSOCIATES - Net (Note 11)	230,319	0.2%	151,244	0.1%	79,075	52.3%
OTHER INCOME - Net (Note 23)	813,513	0.6%	906,380	0.7%	(92,867)	-10.2%
INCOME BEFORE INCOME TAX	8,580,857	5.8%	8,010,410	6.2%	570,447	7.1%
PROVISION FOR (BENEFIT FROM) INCOME TAX (Note 24)						
Current	3,333,298	2.3%	2,552,427	2.0%	780,871	30.6%
Deferred	(666,913)	-0.5%	(433,132)	-0.3%	(233,781)	-54.0%
	2,666,385	1.8%	2,119,295	1.6%	547,090	25.8%
NET INCOME	5,914,472	4.0%	5,891,115	4.6%	23,357	0.4%
OTHER COMPREHENSIVE INCOME (LOSS)						
<i>Other comprehensive income (loss) to be reclassified to profit or loss in subsequent periods:</i>						
Translation adjustments of foreign subsidiaries	564,430	0.4%	1,001,895	0.8%	(437,465)	-43.7%
Translation adjustments of foreign joint ventures and associates (Note 11)	(1,463,670)	-1.0%	(452,989)	-0.4%	(1,010,681)	-223.1%
	(899,240)	-0.6%	548,906	0.4%	(1,448,146)	-263.8%
TOTAL COMPREHENSIVE INCOME	5,015,232	3.4%	6,440,021	5.0%	(1,424,789)	-22.1%
Net Income Attributable to:						
Equity holders of the Parent Company (Note 28)	5,616,626	3.8%	5,658,148	4.4%	(41,522)	-0.7%
Non-controlling interests	297,846	0.2%	232,967	0.2%	64,879	27.8%
	5,914,472	4.0%	5,891,115	4.6%	23,357	0.4%
Total Comprehensive Income Attributable to:						
Equity holders of the Parent Company	4,536,095	3.1%	6,406,868	5.0%	(1,870,773)	-29.2%
Non-controlling interests	479,137	0.3%	33,153	0.0%	445,984	1345.2%
	5,015,232	3.4%	6,440,021	5.0%	(1,424,789)	-22.1%
Earnings Per Share for Net Income Attributable to Equity Holders of the Parent Company (Note 28)						
Basic	4.857		4.866		(0.009)	-0.2%
Diluted	4.843		4.858		(0.015)	-0.3%

See accompanying Notes to Unaudited Consolidated Financial Statements.

JOLLIBEE FOODS CORPORATION
Doing business under the name and style of Jollibee
AND SUBSIDIARIES

UNAUDITED CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
FOR THE PERIODS ENDED JUNE 30, 2025 and 2024

(Amounts in Thousand Pesos)

Equity Attributable to Equity Holders of the Parent Company (Note 31)														
	Preferred Stock (Note 19)	Common Stock (Note 19)	Additional Paid-in Capital (Note 19)	Other Reserve	Cumulative Translation Adjustments of Foreign Subsidiaries and Interests in Joint Ventures and Associates (Note 11)	Remeasurement Loss on Net Defined Benefit Plan - Net of tax (Note 25)	Excess of Cost Over the Carrying Value of Non- controlling Interests Acquired (Note 19)	Retained Earnings (Note 19)		Cost of Stock Held in Treasury (Note 19)	Total	Senior Perpetual Securities (Note 19)	Non- controlling Interests (Note 11)	Total Equity
								Appropriated for Future Expansion	Unappropriated					
Balance at January 1, 2025	12,000,000	1,135,538	13,907,912	1,877,400	1,817,231	(1,074,763)	(2,026,340)	23,400,000	25,182,366	(3,180,511)	73,038,833	20,264,804	1,263,782	94,567,419
Net income	-	-	-	-	-	-	-	-	5,616,626	-	5,616,626	-	297,846	5,914,472
Other comprehensive income (loss)	-	-	-	-	(1,080,531)	-	-	-	-	(1,080,531)	-	-	181,291	(899,240)
Total comprehensive income (loss)	-	-	-	-	(1,080,531)	-	-	-	5,616,626	-	4,536,095	-	479,137	5,015,232
Movements in other equity accounts:														
Issuances of and subscriptions to common stock (Note 19)	-	1,461	294,840	-	-	-	-	-	-	-	296,301	-	-	296,301
Cost of stock options granted (Note 19 and 26)	-	-	258,349	-	-	-	-	-	-	-	258,349	-	-	258,349
Acquisition of a subsidiary (Note 11)	-	-	-	-	-	-	-	-	-	-	-	-	103,774	103,774
Cash dividends (Note 19)	-	-	-	-	-	-	-	-	(1,679,772)	-	(1,679,772)	-	-	(1,679,772)
Reversal of appropriated retained earnings during the period (Note 19)	-	-	-	-	-	-	-	(23,400,000)	23,400,000	-	-	-	-	-
Appropriation during the period (Note 19)	-	-	-	-	-	-	-	38,000,000	(38,000,000)	-	-	-	-	-
Redemption of senior perpetual securities (Note 19)	-	-	-	-	-	-	-	-	-	-	-	(20,264,804)	-	(20,264,804)
Distribution on senior perpetual securities (Note 19)	-	-	-	-	-	-	-	-	-	-	-	-	(57,661)	(57,661)
Cash dividends paid to non-controlling interests	-	-	-	-	-	-	-	-	-	-	-	-	(154,814)	(154,814)
Capital distribution to non-controlling interests (Note 11)	-	-	-	-	-	-	-	-	-	-	-	-	(150,553)	(150,553)
	-	1,461	553,189	-	-	-	-	14,600,000	(16,279,772)	-	(1,125,122)	(20,264,804)	(259,254)	(21,649,180)
Balance at June 30, 2025	12,000,000	1,136,999	14,461,101	1,877,400	736,700	(1,074,763)	(2,026,340)	38,000,000	14,519,220	(3,180,511)	76,449,806	-	1,483,665	77,933,471
Balance at January 1, 2024	12,000,000	1,132,331	12,662,905	1,877,400	1,405,390	(990,150)	(2,026,340)	18,700,000	23,341,856	(180,511)	67,922,881	20,264,804	(1,931,030)	86,256,655
Net income	-	-	-	-	-	-	-	-	5,658,148	-	5,658,148	-	232,967	5,891,115
Other comprehensive income (loss)	-	-	-	-	748,720	-	-	-	-	-	748,720	-	(199,814)	548,906
Total comprehensive income	-	-	-	-	748,720	-	-	-	5,658,148	-	6,406,868	-	33,153	6,440,021
Movements in other equity accounts:														
Issuances of and subscriptions to common stock (Note 19)	-	953	196,373	-	-	-	-	-	-	-	197,326	-	-	197,326
Cost of stock options granted (Notes 19 and 26)	-	-	240,120	-	-	-	-	-	-	-	240,120	-	-	240,120
Cash dividends (Note 19)	-	-	-	-	-	-	-	-	(1,524,390)	-	(1,524,390)	-	-	(1,524,390)
Reversal of appropriated retained earnings during the period (Note 19)	-	-	-	-	-	-	-	(18,700,000)	18,700,000	-	-	-	-	-
Appropriation during the period (Note 19)	-	-	-	-	-	-	-	23,400,000	(23,400,000)	-	-	-	-	-
Distribution on senior perpetual securities (Note 19)	-	-	-	-	-	-	-	-	-	-	-	-	(442,733)	(442,733)
Cash dividends paid to a non-controlling interest	-	-	-	-	-	-	-	-	-	-	-	-	(16,955)	(16,955)
	-	953	436,493	-	-	-	-	4,700,000	(6,224,390)	-	(1,086,944)	-	(459,688)	(1,546,632)
Balance at June 30, 2024	12,000,000	1,133,284	13,099,398	1,877,400	2,154,110	(990,150)	(2,026,340)	23,400,000	22,775,614	(180,511)	73,242,805	20,264,804	(2,357,565)	91,150,044

See accompanying Notes to Unaudited Consolidated Financial Statements.

JOLLIBEE FOODS CORPORATION
Doing business under the name and style of Jollibee
AND SUBSIDIARIES

UNAUDITED CONSOLIDATED STATEMENTS OF CASH FLOWS

(Amounts in Thousand Pesos)

	Periods Ended June 30		Change	
	2025	2024	Amount	Pct
CASH FLOWS FROM OPERATING ACTIVITIES				
Income before income tax	8,580,857	8,010,410	570,447	7.1
Adjustments for:				
Depreciation and amortization (Notes 12, 13, 14, 15, 21, 22 and 29)	9,038,744	8,554,645	484,099	5.7
Interest expense (Note 23)	3,627,392	2,668,693	958,699	35.9
Interest income (Note 23)	(318,383)	(461,547)	(143,164)	(31.0)
Stock options expense (Notes 19, 22, 26 and 27)	258,349	240,120	18,229	7.6
Equity in net earnings of joint ventures and associates (Note 11)	(230,319)	(151,244)	79,075	52.3
Movement in pension liability (Notes 21 and 22)	207,590	189,448	18,142	9.6
Loss on retirements and disposals of property, plant and equipment (Notes 12 and 22)	112,201	80,546	31,655	39.3
Impairment losses on:				
Receivables (Notes 7 and 22)	90,861	11,404	79,457	696.7
Inventories (Notes 8 and 22)	12,664	73,361	(60,697)	(82.7)
Property, plant and equipment (Notes 12 and 22)	-	10,052	(10,052)	(100.0)
Pre-termination of leases (Notes 23 and 29)	(85,402)	(4,928)	80,474	1,633.0
Net unrealized foreign exchange loss	51,948	13,219	38,729	293.0
Amortization of debt issue cost (Note 18)	35,807	23,281	12,526	53.8
Reversals of provision for impairment on:				
Inventories (Notes 8 and 22)	(16,621)	(7,985)	8,636	108.2
Property, plant and equipment (Notes 12 and 22)	(9,961)	(24,672)	(14,711)	(59.6)
Receivables (Notes 7 and 22)	(1,074)	-	1,074	100.0
Net unrealized gain from financial assets at fair value through profit or loss (Notes 10 and 23)	(15,069)	(159,177)	(144,108)	(90.5)
Income before working capital changes	21,339,584	19,065,626	2,273,958	11.9
Decrease (increase) in:				
Receivables	898,389	314,779	583,610	185.4
Inventories	(1,968,851)	1,815,820	(3,784,671)	(208.4)
Other current assets	(229,801)	(774,498)	544,697	70.3
Increase (decrease) in trade payables and other current liabilities	(1,719,610)	212,550	(1,932,160)	(909.0)
Net cash generated from operations	18,319,711	20,634,277	(2,314,566)	(11.2)
Income taxes paid	(3,416,619)	(2,616,111)	800,508	30.6
Interest received	320,710	465,553	(144,843)	(31.1)
Net cash provided by operating activities	15,223,802	18,483,719	(3,259,917)	(17.6)
CASH FLOWS FROM INVESTING ACTIVITIES				
Acquisitions of:				
Property, plant and equipment (Note 12)	(5,555,150)	(5,219,237)	335,913	6.4
Business - net of cash received (Note 11)	(3,668)	-	3,668	100.0
Intangible assets (Note 14)	(86)	(53)	33	62.3
Interests in a joint venture and an associate (Note 11)	-	(2,561,669)	(2,561,669)	(100.0)
Collection from (advances to) co-venturer, joint ventures and an associate - net (Note 11)	1,132,563	(60,211)	1,192,774	1,981.0
Increase in:				
Short-term investments	(629,965)	(407,795)	222,170	54.5
Other noncurrent assets	(312,832)	(350,328)	(37,496)	(10.7)
Dividend received from (paid to) an associate and non-controlling interests - net (Note 11)	(154,814)	24,674	(179,488)	(727.4)
Capital distributed to non-controlling interests (Note 11)	(150,553)	-	150,553	100.0
Proceeds from:				
Disposals of property, plant and equipment	145,184	231,330	(86,146)	(37.2)
Redemption of financial assets at fair value through profit or loss (Note 10)	414	5,348,013	(5,347,599)	(100.0)
Net cash used in investing activities	(5,528,907)	(2,995,276)	2,533,631	84.6

(Forward)

	Periods Ended June 30		Change	
	2025	2024	Amount	Pct
CASH FLOWS FROM FINANCING ACTIVITIES				
Payments of:				
Senior perpetual securities (Note 19)	(23,236,872)	-	23,236,872	100.0
Short-term debt (Note 18)	(19,316,778)	(1,000,000)	18,316,778	1,831.7
Lease liabilities (Note 29)	(5,669,876)	(5,445,104)	224,772	4.1
Long-term debt (Note 18)	(2,348,579)	(3,959,459)	(1,610,880)	(40.7)
Cash dividends (Note 19)	(1,683,462)	(1,517,741)	165,721	10.9
Coupons on senior perpetual securities (Note 19)	(453,120)	(431,704)	21,416	5.0
Proceeds from:				
Short-term debt (Note 18)	24,080,829	1,025,170	23,055,659	2,249.0
Senior debt securities (Note 18)	16,990,744	-	16,990,744	100.0
Long-term debt (Note 18)	6,067,219	1,485,730	4,581,489	308.4
Issuances of and subscriptions to common stock	296,301	197,326	98,975	50.2
Interest paid	(1,761,811)	(1,255,662)	506,149	40.3
Net cash used in financing activities	(7,035,405)	(10,901,444)	3,866,039	(35.5)
NET INCREASE IN CASH AND CASH EQUIVALENTS	2,659,490	4,586,999	(1,927,509)	(42.0)
EFFECT OF EXCHANGE RATE CHANGES ON CASH AND CASH EQUIVALENTS	(45,655)	(13,195)	32,460	246.0
CASH AND CASH EQUIVALENTS AT BEGINNING OF PERIOD	29,326,649	33,232,488	(3,905,839)	(11.8)
CASH AND CASH EQUIVALENTS AT END OF PERIOD (Note 6)	31,940,484	37,806,292	(5,865,808)	(15.5)

See accompanying Notes to Unaudited Consolidated Financial Statements.

Jollibee Foods Corporation - Number of Stores

	Dec-24 Stores	January - Open	June Close	Net	Ownership Change	Acquisition	Jun-25 Stores
Jollibee							
Co-owned	439	5	4	1	-	-	440
Franchised	840	38	7	31	-	-	871
Total	1,279	43	11	32	-	-	1,311
Chowking							
Co-owned	168	-	4	(4)	(11)	-	153
Franchised	403	13	6	7	11	-	421
Total	571	13	10	3	-	-	574
Greenwich							
Co-owned	108	-	1	(1)	(2)	-	105
Franchised	164	6	3	3	2	-	169
Total	272	6	4	2	-	-	274
Red Ribbon							
Co-owned	183	1	1	-	2	-	185
Franchised	324	7	12	(5)	(2)	-	317
Total	507	8	13	(5)	-	-	502
Mang Inasal							
Co-owned	14	-	2	(2)	(1)	-	11
Franchised	561	14	4	10	1	-	572
Total	575	14	6	8	-	-	583
Burger King	131	2	2	-	-	-	131
Panda Express	28	1	-	1	-	-	29
Yoshinoya	9	-	-	-	-	-	9
Common Man Coffee Roasters	1	-	-	-	-	-	1
Tiong Bahru Coffee	1	-	-	-	-	-	1
Multibrand	8	-	-	-	-	-	8
Milksha	-	1	-	1	-	-	1
Total Philippines	3,382	88	46	42	-	-	3,424
Yonghe King							
Co-owned	254	1	18	(17)	(1)	-	236
Franchised	239	40	31	9	1	-	249
Total	493	41	49	(8)	-	-	485
Hongzhuangyuan							
Co-owned	36	-	8	(8)	-	-	28
Franchised	11	1	2	(1)	-	-	10
Total	47	1	10	(9)	-	-	38
Jollibee Hong Kong							
Co-owned	15	1	1	-	-	-	15
Franchised	5	-	-	-	-	-	5
Total	20	1	1	-	-	-	20
Jollibee Macau	4	-	-	-	-	-	4
Total - China	564	43	60	(17)	-	-	547
North America							
Jollibee US	75	3	-	3	-	-	78
Jollibee Canada	28	-	-	-	-	-	28
Red Ribbon	37	-	4	(4)	-	-	33
Chowking	15	-	-	-	-	-	15
Total NA Asian brands	155	3	4	(1)	-	-	154
Smashburger							
Co-owned	127	2	8	(6)	-	-	121
Franchised	87	-	5	(5)	-	-	82
Total	214	2	13	(11)	-	-	203
Total - North America	369	5	17	(12)	-	-	357

Jollibee Foods Corporation - Number of Stores

	Dec-24 Stores	January - June Open Close Net	Ownership Change	Acquisition	Jun-25 Stores
Other Asia					
Jollibee:					
Vietnam	213	7 2	5	-	218
Brunei	21	1	1	-	22
Singapore	22	3	3	-	25
<i>Co-owned*</i>	12	3	3	-	15
<i>Franchised</i>	10	-	-	-	10
Malaysia	1	-	-	-	1
West Malaysia	19	3	3	-	22
Total - Other Asia	276	14 2	12	-	288
Middle East					
Jollibee					
Saudi Arabia	11	-	-	-	11
Qatar	14	1	1	-	15
Kuwait	8	-	-	-	8
UAE	24	- 1	(1)	-	23
Bahrain	2	-	-	-	2
Oman	1	1	1	-	2
Chowking:					
UAE	19	- 1	(1)	-	18
Qatar	5	-	-	-	5
Oman	2	-	-	-	2
Kuwait	5	-	-	-	5
Saudi Arabia	4	-	-	-	4
Total - Middle East	95	2 2	-	-	95
Europe (Jollibee)					
Italy (Milan)	2	-	-	-	2
United Kingdom	12	-	-	-	12
Spain	1	-	-	-	1
Total - Europe	15	-	-	-	15
Oceania					
Jollibee Guam	2	-	-	-	2
Total - EMEA PH Brands	388	16 4	12	-	400
The Coffee Bean & Tea Leaf					
Co-owned	389	12 4	8	-	397
Franchised	843	36 15	21	-	864
Total	1,232	48 19	29	-	1,261
Highlands Coffee					
Co-owned	716	61 12	49	-	765
Franchised	134	1 4	(3)	-	131
Total	850	62 16	46	-	896
Milksha					
Co-owned	26	2 1	1	-	27
Franchised	310	12 3	9	-	319
Total	336	14 4	10	-	346
Compose Coffee					
Co-owned	-	-	-	-	-
Franchised	2,629	192 12	180	-	2,809
Total	2,629	192 12	180	-	2,809
Tim Ho Wan					
Co-owned	16	1	1	-	32
Franchised	-	4	4	-	47
Total	16	5	5	-	79
Total International Stores	6,384	385 132	253	-	6,695
Total Global	9,766	473 178	295	-	10,119
System Wide Sales (Amounts in PhP Millions)					
			30-Jun-25	30-Jun-24	% Growth
Q2 2025 vs Q2 2024			114,542	95,799	19.6%
1H 2025 vs 1H 2024			217,738	182,626	19.2%

JOLLIBEE FOODS CORPORATION
Doing business under the name and style of Jollibee
AND SUBSIDIARIES

NOTES TO UNAUDITED CONSOLIDATED FINANCIAL STATEMENTS

1. General Information

Corporate Information

Jollibee Foods Corporation Doing business under the name and style of Jollibee (the Parent Company or Ultimate Parent Company) was incorporated in the Philippines and registered with the Philippine Securities and Exchange Commission (SEC) on January 11, 1978. The Parent Company and its subsidiaries (collectively referred to as “the Jollibee Group”) and affiliates are involved primarily in the development, operations and franchising of quick service restaurants (QSRs) under the trade names “Jollibee”, “Greenwich”, “Chowking”, “Yong He King”, “Red Ribbon”, “Hong Zhuang Yuan”, “Mang Inasal”, “Burger King”, “Highlands Coffee”, “Smashburger”, “Tortazo”, “Tim Ho Wan”, “The Coffee Bean & Tea Leaf”, “Panda Express”, “Yoshinoya”, “Milksha”, “Common Man Coffee Roasters”, “Compose Coffee” and “Tiong Bahru Bakery”. The Parent Company is also primarily organized to invest in, acquire, own, hold, use, sell, assign, transfer, lease, mortgage, exchange, or otherwise dispose of real and personal properties, of every kind and description, or interests in the foregoing, pursuant to its business objectives. The other activities of the Jollibee Group include manufacturing and support services for the QSR systems and other business activities (see Notes 2 and 5).

The common and preferred shares of the Parent Company are listed and traded in the Philippine Stock Exchange (PSE) beginning July 14, 1993 and October 14, 2021, respectively.

The registered office address of the Parent Company is 10/F Jollibee Plaza Building, 10 F. Ortigas Jr. Ave., Ortigas Center, Pasig City.

Approval and Authorization for Issuance of Unaudited Consolidated Financial Statements

The unaudited consolidated financial statements as at June 30, 2025 and December 31, 2024 (audited) and for the six months ended June 30, 2025 and 2024 were authorized for issue by the Board of Directors (BOD), on August 13, 2025, as reviewed and recommended for approval by the Audit Committee, on the same date.

2. Basis of Preparation, Statement of Compliance, Changes in Accounting Policies and Basis of Consolidation

Basis of Preparation

The consolidated financial statements of the Jollibee Group have been prepared on a historical cost basis, except for financial assets at fair value through profit or loss (FVTPL) which are measured at fair value. The consolidated financial statements are presented in Philippine peso, which is the Parent Company’s functional and presentation currency. All values are rounded to the nearest thousand pesos, except par values, per share amounts, number of shares and when otherwise indicated.

Statement of Compliance

The accompanying consolidated financial statements have been prepared in compliance with Philippine Financial Reporting Standards (PFRS) Accounting Standards.

New Standards, Interpretations and Amendments adopted by the Jollibee Group

The accounting policies adopted are consistent with those of the previous financial year, except for the adoption of new standards effective in 2025. The Jollibee Group has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective.

Unless otherwise indicated, the adoption of these new standards did not have significant impact on the consolidation of the financial statements.

- PFRS 17, *Insurance Contracts*
- Amendments to PAS 21, *Lack of exchangeability*

The amendments had no material impact to the Jollibee Group.

Future Changes in Accounting Policies

Pronouncements issued but not yet effective are listed below. Unless otherwise indicated, the Jollibee Group does not expect that the future adoption of the said pronouncements will have a significant impact on its consolidated financial statements.

Effective beginning on or after January 1, 2026

- Amendments to PFRS 9 and PFRS 7, *Classification and Measurement of Financial Instruments*
- Annual Improvements to PFRS Accounting Standards—Volume 11
- Amendments to PFRS 1, *Hedge Accounting by a First-time Adopter*
- Amendments to PFRS 7, *Gain or Loss on Derecognition*
- Amendments to PFRS 9, *Lessee Derecognition of Lease Liabilities and Transaction Price*
- Amendments to PFRS 10, *Determination of a 'De Facto Agent'*
- Amendments to PAS 7, *Cost Method*

Effective beginning on or after January 1, 2027

- PFRS 18, *Presentation and Disclosure in Financial Statements*
- PFRS 19, *Subsidiaries without Public Accountability*

Deferred effectivity

- Amendments to PFRS 10, *Consolidated Financial Statements*, and PAS 28, *Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

Basis of Consolidation

The Jollibee Group is considered to have control over an investee when the Jollibee Group has:

- Power over the investee (i.e., existing rights that give it the current ability to direct the relevant activities of the investee);
- Exposure, or rights, to variable returns from its involvement with the investee; and,
- The ability to use its power over the investee to affect its returns.

When the Jollibee Group has less than majority of voting or similar rights of an investee, the Jollibee Group considers all relevant facts and circumstances in assessing whether it has power over an investee including:

- The contractual arrangement with the other vote holders of the investee;
- Rights arising from other contractual arrangements; and,
- The Jollibee Group's voting rights and potential voting rights.

The Jollibee Group re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Jollibee Group obtains control over the subsidiary and ceases when the Jollibee Group loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Jollibee Group gains control until the date the Jollibee Group ceases to control the subsidiary.

The reporting dates of the Parent Company and the associates or joint ventures are identical and the latter's accounting policies conform to those used by the Parent Company for like transactions and events in similar circumstances.

Non-controlling interests represent the interests in the subsidiaries not held by the Parent Company, and are presented separately in the consolidated statement of comprehensive income and consolidated statement of financial position, separately from equity attributable to equity holders of the Parent Company.

A change in ownership interest in a subsidiary that does not result in a loss of control is accounted for as an equity transaction. The carrying amounts of the controlling and non-controlling interests are adjusted to reflect the changes in the Jollibee Group's relative interests in the subsidiary. The Jollibee Group recognizes directly in equity any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received, and attribute it to the equity holders of the Parent Company. In particular cases where the Jollibee Group acquires non-controlling interest in a subsidiary at a consideration in excess of its carrying amount, the excess is charged to the "Excess of cost over the carrying value of non-controlling interests acquired" account under equity. These changes in the ownership interest in a subsidiary do not result in the recognition of a gain or loss in profit or loss. These include acquisitions of non-controlling interests of Greenwich, Yong He King, Adgraphix, Mang Inasal, Happy Bee Foods Processing Pte. Ltd. and Smashburger.

The consolidated financial statements include the accounts of the Parent Company and the following wholly owned and majority-owned subsidiaries as at June 30, 2025 and December 31, 2024:

	Country of Incorporation	Principal Activities	June 30, 2025 (Unaudited)		December 31, 2024 (Audited)	
			Direct Ownership	Indirect Ownership	Direct Ownership	Indirect Ownership
Fresh N' Famous Foods Inc. (Fresh N' Famous)	Philippines	Food service	100	—	100	—
Chowking Food Corporation USA	United States of America (USA)	Holding company	—	100	—	100
Zenith Foods Corporation (Zenith)	Philippines	Food service	100	—	100	—
Pinnacle Quality Food Inc. (PQF)	Philippines	Food service	—	100	—	100
Freemont Foods Corporation (Freemont)	Philippines	Food service	100	—	100	—
RRB Holdings, Inc. (RRBH):	Philippines	Holding company	100	—	100	—
Red Ribbon Bakeshop, Inc. (RRBI)	Philippines	Food service	—	100	—	100
Red Ribbon Bakeshop, Inc. USA (RRBI USA)	USA	Food service	—	100	—	100
Mang Inasal Philippines Inc. (Mang Inasal)	Philippines	Food service	100	—	100	—
Grandworth Resources Corporation (Grandworth):	Philippines	Leasing	100	—	100	—
Adgraphix, Inc. (Adgraphix)	Philippines	Digital printing	—	100	—	100
Iconnect Multi Media Network, Inc. (Iconnect)	Philippines	Dormant	—	60	—	60
FCJB Foods, Inc.	Philippines	Food service	60	—	60	—
Jollibee Worldwide Pte. Ltd. (JWPL):	Singapore	Holding company	100	—	100	—
Regional Operating Headquarters of JWPL (JWS)	Philippines	Financial accounting, human resources and logistics services	—	100	—	100
Golden Plate Pte., Ltd. (GPPL):	Singapore	Holding company	—	100	—	100
- Golden Beeworks Pte. Ltd.	Singapore	Food service	—	60	—	60
- Golden Piatto Pte. Ltd.	Singapore	Holding company	—	75	—	75
• Cibo Felice S.R.L.	Italy	Food service	—	100	—	100

	Country of Incorporation	Principal Activities	June 30, 2025 (Unaudited)		December 31, 2024 (Audited)	
			Direct Ownership	Indirect Ownership	Direct Ownership	Indirect Ownership
- Bee World Spain, Sociedad Limitada	Spain	Food service	–	100	–	100
- Meko Holdings Limited	Hong Kong	Food service	–	60	–	60
Golden Cup Pte. Ltd.	Singapore	Holding company	–	60	–	60
Beijing New Hongzhuang Yuan Food and Beverage Management Co., Ltd. (Hong Zhuang Yuan)	PRC	Food service	–	100	–	100
Southsea Binaries Ltd. (Southsea)	British Virgin Island (BVI)	Holding company	–	100	–	100
Beijing Yong He King Food and Beverage Co., Ltd.	PRC	Food service	–	100	–	100
Shenzhen Yong He King Food and Beverage Co., Ltd.	PRC	Food service	–	100	–	100
Hangzhou Yongtong Food and Beverage Co., Ltd.	PRC	Food service	–	100	–	100
Hangzhou Yong He King Food and Beverage Co., Ltd.	PRC	Food service	–	100	–	100
Wuhan Yong He King Food and Beverage Co., Ltd.	PRC	Food service	–	100	–	100
Tianjin Yong He King Food and Beverage Co., Ltd.	PRC	Food service	–	100	–	100
Happy Bee Foods Processing Pte. Ltd. (HBFPP)	Singapore	Holding company	–	100	–	100
- Happy Bee Foods Processing (Anhui) Co. Ltd.	PRC	Food service	–	100	–	100
JSF Investments Pte. Ltd. (JSF)	Singapore	Holding company	–	100	–	100
- SF Vung Tau Joint Stock Company	Vietnam	Holding company	–	60	–	60
• Highland Coffee Service Joint-stock Company	Vietnam	Food service	–	100	–	100
• Quantum Corporation	Vietnam	Food service	–	100	–	100
• Pho Viet Joint Stock Company	Vietnam	Food service	–	100	–	100
• Pho 24 Service Trade Manufacture Corporation	Vietnam	Food service	–	100	–	100
- Blue Sky Holdings Limited	Hong Kong	Holding company	–	60	–	60
• Sino Ocean Limited	Hong Kong	Food service	–	100	–	100
• Blue Sky Holdings (Macau) Limited	Macau	Food service	–	100	–	100
Jollibee (China) Food & Beverage Management Co.Ltd.	PRC	Management company	–	100	–	100
- Jollibee (Shanghai) Consulting Management Co., Ltd. ^(b)	PRC	Management company	–	100	–	100
Jollibee International (BVI) Ltd. (JIBL):	BVI	Holding company	–	100	–	100
- Jollibee Vietnam Corporation Ltd.	Vietnam	Food service	–	100	–	100
• Goldstar Food Trade and Service Company Limited (GSC)	Vietnam	Food service	–	100	–	100
- PT Chowking Indonesia	Indonesia	Dormant	–	100	–	100
- PT Jollibee Indonesia	Indonesia	Dormant	–	100	–	100
- Jollibee (Hong Kong) Limited	Hong Kong	Dormant	–	85	–	85
- Belmont Enterprises Ventures Limited (Belmont)	BVI	Holding company	–	100	–	100
• Yong He Holdings Co., Ltd.	BVI	Holding company	–	100	–	100
• Centenary Ventures Ltd.	BVI	Holding company	–	100	–	100
Bee World UK Limited (UK)	UK	Food service	–	100	–	100
JWPL Management Co., Pte. Ltd.	Singapore	Management company	–	100	–	100
- Branch of JWPL Management Co., Pte. Ltd.	Hong Kong	Management company	–	100	–	100
- JWPL Technology Co. Ltd. ^(c)	Thailand	Digital services	–	100	–	100
Super Magnificent Coffee Company Pte. Ltd. (SMCC-SG)	Singapore	Holding company	–	80	–	80
- Super Magnificent Coffee Company Ireland Limited (SMCC-IE)	Ireland	Holding company	–	100	–	100
- Super Magnificent Coffee Company Hungary Kft. (SMCC-HU)	Hungary	Holding company	–	100	–	100
• International Coffee & Tea, LLC (ICTL)	USA	Food service	–	100	–	100
• 6000 Jefferson BH, LLC	USA	Holding company	–	80	–	80
• CBTL Ventures, LLC	USA	Food service	–	100	–	100
• CBTL Gift Card LLC ^(c)	USA	Sale of gift cards	–	100	–	100
- The Coffee Bean & Tea Leaf (Singapore) Pte., Ltd. (CBTL-SG)	Singapore	Food service	–	100	–	100
• The Coffee Bean & Tea Leaf (Malaysia) Sdn. Bhd.	Malaysia	Food service	–	100	–	100
• The Coffee Bean & Tea Leaf (Hongkong) Limited	Hong Kong	Dormant	–	100	–	100
- Magnificent Coffee Trading Pte. Ltd	Singapore	Food service	–	100	–	100
Milkshop International Inc. (Milksha)	Taiwan	Food service	–	51	–	51
- Yaxiang Enterprise Co., Ltd.	Taiwan	Exporter / Manufacturer	–	100	–	100
- Wanlien Co., Ltd.	Taiwan	Holding company	–	100	–	100
- Li Hung Beverage Co., Ltd.	Taiwan	Food service	–	100	–	100
- Milkshop Japan Inc.	Japan	Food service	–	100	–	100
- Tien Hsia Sheng Co., Ltd.	Taiwan	Food service	–	70	–	–

	Country of Incorporation	Principal Activities	June 30, 2025 (Unaudited)		December 31, 2024 (Audited)	
			Direct Ownership	Indirect Ownership	Direct Ownership	Indirect Ownership
Jolli-K Co. Ltd. (Jolli-K) ^(b)	South Korea	Holding company	—	70	—	70
- Compose Coffee Co. Ltd. (Compose Coffee)	South Korea	Food service	—	100	—	100
- Compose Coffee Smart Factory Co. Ltd.	South Korea	Food service	—	100	—	100
Tim Ho Wan Holdings, Pte. Ltd. ^(a)	Singapore	Holding company	—	100	—	—
- Tim Ho Wan Ventures Pte. Ltd.	Singapore	Holding company	—	100	—	—
• Tim Ho Wan Inc.	USA	Food service	—	70	—	—
- Dim Sum Pte. Ltd.	Singapore	Food service	—	100	—	—
• Hong Yun Hong (Shanghai) Food & Beverages Management Company Ltd.	PRC	Food service	—	100	—	—
• Beijing Tim Ho Wan Food and Beverages Management Co., Ltd.	PRC	Food service	—	100	—	—
- Tim Ho Wan Pte. Ltd.	Singapore	Franchising company	—	100	—	—
• He Xin Restaurant Management (Shanghai) Co., Ltd.	PRC		—	100	—	—
- Tim Ho Wan Holdings Limited	Hong Kong	Holding company	—	100	—	—
• Tim Ho Wan Limited	Hong Kong	Food service	—	100	—	—
• Pui Keung Company Limited	Hong Kong	Holding company	—	100	—	—
- Tim Ho Wan International Pte. Ltd.	Singapore	Franchising company	—	100	—	—
Chanceux, Inc.	Philippines	Holding company	100	—	100	—
BKTitans Inc. (BKTitans)	Philippines	Holding company	—	54	—	54
- PFN Holdings Corporation	Philippines	Holding company	—	99	—	99
• PERF Restaurants, Inc.	Philippines	Food service	—	100	—	100
• PERF Trinoma, Inc.	Philippines	Food service	—	100	—	100
• PERF MOA Pasay Inc.	Philippines	Food service	—	100	—	100
Jollibee Foods Corporation (USA)	USA	Holding company	100	—	100	—
Honeybee Foods Corporation (HFC)	USA	Food service	—	100	—	100
- Tokyo Teriyaki Corporation (TTC)	USA	Food service	—	100	—	100
- Honeybee Foods (Canada) Corporation (HFCC)	Canada	Food service	—	100	—	100
Bee Good! Inc. (BGI)	USA	Holding company	—	100	—	100
- SJBF LLC (SJBF)	USA	Food service	—	100	—	100
Jolly USA Services LLC	USA	Holding company	—	100	—	100
- JBM LLC	USA	Franchising company	—	100	—	100
- MKSA LLC ^(d)	USA	Food service	—	100	—	100
Donut Magic Phils., Inc. (Donut Magic) ^(f)	Philippines	Dormant	100	—	100	—
Ice Cream Copenhagen Phils., Inc. (ICCP) ^(f)	Philippines	Dormant	100	—	100	—
Mary's Foods Corporation (Mary's) ^(f)	Philippines	Dormant	100	—	100	—
QSR Builders, Inc.	Philippines	Dormant	100	—	100	—

(a) On January 2, 2025, the Jollibee Group, through JWPL completed the transfer of 100% ownership of Tim Ho Wan business from Titan Fund I.

(b) On August 16, 2024, the Jollibee Group, through JWPL, completed the acquisition of 70% ownership in Compose Coffee Co., Ltd. and JMCF Co. Ltd. (collectively called "Compose Coffee").

(c) On August 2, 2024, the Jollibee Group, through ICTL, incorporated CBTL Gift Card LLC in the State of Arizona, USA.

(d) On March 21, 2024, MKSA LLC was incorporated in the State of Delaware.

(e) On March 6, 2024, JWPL Technology was incorporated in Thailand.

(f) On June 18, 2024, the stockholders of the Jollibee Group approved the Plan of Merger of the three (3) dormant companies. The application is pending approval from the SEC as at June 30, 2025.

3. Material Accounting Policy Information

The material accounting policies adopted in the preparation of the consolidated financial statements are summarized below:

Fair Value Measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability; or,
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible by the Jollibee Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The fair value for financial instruments traded in active markets at the reporting date is based on their quoted price or binding dealer price quotations, without any deduction for transaction costs. Where the Jollibee Group has financial assets and financial liabilities with offsetting positions in market risks or counterparty credit risk, it has elected to use the measurement exception to measure the fair value of its net risk exposure by applying the bid or ask price to the net open position as appropriate. For all other financial instruments not traded in an active market, the fair value is determined by using valuation techniques deemed to be appropriate in the circumstances. Valuation techniques include the market approach (i.e., using prices and other relevant information generated by market transactions involving identical or comparable assets, liabilities or a group of assets and liabilities), the income approach (i.e., discounted cash flow analysis and option pricing models making as much use of available and supportable market data as possible) and the cost approach (i.e., based on the amount required to replace the service capacity of an asset).

The Jollibee Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the consolidated financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest-level input that is significant to the fair value measurement as a whole:

- Level 1 – Quoted (unadjusted) market prices in active markets for identical assets or liabilities.
- Level 2 – Valuation techniques for which the lowest-level input that is significant to the fair value measurement is directly or indirectly observable.
- Level 3 – Valuation techniques for which the lowest-level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognized in the consolidated financial statements on a recurring basis, the Jollibee Group determines whether transfers have occurred between levels in the hierarchy by reassessing categorization (based on the lowest-level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

The Jollibee Group's management determines the policies and procedures for both recurring fair value measurement and non-recurring measurement. At each reporting date, the management analyzes the movements in the values of assets and liabilities which are required to be remeasured or reassessed as per the Jollibee Group's accounting policies. For this analysis, the management verifies the major inputs applied in the latest valuation by agreeing the information in the valuation computation to contracts and other relevant documents.

For the purpose of fair value disclosures, the Jollibee Group has determined classes of assets and liabilities based on the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

Cash and Cash Equivalents

Cash includes cash on hand and in banks. Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash with original maturities of three months or less from the date of acquisition and are subject to an insignificant risk of change in value.

Short-term Investments

Short-term investments are deposits with original maturities of more than three months to one year from acquisition date.

Financial Instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

Date of Recognition. The Jollibee Group recognizes a financial asset or a financial liability in the consolidated statements of financial position, when it becomes a party to the contractual provisions of the instrument. Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the marketplace (regular way trades) are recognized on the trade date, i.e., the date that the Jollibee Group commits to purchase or sell the asset.

Financial Instruments – Initial Recognition and Subsequent Measurement

Financial Assets

Initial Recognition and Measurement. Financial assets are classified, at initial recognition, as subsequently measured at amortized cost, fair value through other comprehensive income (FVOCI) and FVTPL.

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Jollibee Group's business model for managing them. With the exception of trade receivables that do not contain a significant financing component or for which the Jollibee Group has applied the practical expedient, the Jollibee Group initially measures a financial asset at its fair value plus, in the case of a financial asset not at FVTPL, transaction costs. Trade receivables that do not contain a significant financing component or for which the Jollibee Group has applied the practical expedient are measured at the transaction price determined under PFRS 15.

In order for a financial asset to be classified and measured at amortized cost or FVOCI, it needs to give rise to cash flows that are 'solely payments of principal and interest (SPPI)' on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level.

The Jollibee Group's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both.

Subsequent Measurement. For purposes of subsequent measurement, financial assets are classified in four categories:

- Financial assets at amortized cost (debt instruments)
- Financial assets at FVOCI with recycling of cumulative gains and losses (debt instruments)
- Financial assets designated at FVOCI with no recycling of cumulative gains and losses upon derecognition (equity instruments)
- Financial assets at FVTPL

The Jollibee Group has no financial assets at FVOCI as at June 30, 2025 and December 31, 2024. *Financial Assets at Amortized Cost (Debt Instruments).* This category is the most relevant to the Jollibee Group. The Jollibee Group measures financial assets at amortized cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows; and,
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial assets at amortized cost are subsequently measured using the effective interest rate (EIR) method and are subject to impairment. Gains and losses are recognized in profit or loss when the asset is derecognized, modified or impaired. The Jollibee Group's cash in banks, short-term deposits, short-term investments, receivables (excluding receivables from government agencies) and security and other deposits are classified under this category as at June 30, 2025 and December 31, 2024.

Financial Assets at FVTPL. Financial assets at FVTPL include financial assets held for trading, financial assets designated upon initial recognition at FVTPL, or financial assets mandatorily required to be measured at fair value. Financial assets are classified as held for trading if they are acquired for the purpose of selling or repurchasing in the near term. Derivatives, including separated embedded derivatives, are also classified as held for trading unless they are designated as effective hedging instruments. Financial assets with cash flows that are not solely payments of principal and interest are classified and measured at FVTPL, irrespective of the business model. Notwithstanding the criteria for debt instruments to be classified at amortized cost or FVOCI, as described above, debt instruments may be designated at FVTPL on initial recognition if doing so eliminates, or significantly reduces, an accounting mismatch.

Financial assets at FVTPL are carried in the consolidated statements of financial position at fair value with net changes in fair value recognized in the consolidated statements of comprehensive income.

The Jollibee Group's investments in golf, leisure club shares, bond funds and private equity are classified under this category as at June 30, 2025 and December 31, 2024.

Impairment of Financial Assets. The Jollibee Group recognizes an allowance for Expected Credit Losses (ECLs) for all debt instruments not held at FVTPL. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows the Jollibee Group expects to receive discounted at an approximation of the original EIR. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECLs are recognized in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is required for credit losses expected over the remaining life of the exposure, irrespective of the timing of the default (a lifetime ECL).

For receivables and contract assets, the Jollibee Group applies a simplified approach in calculating ECLs. Therefore, the Jollibee Group does not track changes in credit risk, but instead recognizes a loss allowance based on lifetime ECLs at each reporting date. The Jollibee Group has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment.

For security and other deposits, the Jollibee Group applies the general approach and calculates ECL based on the 12-month ECLs or lifetime ECLs, depending on whether there has been a significant increase in credit risk on the financial instruments since initial recognition.

For cash in banks, short-term deposits and short-term investments, the Jollibee Group applies the low credit risk simplification. The probability of default and loss given defaults are publicly available and are considered to be low credit risk investments. It is the Jollibee Group's policy to measure ECLs on such instruments on a 12-month basis. However, when there is a significant increase in credit risk since origination, the allowance will be based on the lifetime ECL. The Jollibee Group assesses that there is a significant increase in credit risk of a financial asset when default occurs.

The Jollibee Group considers a financial asset in default when contractual payments are 30 days past due. However, in certain cases, the Jollibee Group may also consider a financial asset to be in default when internal or external information indicates that the Jollibee Group is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Jollibee Group. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

The Jollibee Group incorporates forward-looking information into both its assessment of whether the credit risk of an instrument has increased significantly since its initial recognition and its measurement of ECL. To do this, the Jollibee Group has considered a range of relevant forward-looking macro-economic assumptions for the determination of unbiased general industry adjustments and any related specific industry adjustments that support the calculation of ECLs.

Based on the Jollibee Group's evaluation and assessment and after taking into consideration external actual and forecast information, the Jollibee Group considers two or more economic scenarios and the relative probabilities of each outcome. External information includes economic data and forecasts published by governmental bodies, monetary authorities and selected private-sector and academic institutions.

The Jollibee Group has identified and documented key drivers of credit risk and credit losses of each portfolio of financial instruments and, using an analysis of historical data, has estimated relationships between macro-economic variables and credit risk and credit losses. The Jollibee Group considers macro-economic factors such as gross domestic product growth rates and inflation rates in its analysis.

Financial Liabilities

Initial Recognition and Measurement. Financial liabilities are classified, at initial recognition, as financial liabilities at FVTPL, loans and borrowings, payables or as derivatives designated as hedging instruments in an effective hedge, as appropriate.

All financial liabilities are recognized initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

The Jollibee Group's financial liabilities include loans and borrowings, payables and derivative financial liabilities as at June 30, 2025 and December 31, 2024.

Subsequent Measurement

- *Loans and Borrowings, and Other Payables.* This is the category most relevant to the Jollibee Group. After initial recognition, interest-bearing loans and borrowings, and other payables are subsequently measured at amortized cost using the EIR method. Gains and losses are recognized in profit or loss when the liabilities are derecognized as well as through the EIR amortization process.

Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs, including debt issue costs for the Jollibee Group's debts that are an integral part of the EIR. The EIR amortization is included as interest expense in the consolidated statements of comprehensive income.

This category includes the Jollibee Group's trade payables and other current liabilities (excluding local and other taxes payable and unearned revenue from gift certificates), short-term and long-term debts, senior debt securities and lease liabilities as at June 30, 2025 and December 31, 2024.

- *Debt Issue Costs.* Debt issue costs are specific incremental costs, other than those paid to the lender, that are directly related to issuing a debt instrument. These are presented in the consolidated statements of financial position as a reduction from the related debt instrument and are amortized through the EIR amortization process.

Derecognition of Financial Assets and Liabilities

Financial Assets. A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognized (i.e., removed from the Jollibee Group's consolidated statement of financial position) when:

- The rights to receive cash flows from the asset have expired; or,

- The Jollibee Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either (a) the Jollibee Group has transferred substantially all the risks and rewards of the asset, or (b) the Jollibee Group has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Jollibee Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if, and to what extent, it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all of the risks and rewards of the asset, nor transferred control of the asset, the Jollibee Group continues to recognize the transferred asset to the extent of its continuing involvement. In that case, the Jollibee Group also recognizes an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Jollibee Group has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration that the Jollibee Group could be required to repay.

Financial Liabilities. A financial liability is derecognized when the obligation under the liability is discharged, cancelled or has expired. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognized in the consolidated statements of comprehensive income.

Derivative Financial Instruments and Hedge Accounting

Initial Recognition and Subsequent Measurement. The Jollibee Group uses derivative financial instruments, such as cross currency swaps and interest rate swaps to hedge its foreign currency risks and interest rate risks, respectively. Such derivative financial instruments are initially recognized at fair value on the date on which a derivative contract is entered into and are subsequently remeasured at fair value. Derivatives are carried as financial assets when the fair value is positive and as financial liabilities when the fair value is negative.

Any gains or losses arising from changes in the fair value of derivatives are taken directly to profit or loss, except for the effective portion of cash flow hedges, which is recognized in other comprehensive income and later reclassified to profit or loss when the hedge item affects profit or loss.

For the purpose of hedge accounting, hedges are classified as:

- Fair value hedges when hedging the exposure to changes in the fair value of a recognized asset or liability or an unrecognized firm commitment;
- Cash flow hedges when hedging the exposure to variability in cash flows that is either attributable to a particular risk associated with a recognized asset or liability or a highly probable forecast transaction or the foreign currency risk in an unrecognized firm commitment; and,
- Hedges of a net investment in a foreign operation.

The Jollibee Group's interest rate swap is a cash flow hedge. The Jollibee Group has no fair value hedge and hedge of a net investment in a foreign operation as at June 30, 2025 and December 31, 2024.

At the inception of a hedge relationship, the Jollibee Group formally designates and documents the hedge relationship to which it wishes to apply hedge accounting and the risk management objective and strategy for undertaking the hedge.

The documentation includes identification of the hedging instrument, the hedged item, the nature of the risk being hedged and how the Jollibee Group will assess whether the hedging relationship meets the hedge effectiveness requirements (including analysis of sources of hedge ineffectiveness and how the hedge ratio is determined). A hedging relationship qualifies for hedge accounting if it meets all of the following effectiveness requirements:

- There is ‘an economic relationship’ between the hedged item and the hedging instrument;
- The effect of credit risk does not ‘dominate the value changes’ that result from that economic relationship; and,
- The hedge ratio of the hedging relationship is the same as that resulting from the quantity of the hedged item that the Jollibee Group actually hedges and the quantity of the hedging instrument that the Jollibee Group actually uses to hedge that quantity of hedged item.

Hedges that meet the strict criteria for hedge accounting are accounted for, as described below:

Cash Flow Hedges. Cash flow hedges are hedges of the exposure to variability in cash flows that is attributable to a particular risk associated with a recognized asset, liability or a highly probable forecast transaction and could affect the consolidated statements of comprehensive income. Changes in the fair value of a hedging instrument that qualifies as a highly effective cash flow hedge are recognized as “Comprehensive income (loss) on derivative liability” in the consolidated statements of comprehensive income, whereas any hedge ineffectiveness is immediately recognized in profit or loss.

Amounts recognized as other comprehensive are transferred to profit or loss when the hedged transaction affects profit or loss, such as when the hedged income or expense is recognized or when a forecast sale occurs.

If the hedging instrument expires or is sold, terminated or exercised without replacement or rollover (as part of the hedging strategy), or if its designation as a hedge is revoked, or when the hedge no longer meets the criteria for hedge accounting, any cumulative gain or loss previously recognized in other comprehensive income remains separately in equity until the forecasted transaction occurs or the foreign currency firm commitment is met.

Contract Balances

Trade Receivables. A receivable represents the Jollibee Group’s right to an amount of consideration that is unconditional (i.e., only the passage of time is required before payment of the consideration is due).

Contract Assets. A contract asset is the right to consideration in exchange for goods or services transferred to the customer. If the Company performs by transferring goods or services to a customer before the customer pays consideration or before payment is due, a contract asset is recognized for the earned consideration that is conditional.

Contract Liabilities. A contract liability is the obligation to transfer goods or services to a customer for which the Jollibee Group has received consideration (or an amount of consideration is due) from the customer. If a customer pays consideration before the Jollibee Group transfers goods or services to the customer, a contract liability is recognized when the payment is made or the payment is due

(whichever is earlier). Contract liabilities are recognized as revenues when the Jollibee Group performs under the contract.

Inventories

Inventories are valued at the lower of cost and net realizable value. Costs are accounted for as follows:

- | | | |
|---|---|--|
| Processed inventories | - | Standard costing, which is reviewed on a quarterly basis and revised as necessary to approximate current costs determined using first in, first out (FIFO). Cost includes direct materials, labor and a proportion of manufacturing overhead costs based on normal operating capacity. |
| Food supplies, packaging, store and other supplies, and novelty items | - | Standard costing which is reviewed on a quarterly basis and revised as necessary to approximate current costs determined using FIFO. |

Net realizable value of processed inventories is the estimated selling price in the ordinary course of business, less estimated costs of completion and the estimated costs necessary to make the sale.

Net realizable value of food supplies, packaging, store and other supplies is the current replacement cost. Food and other supplies are held for use in the production of processed inventories.

Net realizable value of novelty items is the estimated selling price in the ordinary course of business, less the estimated costs necessary to make the sale.

Other Current Assets

Other current assets include prepaid expenses which are paid in advance and recorded as asset before these are utilized, deposits which pertain to advance payments to suppliers to be applied for future purchases, and creditable withholding taxes, which will be applied in the following year against corporate income tax or be claimed for refund with the Tax Authorities. Prepaid expenses are amortized over time and recognized as expense as the benefit is derived from the asset.

Interests in and Advances to Joint Ventures, Co-venturers and Associates

The Jollibee Group's investments in its associates and joint ventures are accounted for using the equity method based on the percentage share of ownership and capitalization. Interests in joint ventures are accounted for under the equity method from the date the joint control or influence is obtained.

Property, Plant and Equipment

Property, plant and equipment, except land and construction in progress, are stated at cost less accumulated depreciation and amortization and any accumulated impairment in value. Such cost includes the cost of replacing part of property, plant and equipment at the time that cost is incurred, if the recognition criteria are met, and excludes the costs of day-to-day servicing. Land is stated at cost less any impairment in value.

The initial cost of property, plant and equipment consists of its purchase price, including import duties and nonrefundable taxes and any other costs directly attributable in bringing the asset to its working condition and location for its intended use. Cost also includes any related asset retirement obligation and interest incurred during the construction period on funds borrowed to finance the construction of the asset. Expenditures incurred after the property, plant and equipment have been put into operation, such as repairs and maintenance, are normally charged to profit or loss in the period in which the costs are incurred. In situations where it can be clearly demonstrated that the

expenditures have resulted in an increase in the future economic benefits expected to be obtained from the use of an item of property, plant and equipment beyond its originally assessed standard of performance, the expenditures are capitalized as additional costs of property, plant and equipment.

Depreciation and amortization are calculated on a straight-line basis over the following estimated useful lives of the assets:

Land improvements	5 years
Plant, buildings, commercial condominium units and improvements	5 – 40 years
Leasehold improvements	2 – 10 years or term of the lease, whichever is shorter
Office, store and food processing equipment	1 – 15 years
Furniture and fixtures	3 – 5 years
Transportation equipment	3 – 5 years

The residual values, if any, useful lives and depreciation and amortization method of the assets are reviewed at the end of each financial period and adjusted prospectively, if appropriate.

Fully depreciated assets are retained in the accounts until they are disposed or retired.

An item of property, plant and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset (calculated as the difference between the disposal proceeds and the carrying amount of the asset) is included in profit or loss in the period the asset is derecognized.

Construction in progress represents assets under construction and is stated at cost less any impairment in value. This includes the cost of construction and other direct costs. Cost also includes interest on borrowed funds incurred during the construction period. Construction in progress is not depreciated until such time that the relevant assets are completed and ready for use.

When one or more items of property, plant and equipment is acquired in exchange for a non-monetary asset or assets, or a combination of monetary and non-monetary assets, the cost of such property, plant and equipment is measured at fair value unless (a) the exchange transaction lacks commercial substance or (b) the fair value of neither the asset received, nor the asset given up is reliably measurable. The acquired item is measured in this way even if an entity cannot immediately derecognize the asset given up. If the acquired item is not measured at fair value, its cost is measured at the carrying amount of the asset given up.

Investment Properties

Investment properties consist of buildings and building improvements held by the Jollibee Group for capital appreciation and rental purposes. Investment properties are carried at cost, including transaction costs, less accumulated depreciation and amortization and any impairment in value.

The depreciation of buildings and building improvements are calculated on a straight-line basis over the estimated useful lives of the assets which are five (5) to thirty-five (35) years.

Business Combinations

Business combinations are accounted for using the acquisition method. Applying the acquisition method requires the (a) determination whether the Jollibee Group will be identified as the acquirer; (b) determination of the acquisition date; (c) recognition and measurement of the identifiable assets acquired, liabilities assumed and any non-controlling interest in the acquiree; and (d) recognition and measurement of goodwill or a gain from a bargain purchase.

When the Jollibee Group acquires a business, it assesses the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at acquisition date.

The cost of an acquisition is measured as the aggregate of the (a) consideration transferred by the Jollibee Group, measured at acquisition-date fair value, (b) amount of any non-controlling interest in the acquiree and (c) acquisition-date fair value of the Jollibee Group's previously held equity interest in the acquiree in a business combination achieved in stages. Acquisition costs incurred are expensed and included in "General and administrative expenses" account in the consolidated statements of comprehensive income.

Initial Measurement of Non-controlling Interest. For each business combination, the Jollibee Group measures the non-controlling interest in the acquiree using the proportionate share of the acquiree's fair value of identifiable net assets.

Business Combination Achieved in Stages. In a business combination achieved in stages, the Jollibee Group remeasures its previously held equity interests in the acquiree at its acquisition-date fair value and recognizes the resulting gain or loss, if any, in profit or loss.

Measurement Period. If the initial accounting for a business combination is incomplete by the end of the reporting period in which the business combination occurs, the Jollibee Group reports in its consolidated financial statements provisional amounts for the items for which the accounting is incomplete. The measurement period ends as soon as the Jollibee Group receives the information it was seeking about facts and circumstances that existed as at the acquisition date or learns that more information is not obtainable. The measurement period does not exceed one year from the acquisition date.

Initial Measurement of Goodwill or Gain on a Bargain Purchase. Goodwill is initially measured by the Jollibee Group at cost being the excess of the total consideration transferred over the net identifiable assets acquired and liabilities assumed. If this consideration is lower than the fair value of the net assets of the subsidiary acquired, the difference is recognized in profit or loss as gain on a bargain purchase. Before recognizing a gain on a bargain purchase, the Jollibee Group determines whether it has correctly identified all of the assets acquired and all of the liabilities assumed and recognize any additional assets or liabilities that are identified in that review.

Subsequent Measurement of Goodwill. Following initial recognition, goodwill is measured at cost less any accumulated impairment losses.

Impairment Testing of Goodwill. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Jollibee Group's CGU, or groups of CGUs, that are expected to benefit from the synergies of the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units or group of units.

Each unit or group of units to which the goodwill is allocated:

- represents the lowest level within the Jollibee Group at which the goodwill is monitored for internal management purposes; and,
- is not larger than an operating segment as defined in PFRS 8, *Operating Segments*, before aggregation.

Frequency of Impairment Testing. Irrespective of whether there is any indication of impairment, the Jollibee Group tests goodwill acquired in a business combination for impairment annually as at December 31 and more frequently when circumstances indicate that the carrying amount is impaired.

Allocation of Impairment Loss. An impairment loss is recognized for a CGU if the recoverable amount of the unit or group of units is less than the carrying amount of the unit or group of units. The impairment loss is allocated to reduce the carrying amount of the assets of the unit or group of units first to reduce the carrying amount of goodwill allocated to the CGU or group of units and then to the other assets of the unit or group of units pro rata on the basis of the carrying amount of each asset in the unit or group of units. In allocating the impairment loss, the Jollibee Group cannot reduce the carrying amount of an asset below the highest of its fair value less cost of disposal if measurable, its value in use if determinable and zero.

Intangible Assets

Intangible assets acquired separately are measured at cost on initial recognition. Following initial recognition, intangible assets are carried at cost less any accumulated amortization and any accumulated impairment loss. The useful lives of intangible assets are assessed at the individual asset level as either finite or indefinite.

Intangible assets with finite lives are amortized over the useful economic life using the straight-line method and assessed for impairment whenever there is an indication that the intangible assets may be impaired. At a minimum, the amortization period and the amortization method for an intangible asset with a finite useful life are reviewed at least at each financial year-end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortization period or method, as appropriate, and treated as changes in accounting estimates.

Intangible assets with indefinite useful lives are tested for impairment annually either individually or at the CGU level. Such intangible assets are not amortized. The useful life of an intangible asset with an indefinite life is reviewed annually to determine whether the indefinite life assessment continues to be supportable. If not, the change in the useful life assessment from indefinite to finite is made on a prospective basis.

Amortization of computer software, trademarks and other intangible assets are calculated on a straight-line basis over the following estimated useful lives of the assets:

Computer software	10 years
Trademarks	5 years
Other intangible assets	5 - 30 years

Gains or losses arising from derecognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognized in profit or loss when the asset is derecognized.

Impairment of Nonfinancial Assets

The carrying values of interests in and advances to joint ventures, co-venturers and associates, property, plant and equipment, right-of-use assets, investment properties, trademarks and other intangible assets with definite useful life, and other noncurrent assets are reviewed for impairment when events or changes in circumstances indicate that the carrying value may not be recoverable. If any such indication exists, and if the carrying value exceeds the estimated recoverable amount, the assets or CGU are written down to their recoverable amounts. The recoverable amount of the asset is the greater of fair value less costs to sell or value in use. The fair value less costs to sell is the amount obtainable from the sale of an asset in an arm's-length transaction between knowledgeable and

willing parties, less costs of disposal. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the CGU to which the asset belongs. Impairment losses are recognized in profit or loss in those expense categories consistent with the function of the impaired asset.

For nonfinancial assets, excluding goodwill, an assessment is made at each reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If such indication exists, the recoverable amount is estimated. A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation and amortization, had no impairment loss been recognized for the asset in prior periods. Such reversal is recognized in profit or loss. After such a reversal, the depreciation charge is adjusted in future periods to allocate the asset's revised carrying amount, less any residual value on a systematic basis over its remaining useful life.

Revenue from Contracts with Customers

Revenue from contracts with customers is recognized when control of the goods or services are transferred to the customer at an amount that reflects the consideration to which the Jollibee Group expects to be entitled in exchange for those goods or services. The Jollibee Group assesses its revenue arrangements against specific criteria to determine if it is acting as a principal or as an agent. The Jollibee Group has concluded that it is acting as principal in majority of its revenue arrangements. The following specific recognition criteria must also be met before revenue is recognized:

Sale of Goods. Revenue from sale of goods is recognized at the point in time when control is transferred to the customer, which is normally upon delivery. Sales returns and discounts are deducted from sales to arrive at net sales shown in the consolidated statements of comprehensive income.

Royalty Fees. Revenue from royalty fees is recognized as the royalty accrues based on certain percentages of the franchisees' net sales.

Set-up Fees. Revenue from set-up fees is recognized on a straight-basis over the term of the franchise agreement and when performance obligations relating to the payment of set-up fees have been satisfied.

System-wide Advertising Fees. Revenues consisting of reimbursements of network advertising and promotional costs from franchisees are recognized upon performance of service.

Service Fees. Revenue is recognized the period in which the service has been rendered.

Management Fees. Revenue is recognized in the period in which the administration services has been rendered based on a certain percentage of the total costs incurred.

Other Revenues

The following specific recognition criteria must also be met before other revenue is recognized:

Rent Income. Rent income from short-term leases and leases of low-value asset is recognized on a straight-line basis over the lease terms.

Interest Income. Interest income is recognized as the interest accrues, taking into account the effective yield on the asset.

Other Income. Other income is recognized when there is an incidental economic benefit, other than the usual business operations, that will flow to the Jollibee Group through an increase in asset or reduction in liability and that can be measured reliably.

Cost and Expenses

Cost and expenses are decreases in economic benefits during the reporting period in the form of outflows or decrease of assets or incurrence of liabilities that result in decreases in equity, other than those relating to distributions to equity participants. Cost and expenses are recognized as incurred.

Advertising and promotion expenses include costs incurred for advertising schemes and promotional activities for new products.

Pension Benefits

The pension liability or asset is the aggregate of the present value of the defined benefit obligation at the end of the reporting period reduced by the fair value of plan assets (if any), adjusted for any effect of limiting a net defined benefit asset to the asset ceiling. The asset ceiling is the present value of any economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

The cost of providing benefits under the defined benefit plans is actuarially determined using the projected unit credit method.

Pension expense comprises the following:

- Service cost; and,
- Net interest on the net defined benefit liability or asset.

Service costs which include current service costs, past service costs and gains or losses on non-routine settlements are recognized as part of pension expense. Past service costs are recognized when plan amendment or curtailment occurs. These amounts are calculated periodically by independent qualified actuaries.

Net interest on the pension liability or asset is the change during the period in the liability or asset that arises from the passage of time which is determined by applying the discount rate based on government bonds to the pension liability or asset. Net interest on the pension liability or asset is recognized under “Direct costs” and “General and administrative expenses” in the consolidated statements of comprehensive income.

Remeasurements comprising of actuarial gains and losses, return on plan liability or assets and any change in the effect of the asset ceiling (excluding net interest on defined benefit liability) are recognized immediately in other comprehensive income in the period in which they arise. Remeasurements are not reclassified to profit or loss in subsequent periods.

Plan assets are assets that are held by a long-term employee benefit fund or qualifying insurance policies. Plan assets are not available to the creditors of the Jollibee Group, nor can they be paid directly to the Jollibee Group. Fair value of plan assets is based on market price information. When no market price is available, the fair value of plan assets is estimated by discounting expected future cash flows using a discount rate that reflects both the risk associated with the plan assets and the maturity or expected disposal date of those assets (or, if they have no maturity, the expected period until the settlement of the related obligations). If the fair value of the plan assets is higher than the present value of the defined benefit obligation, the measurement of the resulting defined benefit asset

is limited to the present value of economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

The Jollibee Group also participates in various government-defined contribution schemes for the PRC-based and USA-based subsidiaries. Under these schemes, pension benefits of existing and retired employees are guaranteed by the local pension benefit plan, and each subsidiary has no further obligations beyond the annual contribution.

Share-based Payments

The Jollibee Group has stock option plans granting its management and employees an option to purchase a fixed number of shares of stock at a stated price during a specified period (“equity-settled transactions”).

The cost of the options granted to the Jollibee Group’s management and employees that becomes vested is recognized in profit or loss over the period in which the performance and/or service conditions are fulfilled, ending on the date on which the relevant management and employees become fully entitled to the award (“vesting date”).

The fair value is determined using the Black-Scholes Option Pricing Model. The cumulative expense recognized for the share-based transactions at each reporting date until the vesting date reflects the extent to which the vesting period has expired and the Jollibee Group’s best estimate of the number of equity instruments that will ultimately vest. The charge or credit in profit or loss or the investment account for a period represents the movement in cumulative expense recognized as of the beginning and end of that period.

No expense is recognized for awards that do not ultimately vest.

Where the terms of a share-based award are modified, at a minimum, an expense is recognized as if the terms had not been modified. In addition, an expense is recognized for any modification, which increases the total fair value of the share-based payment agreement or is otherwise beneficial to the management and employees as measured at the date of modification.

Where a share-based award is cancelled, it is treated as if it had vested on the date of cancellation, and any expense not yet recognized for the award is recognized immediately. However, if a new award is substituted for the cancelled award, and designated as a replacement award on the date that it is granted, the cancelled and new awards are treated as if there was a modification of the original award.

Leases

The Jollibee Group assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Jollibee Group as Lessee. The Jollibee Group applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Jollibee Group recognizes lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

- *Right-of-Use Assets.* The Jollibee Group recognizes right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognized, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. The cost of right-of-use assets also

includes an estimate of costs to be incurred by the lessee in dismantling and removing the underlying asset to the condition required by the terms and conditions of the lease, unless those costs are incurred to produce inventories. Unless the Jollibee Group is reasonably certain to obtain ownership of the leased asset at the end of the lease term, the recognized right-of-use assets are depreciated on a straight-line basis over the shorter of its estimated useful life and the lease term. Right-of-use assets are subject to impairment.

- *Lease Liabilities.* At the commencement date of the lease, the Jollibee Group recognizes lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The variable lease payments that do not depend on an index or a rate are recognized as expense in the period on which the event or condition that triggers the payment occurs.

In calculating the present value of lease payments, the Jollibee Group uses the incremental borrowing rate (IBR) at the lease commencement date if the interest rate implicit in the lease is not readily determinable. In determining the IBR, the Jollibee Group uses risk-free rate plus credit spread where the credit spread is based on the credit risk of the lessee. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the in-substance fixed lease payments or a change in the assessment to purchase the underlying asset.

The Jollibee Group's lease liabilities are included in interest-bearing loans and borrowings.

- *Short-term Leases and Leases of Low-value Assets.* The Jollibee Group applies the short-term lease recognition exemption to its short-term leases of QSR outlets. It also applies the lease of low-value assets recognition exemption to leases that are considered of low value (i.e., below USD5,000 or approximately ₱250,000). Lease payments on short-term leases and leases of low-value assets are recognized as expense on a straight-line basis over the lease term.

Foreign Currency Transactions and Translations

The consolidated financial statements are presented in Philippine Peso, which is the Parent Company's functional and presentation currency. Each entity in the Jollibee Group determines its own functional currency and items included in the financial statements of each entity are measured using that functional currency. The functional currency of subsidiaries domiciled and operating in the Philippines are also determined to be the Philippine Peso. Where the functional currency is the Philippine Peso, transactions in foreign currencies are recorded in Philippine Peso using the exchange rate at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are restated using the closing rate of exchange at reporting date. All differences are recognized in profit or loss. Nonmonetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions.

The functional currencies of the Jollibee Group's foreign operations are US dollar (USD), PRC Renminbi (RMB), Vietnam dong (VND), Singapore dollar (SGD), Malaysian ringgit (MYR), Canadian dollar (CAD), Euro, Pound (GBP), Hong Kong dollar (HKD), Indonesia rupiah (IDR), Macau pataca (MOP), New Taiwan dollar (TWD) and Korean won (KRW). As at the reporting date, the assets and liabilities of foreign subsidiaries are translated into the presentation currency of the Parent Company at the rate of exchange ruling at the reporting date while the income and expense accounts are translated at the weighted average exchange rates for the year. The resulting translation differences are included in equity under the account "Cumulative translation adjustments of foreign

subsidiaries and interests in joint ventures and associates.” On disposal of a foreign subsidiary, the accumulated exchange differences are recognized in profit or loss.

Taxes

Current Tax. Current tax liabilities for the current and prior periods are measured at the amount expected to be paid to the tax authority. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at reporting date.

Current income tax relating to items recognized directly in equity is recognized in equity (not in the profit or loss). Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Deferred Tax. Deferred tax is provided using balance sheet liability method, on all temporary differences at reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax assets are recognized for all deductible temporary differences and carryforward benefits of unused tax credits from excess of minimum corporate income tax (MCIT) over regular corporate income tax (RCIT) and net operating loss carryover (NOLCO), to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and carry forward benefits of excess of MCIT over RCIT and NOLCO can be utilized, except in certain circumstances as provided in the standard, except:

- where the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit; and,
- in respect of deductible temporary differences associated with investments in subsidiaries and interest in joint ventures and associates, deferred tax assets are recognized only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilized.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax assets to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profit will allow the deferred tax assets to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the period when the asset is realized or the liability is settled, based on tax rates and tax laws that have been enacted or substantially enacted at the reporting date. Deferred tax assets and liabilities are offset, if a legally enforceable right exists to offset current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

Value Added Tax (VAT). Revenues, expenses and assets are recognized net of the amount of VAT, if applicable.

When VAT from sales of goods and/or services (output VAT) exceeds VAT passed on from purchases of goods or services (input VAT), the excess is recognized as part of “Trade payables and other current liabilities” account in the consolidated statement of financial position. When VAT passed on from purchases of goods or services (input VAT) exceeds VAT from sales of goods and/or

services (output VAT), the excess is recognized as part of “Other current assets” account in the consolidated statement of financial position.

Earnings per Share (EPS) Attributable to Equity Holders of the Parent Company

Basic EPS is calculated by dividing the net income for the year attributable to the equity holders of the Parent Company, adjusted for the after-tax amounts of preferred dividends, by the weighted average number of common shares outstanding during the year, after considering the retroactive effect of stock dividend declaration, if any. The effect of cumulative distributions on perpetual capital securities classified as equity in accordance with PAS 32, *Financial Instruments*:

Presentation, is deducted from net income attributable to equity holders of the Parent Company to arrive at the adjusted amount.

Diluted EPS is computed by dividing the net income for the period attributable to the equity holders of the Parent Company by the weighted average number of common shares outstanding during the period, adjusted for any potential common shares resulting from the assumed exercise of outstanding stock options. Outstanding stock options will have dilutive effect under the treasury stock method only when the average market price of the underlying common share during the period exceeds the exercise price of the option.

Where the EPS effect of the shares to be issued to management and employees under the stock option plan would be anti-dilutive, the basic and diluted EPS would be stated at the same amount.

Provisions

Provisions are recognized when the Jollibee Group has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessment of the time value of money and, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognized as interest expense.

Business Segments

The Jollibee Group is organized and managed separately according to the nature of operations and geographical locations of businesses. The three major operating businesses of the Jollibee Group are food service, franchising and support services while geographical segments are segregated to Philippine businesses and International businesses. These operating and geographical businesses are the basis upon which the Jollibee Group reports its primary segment information presented in Note 5.

Events after the Reporting Period

Post period-end events that provide additional information about the Jollibee Group’s financial position at reporting date (adjusting events) are reflected in the Jollibee Group’s consolidated financial statements. Post period-end events that are not adjusting events are disclosed in the notes to consolidated financial statements when material.

4. Significant Accounting Judgments, Estimates and Assumptions

The preparation of the consolidated financial statements requires management to make judgments, estimates and assumptions that affect the reported amounts in the consolidated financial statements and related notes at the end of the reporting period. However, uncertainty about these assumptions and estimates could result in outcomes that could require a material adjustment to the carrying amount of the affected asset or liability in the future.

The Jollibee Group believes the following represents a summary of these significant judgments, estimates and assumptions and the related impact and associated risks on the Jollibee Group's consolidated financial statements.

Judgments

In the process of applying the Jollibee Group's accounting policies, management has made the following judgments, apart from those involving estimations, which have the most significant effect on the amounts recognized in the consolidated financial statements.

Revenue from Contracts with Customers – Determining the Timing of Satisfaction of Set-up Fees.

The Jollibee Group undertakes activities prior to store opening (e.g., initial training, site development, systems set-up, etc.) as indicated in the franchise agreement. The Jollibee Group determines whether these activities are capable of being distinct (i.e., whether the franchisee can benefit on each of these activities on a standalone basis) and whether these activities are distinct within the context of the franchise agreement (i.e., whether these activities can be separated from the franchise license granted to the franchisee).

The Jollibee Group determined that revenue from set-up fees should be recognized on a straight-line basis over the term of the franchise agreement and when performance obligations relating to the payment of set-up fees have been satisfied.

Principal versus Agent Consideration. The Jollibee Group's agreement with the franchisee includes the right to charge the franchisee its share in the Jollibee Group's system-wide advertising and marketing efforts as well as fees for the Jollibee Group's administration of various advertisements, network and media placements. The Jollibee Group determined that it is acting as principal for the system-wide advertising because it is the Jollibee Group who retains the right to direct the service provider of the advertisements, network and media placements, and has the discretion on how to price the advertising fee charges. The Jollibee Group considers both the legal form and the substance of its agreement to determine each party's respective roles in the agreement.

Determining the Lease Term of Contracts with Renewal Options – Jollibee Group as Lessee. The Jollibee Group determines the lease term as the non-cancellable term of the lease, together with any periods covered by an option to extend the lease if it is reasonably certain to be exercised, or any periods covered by an option to terminate the lease, if it is reasonably certain not to be exercised.

The Jollibee Group has the option, under some of its leases to lease the assets for additional terms of 5 to 15 years. The Jollibee Group applies judgement in evaluating whether it is reasonably certain to exercise the option to renew. That is, it considers all relevant factors (i.e., current and forecast of the operations) that create an economic incentive for it to exercise the renewal. After the commencement date, the Jollibee Group reassesses the lease term if there is a significant event or change in circumstances that is within its control and affects its ability to exercise (or not to exercise) the option to renew (e.g., a change in business strategy). The Jollibee Group included the renewal period as part of the lease term for leases of QSR outlets and warehouses due to the significance of these assets to its operations. These leases have a short non-cancellable period (i.e., 5 to 10 years) and there will be a significant negative effect on operations if a replacement is not readily available.

Assessing Joint Control of an Arrangement and the Type of Arrangement. Joint control is the contractually agreed sharing of control of an arrangement which exists only when decisions about the relevant activities require the unanimous consent of the parties sharing control. The Jollibee Group assessed that it has joint control in all joint arrangements by virtue of a contractual agreement with other stockholders. The Jollibee Group's joint ventures have separate legal entities and the shareholders have right to their net assets (see Note 11).

Assessing Control over Investment in Associates. An associate is an entity over which the Jollibee Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over those policies.

Material Partly-Owned Subsidiaries. The consolidated financial statements include additional information about subsidiaries that have non-controlling interests that are material to the Jollibee Group (see Note 11). Management determined material partly-owned subsidiaries as those with balance of non-controlling interest greater than 5% of total non-controlling interests and those subsidiaries with activities that are important to the Jollibee Group as at end of the period.

Material Joint Ventures and Associates. The consolidated financial statements include additional information about joint ventures and associates that are material to the Jollibee Group (see Note 11). Management determined material joint ventures and associates as those joint ventures and associates where the Jollibee Group's carrying amount of investment is greater than 5% of the total interests in joint ventures and investments in associates as at end of the period.

Estimates and Assumptions

The key estimates and assumptions concerning the future and other key sources of estimation uncertainty at reporting date that has a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below. The Jollibee Group based its assumptions and estimates on parameters available when the consolidated financial statements are prepared. Existing circumstances and assumptions about future developments, however, may change due to changes on market circumstances arising beyond the control of the Jollibee Group. Such changes are reflected in the assumptions when they occur.

Determination of Purchase Price Allocation. Management has measured the trademarks and supplier relationships based on the valuation report prepared by the external valuation specialist and the property and equipment that were acquired using the appraisal reports that were prepared by an independent appraiser. The trademarks were valued using present value techniques wherein fair value of the trademarks is based on the present value of the cash flows attributable to the recurring royalty fees and upfront franchise fees as stipulated in the franchise agreement. Significant assumptions and estimates used include long-term growth rates and discount rates based on available market data. The property and equipment were valued using the replacement cost. Adjustments were made to replacement cost to reflect depreciation. The supplier relationships were valued using the multi-period excess earnings method wherein the fair value of supplier relationships is based on the present value of the cash flows attributable to the subject intangible asset after excluding the proportion of the cash flows that are attributable to other assets required to generate the cash flows ("contributory assets"). Significant assumptions and estimates used include long-term growth rates, discount rates based on available market data, revenue growth rate forecasts and store churn rate (see Note 11).

Recoverability of Trademarks and Goodwill. The Jollibee Group determines whether trademarks and goodwill with indefinite useful life is impaired at least on an annual basis or more frequently if events or changes in circumstances indicate that the carrying value may be impaired. This requires an estimation of the value in use of the CGU to which the goodwill is allocated. Estimating the value in use requires the Jollibee Group to make an estimate of the expected net sales, long-term growth rates and earnings before interest, taxes, depreciation and amortization (EBITDA) from the CGU and also consider market data in determining discount rate in order to calculate the present value of those cash flows.

The management has determined that trademarks, goodwill and other intangible assets are not impaired. The carrying amount of trademarks and goodwill amounted to ₱71,649.1 million and ₱60,968.8 million as at June 30, 2025 and December 31, 2024, respectively (see Note 14).

Recoverability of Interests in and Advances to Joint Ventures, Co-venturers and Associates. The Jollibee Group performs impairment test of its interests in and advances to joint ventures, co-venturers and associates when there are facts and circumstances indicating that their carrying amounts exceed their recoverable amounts. Determining the recoverable amount of assets, which requires the determination of future cash flows expected to be generated from the continued operations of joint ventures and associates, requires the Jollibee Group to make significant assumptions that can materially affect the consolidated financial statements. These assumptions include long-term growth rates, EBITDA and discount rate. Future events could cause the Jollibee Group to conclude that the assets are impaired. Any resulting impairment loss could have a material adverse impact on the Jollibee Group's financial position and performance.

The carrying amounts of interests in and advances to joint ventures, co-venturers and associates as at June 30, 2025 and December 31, 2024 are as follows (see Note 11):

	June 2025	December 2024
	(Unaudited)	(Audited)
Interests in joint ventures	₱9,672,528	₱18,288,433
Interests in associates	6,625,765	6,571,313
Advances to a joint venture, associates and a co-venturer	819,981	1,967,853

Recognition of Deferred Income Tax Assets. The carrying amounts of deferred tax assets at each reporting date is reviewed and reduced to the extent that sufficient taxable profits are available to allow all or part of the deferred tax assets to be utilized. The Jollibee Group's assessment on the recognition of deferred tax assets is based on the forecasted taxable income taking into account the period in which the deductible temporary differences can be claimed in the Philippines, PRC, Europe, Singapore and USA. This forecast is based on assumptions that are affected by expected future market or economic conditions and the expected future performance as well as management's plans and strategies of the relevant taxable entities, including the Parent Company and certain subsidiaries.

The carrying amount of the recognized deferred tax assets amounted to ₱22,967.4 million and ₱22,867.1 million as at June 30, 2025 and December 31, 2024, respectively. Unrecognized deferred tax assets amounted to ₱3,109.1 million and ₱2,764.2 million as at June 30, 2025 and December 31, 2024, respectively (see Note 24).

Impairment of Property, Plant and Equipment, Right-of-use Assets and Investment Properties. The Jollibee Group performs impairment review of property, plant and equipment, right-of-use assets and investment properties when certain impairment indicators are present. Management has identified store closures and pre-termination of underlying lease agreements as impairment indicators and has performed impairment assessment on its property, plant and equipment and right-of-use assets and has identified the related lease pre-termination costs, if any.

Determining the fair value of assets, which requires the determination of future cash flows expected to be generated from the continued use and ultimate disposition of such assets, requires the Jollibee Group to make estimates and assumptions that can materially affect the consolidated financial statements. Future events could cause the Jollibee Group to conclude that the assets are impaired. Any resulting impairment loss could have a material adverse impact on the Jollibee Group's financial position and performance.

Provision for impairment loss recognized on property, plant and equipment amounted to nil and ₱10.1 million for the periods ended June 30, 2025 and 2024, respectively. Reversal of previously recognized impairment loss amounted to ₱10.0 million and ₱24.7 million for the periods ended June 30, 2025 and 2024, respectively (see Notes 12 and 22).

The aggregate carrying values of property, plant and equipment, right-of-use assets and investment properties as at June 30, 2025 and December 31, 2024 are as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Property, plant and equipment (see Note 12)	₱45,039,050	₱43,893,416
Right-of-use assets (see Note 29)	42,527,120	44,529,498
Investment properties (see Note 13)	86,347	89,395

Impairment of Receivables and Contract Assets. The Jollibee Group uses a provision matrix to calculate ECLs for its receivables and contract assets. The provision rates are based on days past due.

The provision matrix is initially based on the Jollibee Group's historical observed default rates. The Jollibee Group calibrates the matrix to adjust the historical credit loss experience with forward-looking information. At every reporting date, the historical observed default rates are updated and changes in the forward-looking estimates are analyzed.

The assessment of the correlation between historical observed default rates, forward-looking information, and ECLs is a significant estimate. The amount of ECLs is sensitive to changes in circumstances and of forecast economic conditions. The Jollibee Group's historical credit loss experience and forecast of economic conditions may also not be representative of customers' actual default in the future.

Provision for impairment loss on receivables amounted to ₱90.9 million and ₱11.4 million for the periods ended June 30, 2025 and 2024, respectively (see Note 22). Reversal of previously recognized impairment loss amounted to ₱1.1 million and nil for the periods ended June 30, 2025 and 2024, respectively (see Note 22). The carrying amount of receivables and contract assets amounted to ₱9,846.1 million and ₱10,802.5 million as at June 30, 2025 and December 31, 2024, respectively (see Note 7).

Net Realizable Value of Inventories. The Jollibee Group writes down inventories to net realizable value, through the use of an allowance account, whenever the net realizable value of inventories becomes lower than the cost due to damage, physical deterioration, obsolescence, changes in price levels or other causes.

The estimates of net realizable value are based on the most reliable evidence available at the time the estimates are made of the amounts the inventories are expected to be realized. These estimates take into consideration fluctuations of prices or costs directly relating to events occurring after reporting date to the extent that such events confirm conditions existing at reporting date. The allowance account is reviewed on a regular basis to reflect the accurate valuation in the financial records.

The Jollibee Group assessed that the net realizable value for some inventories is lower than cost, hence, it recognized provision for inventory obsolescence amounting to ₱12.7 million and ₱73.4 million for the periods ended June 30, 2025 and 2024, respectively (see Note 22). Reversal of previously recognized impairment loss amounted to ₱16.6 million and ₱8.0 million for the periods ended June 30, 2025 and 2024, respectively (see Note 22). The carrying amount of inventories amounted to ₱15,855.1 million and ₱13,872.7 million as at June 30, 2025 and December 31, 2024, respectively (see Note 8).

Present Value of Defined Benefit Obligation. The pension expense as well as the present value of the defined benefit obligation are determined using actuarial valuations. The actuarial valuation involves making various assumptions. These include the determination of the discount rates and the future salary increases. Due to the complexity of the valuation, the underlying assumptions and its long-term nature, defined benefit obligations are highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

In determining the appropriate discount rate, management considers the interest rates of government bonds that are denominated in the currency in which the benefits will be paid, with extrapolated maturities corresponding to the expected duration of the defined benefit obligation. Future salary increases are based on budgetary salary increases.

The carrying amount of pension liability amounted to ₱3,059.0 million and ₱2,851.4 million as at June 30, 2025 and December 31, 2024, respectively (see Note 25).

Share-based Payments. The Parent Company measures the cost of its equity-settled transactions with management and employees by reference to the fair value of the equity instruments at the grant date. Estimating fair value for share-based payment transactions requires determining the most appropriate valuation model, which is dependent on the terms and conditions of the grant. The estimate also requires determining the most appropriate inputs to the valuation model including the expected life of the share option, volatility and dividend yield and making assumptions about these inputs. The fair value of the share option is being determined using the Black-Scholes Option Pricing Model. The expected life of the stock options is based on the expected exercise behavior of the stock option holders and is not necessarily indicative of the exercise patterns that may occur. The volatility is based on the average historical price volatility which may be different from the expected volatility of the shares of the Parent Company.

Total expense arising from share-based payment recognized by the Jollibee Group amounted to ₱258.3 million and ₱240.1 million for the periods ended June 30, 2025 and 2024, respectively (see Notes 19, 22, 26 and 27).

Accrual of Liabilities. In the normal course of business, the Jollibee Group accrues liabilities based on management's best estimate of costs incurred, particularly in cases when the Jollibee Group has not yet received final billings from suppliers and vendors. There are also ongoing negotiations and reconciliations with suppliers and vendors on certain liabilities recorded. These balances are continuously reviewed by management and are adjusted based on these reviews, resulting to reversals of certain liabilities as other income.

Other income recognized by the Jollibee Group from reversals of liabilities amounted to ₱862.7 million and ₱860.9 million for the periods ended June 30, 2025 and 2024, respectively (see Note 23).

Fair Value of Financial Assets and Liabilities. When the fair values of financial assets and financial liabilities recorded or disclosed in the consolidated statement of financial position cannot be measured based on quoted prices in active markets, their fair value is measured using valuation techniques, including the discounted cash flow model. The inputs to these models are taken from observable markets where possible, but when this is not feasible, a degree of judgment is required in establishing fair values. Judgments include considerations of inputs such as liquidity risk, credit risk and volatility. Changes in assumptions about these factors could affect the reported fair value of financial instruments.

The fair value of financial assets and liabilities are discussed in Note 32.

Provisions and Contingencies. The Jollibee Group is involved in litigations, claims and disputes, and regulatory assessments which are normal to its business. The estimate of the probable costs for the resolution of these claims has been developed in consultation with the Jollibee Group's legal counsels and based upon an analysis of potential results (see Note 17). The inherent uncertainty over the outcome of these matters is brought about by the differences in the interpretation and application of laws and rulings. Management believes that the ultimate liability, if any, with respect to the litigations, claims and disputes, and regulatory assessments will not materially affect the financial position and performance of the Jollibee Group.

Total outstanding provisions amounted to ₱1,934.0 million as at June 30, 2025 and December 31, 2024 (see Notes 17 and 30).

5. Segment Information

For management purposes, the Jollibee Group is organized into segments based on the nature of the products and services offered and geographical locations. The Executive Management Committee monitors the operating results of its segments separately for resource allocation and performance assessment. Segment results are evaluated based on operating profit or loss and is measured consistently with operating profit or loss in the consolidated financial statements.

Business Segments

The Jollibee Group's operating businesses are organized and managed separately according to the nature of the products and services provided, with each segment representing a strategic business unit that offers different products and serves different markets.

- The food service segment is involved in the operations of QSRs and the manufacture of food products to be sold to Jollibee Group-owned and franchised QSR outlets.
- The franchising segment is involved in the franchising of the Jollibee Group's QSR store concepts.
- The support services segment is involved in providing various services mainly to the Jollibee Group's independent franchisees like but not limited to repairs and maintenance of store equipment, staffing, helpdesk services and other business activities in support of the QSR systems.

The following tables present certain information on revenues, expenses and other segment information of the different business segments for the periods ended June 30, 2025 and 2024:

	June 2025 (Unaudited)				
	Food Service	Franchising	Support Services	Eliminations	Consolidated
Revenues from external customers	₱136,191,880	₱11,363,788	₱295,993	₱-	₱147,851,661
Inter-segment revenues	19,359,476	2,906,847	3,927,888	(26,194,211)	-
Segment revenues	155,551,356	14,270,635	4,223,881	(26,194,211)	147,851,661
Segment expenses	(153,183,615)	(5,960,847)	(3,979,507)	26,194,211	(136,929,758)
Provisions for impairment loss on receivables, inventories and property, plant and equipment – net of reversals	(75,869)	-	-	-	(75,869)
Equity in net earnings of joint ventures and associates – net	230,319	-	-	-	230,319
Other segment income – net	813,513	-	-	-	813,513
Segment result	₱3,335,704	₱8,309,788	₱244,374	₱-	11,889,866
Interest income					318,383
Interest expense					(3,627,392)
Income before income tax					8,580,857
Provision for income tax					2,666,385
Net income					₱5,914,472

	June 2024 (Unaudited)				
	Food Service	Franchising	Support Services	Eliminations	Consolidated
Revenues from external customers	₱119,409,246	₱8,874,045	₱236,510	₱—	₱128,519,801
Inter-segment revenues	18,491,366	2,973,430	3,736,818	(25,201,614)	—
Segment revenues	137,900,612	11,847,475	3,973,328	(25,201,614)	128,519,801
Segment expenses	(135,574,850)	(5,138,761)	(3,785,712)	25,201,614	(119,297,709)
Provisions for impairment loss on receivables, inventories and property, plant and equipment – net of reversals	(62,160)	—	—	—	(62,160)
Equity in net earnings of joint ventures and associates – net	151,244	—	—	—	151,244
Other segment income – net	906,380	—	—	—	906,380
Segment result	₱3,321,226	₱6,708,714	₱187,616	₱—	10,217,556
Interest income					461,547
Interest expense					(2,668,693)
Income before income tax					8,010,410
Provision for income tax					2,119,295
Net income					₱5,891,115

The following tables present certain information on assets and liabilities and other segment information of the different business segments as at June 30, 2025 and December 31, 2024:

	June 2025 (Unaudited)				
	Food Service	Franchising	Support Services	Eliminations	Consolidated
Assets and Liabilities					
Segment assets	₱259,228,872	₱—	₱45,721	₱—	₱259,274,593
Deferred tax assets – net	9,946,001	—	—	—	9,946,001
Consolidated assets	₱269,174,873	₱—	₱45,721	₱—	₱269,220,594
Segment liabilities	₱163,888,471	₱—	₱24,156	₱—	₱163,912,627
Deferred tax liabilities – net	5,801,759	—	—	—	5,801,759
Long-term debt – including current portion	20,868,318	—	—	—	20,868,318
Income tax payable	703,966	—	453	—	704,419
Consolidated liabilities	₱191,262,514	₱—	₱24,609	₱—	₱191,287,123
Other Segment Information					
Capital expenditures	₱5,555,150	₱—	₱—	₱—	₱5,555,150
Depreciation and amortization	9,037,687	—	1,057	—	9,038,744

	December 2024 (Audited)				
	Food Service	Franchising	Support Services	Eliminations	Consolidated
Assets and Liabilities					
Segment assets	₱253,979,057	₱—	₱199,408	₱—	₱254,178,465
Deferred tax assets – net	9,372,402	—	27	—	9,372,429
Consolidated assets	₱263,351,459	₱—	₱199,435	₱—	₱263,550,894
Segment liabilities	₱146,400,757	₱—	₱25,155	₱—	₱146,425,912
Deferred tax liabilities – net	5,717,243	—	—	—	5,717,243
Long-term debt – including current portion	16,052,580	—	—	—	16,052,580
Income tax payable	787,087	—	653	—	787,740
Consolidated liabilities	₱168,957,667	₱—	₱25,808	₱—	₱168,983,475
Other Segment Information					
Capital expenditures	₱11,979,848	₱—	₱—	₱—	₱11,979,848
Depreciation and amortization	17,745,718	—	1,216	—	17,746,934

Geographical Segments

The Jollibee Group's geographical segments are based on the location of the assets producing revenues in the Philippines and in other locations which include PRC, USA, Canada, Vietnam, Singapore, Malaysia, Italy, UK, UAE, Hongkong, Macau, Brunei, Taiwan and South Korea. Sales to external customers disclosed in the geographical segments are based on the geographical location of the customers.

Majority of the Jollibee Group's revenues were generated from the Philippines, which is the Parent Company's country of domicile.

The Jollibee Group does not have a single external customer with revenues amounting to 10% or more of the Jollibee Group's revenues.

The following tables present segment revenues, segment assets and capital expenditures of the Jollibee Group's geographical segments:

	As at and Period Ended June 30, 2025 (Unaudited)			
	Philippines	International	Eliminations	Consolidated
Segment revenues	₱87,484,262	₱ 61,404,387	(₱1,036,988)	₱147,851,661
Segment assets	87,380,600	171,893,993	–	259,274,593
Capital expenditures	3,176,850	2,378,300	–	5,555,150

	As at and Period Ended June 30, 2024 (Unaudited)			
	Philippines	International	Eliminations	Consolidated
Segment revenues	₱79,348,171	₱50,165,823	(₱994,193)	₱128,519,801
Segment assets	85,456,894	154,383,139	–	239,840,033
Capital expenditures	2,679,025	2,540,265	–	5,219,290

Revenue from Contracts with Customers

Set out below is the disaggregation of the Jollibee Group's revenue from contracts with customers:

	June 2025 (Unaudited)			
Revenue Source	Food Service	Franchising	Support Services	Total
Sale of goods	₱136,062,478	₱–	₱–	₱136,062,478
Royalty fees	–	7,372,597	–	7,372,597
System-wide advertising fees	–	2,683,061	–	2,683,061
Service fees	–	798,014	272,461	1,070,475
Set-up fees	–	510,116	–	510,116
Other revenues	129,402	–	23,532	152,934
Total revenue from contracts with customers	₱136,191,880	₱11,363,788	₱295,993	₱147,851,661

Timing of recognition:

Goods transferred at a point in time	₱136,487,873
Services transferred over time	11,363,788
	₱147,851,661

Revenue Source	June 2024 (Unaudited)			Total
	Food Service	Franchising	Support Services	
Sale of goods	₱119,259,546	₱—	₱—	₱119,259,546
Royalty fees	—	6,455,499	—	6,455,499
System-wide advertising fees	—	2,165,331	—	2,165,331
Service fees	—	—	212,689	212,689
Set-up fees	—	253,215	—	253,215
Other revenues	149,700	—	23,821	173,521
Total revenue from contracts with customers	₱119,409,246	₱8,874,045	₱236,510	₱128,519,801
Timing of recognition:				
Goods transferred at a point in time				₱119,645,756
Services transferred over time				8,874,045
				₱128,519,801

6. Cash and Cash Equivalents and Short-term Investments

Cash and Cash Equivalents

This account consists of:

	June 2025 (Unaudited)	December 2024 (Audited)	June 2024 (Unaudited)
Cash on hand	₱389,263	₱335,246	₱467,853
Cash in banks	21,222,637	21,620,463	16,787,644
Short-term deposits	10,328,584	7,370,940	20,550,795
	₱31,940,484	₱29,326,649	₱37,806,292

Cash in banks earn interest at the respective savings or special demand deposit rates. Short-term deposits are made for varying periods of up to three months depending on the immediate cash requirements of the Jollibee Group, and earn interest at the respective short-term deposit rates.

Short-term Investments

The Jollibee Group also has short-term investments amounting to ₱715.4 million and ₱85.5 million as at June 30, 2025 and December 31, 2024, respectively. These pertain to deposits with maturities of more than three months but less than a year.

Interest income earned from cash and cash equivalents and short-term investments amounted to ₱266.6 million and ₱408.9 million for the periods ended June 30, 2025 and 2024, respectively (see Note 23).

7. Receivables and Contract Assets

This account consists of:

	June 2025 (Unaudited)	December 2024 (Audited)
Trade	₱ 6,844,079	₱7,600,569
Less allowance for impairment loss	1,445,894	1,381,857
	5,398,185	6,218,712
Advances to employees	1,670,329	1,473,304
Receivable from retirement fund (see Notes 25 and 27)	1,140,864	1,009,022
Current portion of employee car plan receivables (see Note 15)	65,583	63,478
Interest receivable	4,887	6,819
Others	79,595	84,740
	8,359,443	8,856,075
Contract assets	1,486,683	1,946,440
	₱9,846,126	₱10,802,515

The terms and conditions of the receivables are as follows:

- Trade receivables are noninterest-bearing and are generally settled on a 14-day term. The Jollibee Group classified accrued receivables as contract assets, which are billed and collected in the next twelve (12) months.
- Receivable from retirement fund represents benefit payments made by the Jollibee Group for and on behalf of the retirement plans. The receivable is noninterest-bearing.
- Advances to employees, current portion of employee car plan receivables, interest and other receivables are normally collectible within the next financial year.
- Other receivables consist of receivables from the Social Security System (SSS) and insurance claims.

The movements in the allowance for impairment loss on trade receivables as at June 30, 2025 and December 31, 2024 are as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Balance at beginning of period	₱1,381,857	₱1,170,126
Provisions (see Note 22)	90,861	450,373
Write-offs	(2,222)	(202,455)
Reversals (see Note 22)	(1,074)	(67,173)
Translation adjustments	(23,528)	30,986
Balance at end of period	₱1,445,894	₱1,381,857

8. Inventories

This account consists of:

	June 2025 (Unaudited)	December 2024 (Audited)
At net realizable value:		
Food supplies and processed inventories	₱14,590,543	₱12,564,898
Novelty items	52,724	86,348
	14,643,267	12,651,246
At cost -		
Packaging, store and other supplies	1,211,874	1,221,460
Total inventories at lower of cost and net realizable value	₱15,855,141	₱13,872,706

The cost of food supplies and processed inventories, and novelty items carried at net realizable value amounted to ₱14,966.6 million and ₱111.5 million, respectively, as at June 30, 2025 and ₱12,936.6 million and ₱162.5 million, respectively, as at December 31, 2024.

The movements in the allowance for inventory obsolescence as at June 30, 2025 and December 31, 2024 are as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Balance at beginning of period	₱447,854	₱549,518
Reversals (see Note 22)	(16,621)	(70,855)
Provisions (see Note 22)	12,664	60,390
Write-offs	(7,860)	(94,949)
Translation adjustments	(1,273)	3,750
Balance at end of period	₱434,764	₱447,854

9. Other Current Assets

This account consists of:

	June 2025 (Unaudited)	December 2024 (Audited)
Prepaid expenses:		
Taxes	₱6,700,834	₱6,372,012
Rent	943,418	1,013,849
Supplies	151,932	141,219
Insurance and others	1,484,638	1,308,330
Deposit to suppliers and other third parties	2,364,556	2,364,719
Current portion of security and other deposits (see Note 15)	270,004	275,932
	₱11,915,382	₱11,476,061

Terms and conditions of other current assets are as follows:

- Prepaid taxes represent creditable withholding taxes that can be applied in the following year against the corporate income tax due or can be claimed as tax refund from Tax Authorities. This also includes prepaid real property and local business taxes which are expected to be utilized within the next twelve (12) months.
- Prepaid rent pertains to short-term leases of store and office spaces that are paid in advance. Supplies consist of various office and administrative supplies. Prepaid rent, insurance and others are normally utilized within the next financial year.
- Deposit to suppliers and other third parties are generally applied to purchase of inventories and availment of services within the next financial year.

10. Financial Assets at FVTPL

This account consists of:

	June 2025 (Unaudited)	December 2024 (Audited)
Investments in:		
Private equity fund	₱336,443	₱335,363
Bond funds	210,531	211,535
Club shares	38,682	38,682
	585,656	585,580
Less current portion	210,531	211,534
Noncurrent portion	₱375,125	₱374,046

On October 25, 2023, the Jollibee Group, through its wholly owned subsidiary, JFC USA, subscribed as a limited partner in LCGP3 Fresh Flavors Holdings, L.P., a private equity fund in the United States of America, for a committed amount of USD5.0 million (₱284.3 million). As at June 30, 2025 and December 31, 2024, total subscription including mark-to-market gains amounted to USD6.0 million (₱336.4 million) and USD5.8 million (₱335.4 million), respectively.

Unused proceeds from the issuance of senior perpetual securities in January 2020 and senior debt securities in June 2020 totaling to USD759.8 million (₱37,857.1 million) were invested by the Jollibee Group in bond funds (see Notes 18 and 19).

In 2025 and 2024, JWPL redeemed bond funds amounting to nil and USD207.5 million (₱11,854.8 million), respectively. As at June 30, 2025 and December 31, 2024, remaining balance in investment in bond funds, including interest and dividends earned, amounted to USD3.7 million (₱210.5 million) and USD3.7 million (₱211.5 million), respectively.

Investment in club shares includes investment in shares of stocks of Tagaytay Highlands and other golf and leisure clubs.

The movements in financial assets at FVTPL are as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Balance at beginning of period	₱585,580	₱8,169,982
Mark-to-market gain on financial assets at FVTPL (see Note 23)	15,069	178,589
Redemptions	(414)	(11,854,808)
Additions	–	3,907,874
Translation adjustment	(14,579)	183,943
Balance at end of period	₱585,656	₱585,580

The fair value of financial assets at FVTPL has been determined directly by reference to quoted prices in active market or inputs other than quoted prices that are directly or indirectly observable.

11. Business Combinations, Incorporation of New Subsidiaries, Material Non-controlling Interests, Interests in and Advances to Joint Ventures, Co-venturers and Associates and Divestments

A. Business Combinations

Acquisition of Tim Ho Wan Business. On November 5, 2024, the Jollibee Group, through its wholly owned subsidiary, JWPL, signed an agreement with a subsidiary of Titan Dining LP (Titan Fund) to transfer the ownership and management of Tim Ho Wan business from Titan Fund to JWPL, through the transfer of 100% ownership of Tim Ho Wan business to JWPL. The completion of this transaction is subject to closing conditions.

On January 2, 2025, JWPL completed the transfer of 100% ownership of Tim Ho Wan business under the same terms as disclosed on November 5, 2024, for a total consideration of SGD252.2 million (₱10,695.8 million). JWPL holds a 92% participating interest in Titan Fund as at December 31, 2024. Accordingly, JWPL paid a total cash consideration amounting to SGD20.2 million (₱855.7 million) corresponding to the 8% participating interest held by the other investors in Titan Fund. The Jollibee Group included Tim Ho Wan business in its financial consolidation starting January 2, 2025 (the “acquisition date”).

The fair value of the identifiable assets acquired, and liabilities assumed as at the date of the acquisition were as follows:

Cash and cash equivalents	₱851,996
Receivables	46,741
Inventories	9,628
Other current assets	209,520
Property, plant and equipment (see Note 12)	406,320
Trademark (see Note 14)	1,111,035
Deferred tax assets	46,402
Other noncurrent assets	115,397
Total identifiable assets acquired	2,797,039

(Forward)

Less:	
Trade payables and other current liabilities	₱676,188
Long-term debt (Note 18)	1,192,715
Deferred tax liabilities	143,805
Total identifiable liabilities assumed	2,012,708
Less non-controlling interest	52,119
Net identifiable assets acquired	₱732,212

The amount of provisional goodwill at acquisition date amounted to ₱9,963.6 million determined as follows:

<i>Fair value of consideration transferred:</i>	
Total consideration	₱10,695,802
Less fair value of net identifiable assets acquired	732,212
Provisional goodwill (see Note 14)	₱9,963,590

The net cash outflow from the acquisition is as follows:

Cash paid on acquisition	₱855,664
Less cash acquired from subsidiary	851,996
	₱3,668

The provisional goodwill of ₱9,963.6 million is attributable to synergies and other benefits from the acquisition of Tim Ho Wan Business.

The net assets recognized in the consolidated financial statements were based on the provisional assessment of their fair values while the Jollibee Group sought an independent valuation for trademark and other intangible assets owned by Tim Ho Wan. The valuation had not been completed by the date the consolidated financial statements were approved for issue by the BOD.

From the acquisition date, Tim Ho Wan Business contributed ₱1,428.0 million of revenues and ₱56.9 million net loss to the Jollibee Group.

Acquisition of Compose Coffee. On July 2, 2024, the Jollibee Group, through its wholly owned subsidiary, JWPL, in partnership with Elevation Equity Partners Korea Limited (EEP) and Titan Dining Investments Pte. Ltd. (TDIPL), signed definitive agreements to acquire majority shareholding in Compose Coffee Co., Ltd. and Compose Coffee Smart Factory Co. Ltd. (collectively called “Compose Coffee”). JPWL, EEP and TDIPL acquired Compose Coffee through the creation of Jolli-K Co., Ltd. (Jolli-K). Jolli-K, with an initial capitalization of KRW470.0 billion (₱19,851.7 million), is 70% owned by JWPL while the remaining shareholdings are held by EEP and TDIPL with effective shareholdings of 25% and 5%, respectively.

On August 16, 2024, Jolli-K completed the acquisition of Compose Coffee for a total cash consideration of KRW455.0 billion (₱19,017.7 million) on a debt-free basis and cash accretive position. The completion of the transaction was effected after the completion of closing conditions, including required government approvals, provided under the definitive agreements.

Transaction costs of KRW1.1 billion (₱47.1 million) have been expensed and are included in general and administrative expenses in the consolidated statement of comprehensive income for the year ended December 31, 2024.

The Jollibee Group included Compose Coffee in its financial consolidation starting August 16, 2024 (the “acquisition date”).

The fair value of the identifiable assets acquired, and liabilities assumed as at the date of the acquisition were as follows:

Cash and cash equivalents	₱1,694,557
Receivables	784,486
Inventories	167,423
Other current assets	1,869,658
Property, plant and equipment (see Note 12)	566,786
Supplier relationships (see Note 14)	6,796,001
Trademark (see Note 14)	5,408,469
Deferred tax assets	200
Other noncurrent assets	11,440
Total identifiable assets acquired	17,299,020
Less:	
Trade payables and other current liabilities	574,729
Deferred tax liabilities	2,589,494
Total identifiable liabilities assumed	3,164,223
Net identifiable assets acquired	₱14,134,797

The amount of goodwill at acquisition date amounted to ₱3,416.5 million determined as follows:

<i>Fair value of consideration transferred:</i>	
Total consideration	₱13,306,311
Proportionate share of the non-controlling interest in the fair value of the net identifiable assets acquired	4,244,962
Aggregate amount	17,551,273
Less fair value of net identifiable assets acquired	14,134,797
Goodwill (see Note 14)	₱3,416,476

The net cash outflow from the acquisition is as follows:

Cash paid on acquisition	₱13,306,311
Less cash acquired from subsidiary	1,694,557
	₱11,611,754

The goodwill of ₱3,416.5 million is attributable to synergies and other benefits from the acquisition of Compose Coffee.

From the acquisition date to December 31, 2024, Compose Coffee contributed ₱2,376.7 million of revenues and ₱651.0 million net income to the Jollibee Group. If the business combination had taken place at the beginning of 2024, contribution to consolidated revenues and net income for the year would have been ₱6,465.3 million and ₱2,726.9 million, respectively.

On August 16, 2024, following the completion of the acquisition of Compose Coffee, the BOD of Jolli-K approved the resolution to reduce its capitalization from KRW470.0 billion (₱19,851.7 million) to KRW435.0 billion (₱18,389.2 million) by way of distribution proportionate to the shareholders’ ownership interest.

On March 5, 2025, the BOD of Jolli-K approved the resolution to further reduce its capitalization from KRW435.0 billion (₩18,389.2 million) to KRW423.0 billion (₩17,908.4 million) by way of distribution proportionate to the shareholders' ownership interest. Total amount distributed to non-controlling interests amounted to KRW3.6 billion (₩150.6 million).

Acquisition of MHL. On April 5, 2023, the Jollibee Group through GPPL, disclosed that it will purchase a majority stake from the shareholders of Meko Holdings Limited (MHL), Jollibee brand's master franchisee in Hong Kong. GPPL will acquire 60% ownership for USD16.1 million (₩910.1 million) subject to adjustments. The remaining 40% will continue to be owned by the current shareholders of MHL. Completion of this transaction is subject to the fulfillment of the agreed closing conditions.

On September 1, 2023, GPPL completed the acquisition of 60% ownership in MHL under the same terms as disclosed on April 5, 2023 for a total consideration of USD16.1 million (₩910.1 million). GPPL paid a total cash consideration of USD14.1 million (₩796.9 million). In accordance with the Purchase Agreement, the remaining amount of USD2.0 million (₩113.2 million), was withheld by the Jollibee Group to recover for potential liabilities of MHL until August 31, 2024. This amount is presented as part of "trade payables and other current liabilities and contract liabilities" in the consolidated statements of financial position as at December 31, 2023. Subsequently, the USD2.0 million (₩113.2 million) was paid on September 3, 2024.

The Jollibee Group included MHL in its financial consolidation starting September 1, 2023 (the "acquisition date").

The fair value of the identifiable assets acquired, and liabilities assumed as at the date of the acquisition were as follows:

Cash and cash equivalents	₩31,913
Receivables	382
Inventories	11,051
Other current assets	13,392
Property, plant and equipment	419,833
Right-of-use assets	411,609
Deferred tax assets	73,954
Other noncurrent assets	145,162
Total identifiable assets acquired	1,107,296
Less:	
Trade payables and other current liabilities	77,413
Lease liabilities	411,609
Deferred tax liabilities	110,121
Total identifiable liabilities assumed	599,143
Net identifiable assets acquired	₩508,153

The amount of goodwill at acquisition date amounted to ₱605.2 million determined as follows:

<i>Fair value of consideration transferred:</i>	
Total consideration	₱910,128
Fair value of non-controlling interest's share in the net identifiable assets acquired	203,261
Aggregate amount	1,113,389
Less fair value of net identifiable assets acquired	508,153
Goodwill	₱605,236

The net cash outflow from the acquisition is as follows:

Cash paid on acquisition	₱796,928
Less cash acquired from subsidiary	31,913
	₱765,015

The goodwill of ₱605.2 million is attributable to synergies and other benefits from the acquisition of MHL.

From the acquisition date to December 31, 2023, MHL contributed ₱10.8 million net income to the Jollibee Group. If the business combination had taken place at the beginning of 2023, contribution to consolidated revenues and net income for the year would have been ₱846.4 million and ₱60.7 million, respectively.

B. Incorporation of New Subsidiaries

CBTL Gift Card LLC. On August 2, 2024, the Jollibee Group, through ICTL, incorporated CBTL Gift Card LLC in the State of Arizona. Its main business will be to issue gift cards within the US.

MKSA LLC (MKSA). On March 21, 2024, the Jollibee Group, through its wholly owned subsidiary Jolly USA Services LLC, organized MKSA in the State of Delaware to operate Milksha stores and potential franchising in the US. As at June 30, 2025 and December 31, 2024, the capital investment to MKSA amounted to USD4.0 million (₱228.3 million) and has not started commercial operations.

JWPL Technology Co. Ltd. (JWPL Technology). On March 6, 2024, the Jollibee Group, through its wholly owned subsidiary, JWPLM, incorporated JWPL Technology in Thailand. Its main business will be digital services including in-house development of digital platforms, project and product management and digital center of excellence of the Jollibee Group. As at June 30, 2025 and December 31, 2024, the capital investment to JWPL Technology amounted to THB20.4 million (₱34.7 million) and has not started commercial operations.

FCJB Foods Inc. (FCJB). On August 3, 2023, the Parent Company and Food Collective, Pte. Ltd. (FCPL) announced the establishment of a joint venture that will own and operate Tiong Bahru Bakery and Common Man Coffee Roaster brands in the Philippines.

The joint venture entity, incorporated as FCJB on August 29, 2023, is 60% owned by the Parent Company and 40% owned by FCPL. Both companies have committed to invest up to ₱250.0 million to the joint venture. The capital investment of the Parent Company to FCJB amounted to ₱250.0 million as at June 30, 2025 and December 31, 2024. FCJB started operations on December 8, 2023.

Jollibee (Shanghai) Consulting Management Co., Ltd. (Shanghai Consulting Management).

On August 21, 2023, the Jollibee Group, through its wholly owned subsidiary, Jollibee (China) Food & Beverage Management Co. Ltd., incorporated Shanghai Consulting Management to provide executive, human resources and business technology services in China. Shanghai Consulting Management started commercial operations on May 1, 2024. The capital investment to Shanghai Consulting Management amounted to RMB30.0 million (₱233.9 million) as at June 30, 2025 and December 31, 2024.

Pinnacle Quality Food Inc. (PQF). On June 6, 2022, the Jollibee Group, through its wholly owned subsidiary, Zenith, incorporated PQF to engage in, operate, conduct and maintain the business of manufacturing, importing, buying, selling or otherwise undertaking in wholesale and retail of all kinds of food products and any and all equipment, materials, supplies used or employed in or related to the manufacture of such finished products; to engage, directly or indirectly, in the planting, raising, culture, harvesting and processing of raw agricultural and fishery products into semi-processed or finished products, the packaging and marketing of such products, and to engage in other farm activities and practices. PQF started commercial operations in November 2024. As at June 30, 2025 and December 31, 2024, the capital investment to PQF amounted to ₱150.6 million.

C. Material Non-Controlling Interests

The Jollibee Group has subsidiaries with material non-controlling interests as provided below.

Proportion of equity interest held by non-controlling interests in 2025 and 2024 are as follows:

	Country of incorporation and operation	2025	2024
SuperFoods Group	Vietnam	40%	40%
SMCC-SG	Singapore	20%	20%
GBPL	Singapore	40%	40%
Milksha	Taiwan	49%	49%
MHL	Hong Kong	40%	40%
Compose Coffee	South Korea	30%	30%

The summarized financial information of SuperFoods Group, SMCC-SG, GBPL, Milksha, MHL and Compose Coffee in 2025 and 2024 are provided below. These information are based on amounts before intercompany eliminations.

Summarized Unaudited Statements of Comprehensive Income for the period ended June 30

	SuperFoods Group	
	2025	2024
Revenues	₱5,604,041	₱4,990,561
Net income	187,986	138,212
Other comprehensive income (loss)	(14,787)	39
Total comprehensive income	173,199	138,251
Total comprehensive income attributable to non-controlling interests	69,280	55,300

	SMCC – SG	
	2025	2024
Revenues	₱10,914,960	₱9,884,093
Net loss	(434,993)	(943,220)
Other comprehensive income (loss)	484,149	(827,541)
Total comprehensive income (loss)	49,155	(1,770,761)
Total comprehensive income (loss) attributable to non-controlling interests	9,831	(354,152)
	GBPL	
	2025	2024
Revenues	₱1,067,746	₱969,207
Net income	12,634	68,495
Other comprehensive income	10,710	8,456
Total comprehensive income	23,344	76,951
Total comprehensive income attributable to non-controlling interests	9,338	30,780
	Milksha	
	2025	2024
Revenues	₱1,182,704	₱1,151,186
Net income	82,552	87,379
Other comprehensive income (loss)	67,045	(2,807)
Total comprehensive income	149,597	84,572
Total comprehensive income attributable to non-controlling interests	73,303	41,440
	MHL	
	2025	2024
Revenues	₱852,009	₱793,213
Net income (loss)	10,487	(47,602)
Other comprehensive income (loss)	(13,804)	15,441
Total comprehensive loss	(3,317)	(32,161)
Total comprehensive loss attributable to non-controlling interests	(1,327)	(12,864)
	Compose Coffee	
	2025	
Revenues	₱7,037,192	
Net income	1,101,930	
Other comprehensive income	113,230	
Total comprehensive income	1,215,160	
Total comprehensive income attributable to non-controlling interests	310,255	

Summarized Statements of Financial Position as at June 30, 2025 (Unaudited) and December 31, 2024 (Audited)

	SuperFoods Group	
	2025	2024
Current assets	₱1,016,087	₱1,085,260
Noncurrent assets	8,089,784	7,982,398
Current liabilities	4,583,298	4,741,827
Noncurrent liabilities	3,674,617	3,645,629
Total equity	847,956	680,202
Equity attributable to non-controlling interests	339,182	272,081
	SMCC – SG	
	2025	2024
Current assets	₱4,399,121	₱4,035,210
Noncurrent assets	33,409,078	34,484,198
Current liabilities	27,816,482	28,128,762
Noncurrent liabilities	12,152,297	12,887,910
Total deficit	(2,160,580)	(2,497,264)
Deficit attributable to non-controlling interests	(3,351,610)	(3,419,093)
	GBPL	
	2025	2024
Current assets	₱268,378	₱366,267
Noncurrent assets	981,141	734,771
Current liabilities	359,270	282,610
Noncurrent liabilities	601,306	535,661
Total equity	288,943	282,767
Equity attributable to non-controlling interests	115,577	113,107
	Milksha	
	2025	2024
Current assets	₱1,089,976	₱1,098,898
Noncurrent assets	455,684	192,527
Current liabilities	773,737	612,424
Noncurrent liabilities	123,008	93,138
Total equity	648,915	585,863
Equity attributable to non-controlling interests	317,968	287,073
	MHL	
	2025	2024
Current assets	₱180,785	₱181,818
Noncurrent assets	862,274	969,646
Current liabilities	541,196	638,628
Noncurrent liabilities	84,198	103,532
Total equity	417,665	409,304
Equity attributable to non-controlling interests	167,066	163,722

	Compose Coffee	
	2025	2024
Current assets	₱5,378,174	₱4,296,146
Noncurrent assets	17,786,310	17,668,712
Current liabilities	1,704,415	984,814
Noncurrent liabilities	2,545,700	2,372,137
Total equity	18,914,369	18,607,907
Equity attributable to non-controlling interests	4,070,623	4,023,019

Summarized Unaudited Cash Flow Information for the period ended June 30

	SuperFoods Group	
	2025	2024
Net cash provided by operating activities	₱341,913	₱433,598
Net cash used in investing activities	(475,332)	(674,248)
Net cash provided by financing activities	51,902	188,851
Net decrease in cash and cash equivalents	(81,517)	(51,799)

	SMCC-SG	
	2025	2024
Net cash provided by operating activities	₱1,907,516	₱1,465,782
Net cash used in investing activities	(324,951)	(847,308)
Net cash provided by (used in) financing activities	(1,575,510)	197,044
Net increase in cash and cash equivalents	7,055	815,518

	GBPL	
	2025	2024
Net cash provided by operating activities	₱45,305	₱184,279
Net cash used in investing activities	(131,907)	(94,281)
Net cash used in financing activities	(17,169)	(42,386)
Net increase (decrease) in cash and cash equivalents	(103,771)	47,612

	Milksha	
	2025	2024
Net cash provided by operating activities	₱278,448	₱96
Net cash used in investing activities	(265,867)	(20,761)
Net increase (decrease) in cash and cash equivalents	12,581	(20,665)

	MHL	
	2025	2024
Net cash provided by operating activities	₱35,397	₱42,220
Net cash used in investing activities	(55,381)	(65,031)
Net cash provided by (used in) financing activities	(1,522)	3,625
Net decrease in cash and cash equivalents	(21,506)	(19,186)

	Compose Coffee	
	2025	
Net cash provided by operating activities	₱1,255,812	
Net cash used in investing activities	(61,826)	
Net cash used in financing activities	(298,500)	
Net increase in cash and cash equivalents	895,486	

D. Interests in and Advances to Joint Ventures, Co-venturers and Associates

	June 2025 (Unaudited)	December 2024 (Audited)
Interests in joint ventures:		
Titan Dining LP	₹7,485,947	₹16,264,727
Titan Dining II LP	1,368,101	1,358,801
Golden Bee Foods Restaurant LLC	594,978	417,172
JBPX Foods Inc.	132,510	156,271
Yoshinoya Jollibee Foods, Inc.	90,992	91,462
	9,672,528	18,288,433
Interests in associates:		
CentralHub Industrial Centers, Inc.	3,428,692	3,428,692
Botrista, Inc.	1,662,354	1,695,057
C-Joy Poultry Meats Production, Inc.	786,980	669,639
Tortazo LLC	595,480	628,063
Entrek (B) SDN BHD	225,812	186,267
Beeworks Food SDN. BHD.	(73,553)	(51,795)
C-Joy Poultry Realty, Inc.	—	15,390
	6,625,765	6,571,313
Advances to a joint venture, associates and a co-venturer:		
VTI Group	356,388	1,557,026
Tortazo LLC	215,714	183,156
JBPX Foods Inc.	132,857	133,077
Beeworks Food SDN. BHD	115,022	94,594
	819,981	1,967,853
	₹17,118,274	₹26,827,599

Interests in Joint Ventures

Titan Dining LP (Titan). The Jollibee Group, through JWPL, as a Limited Liability Partner, has 92% participating interest in Titan as at June 30, 2025 and December 31, 2024. Titan is a private equity fund that owns the Asia Pacific master franchise holder of the “Tim Ho Wan” brand, Tim Ho Wan Pte. Ltd. and its affiliate Dim Sum Pte. Ltd., which owns and operates Tim Ho Wan stores in Singapore. Titan, through its fund assets, also owns the “Common Man Coffee Roasters” and “Tiong Bahru Bakery” brands and other food concepts in Singapore and Malaysia.

On January 1, 2024, JWPL announced the increase in the total maximum fund of Titan from SGD350.0 million (₹14,395.5 million) to SGD450.0 million (₹18,940.5 million) to fund the store expansion plans and working capital requirements of Tim Ho Wan and the completion of other projects. With the increase in fund size, JWPL’s total commitment to the fund shall amount to SGD414.0 million (₹17,425.3 million). JWPL also increased its participating interest from 90% to 92% through the purchase of 2% participating interest of another limited partner in the fund for a total consideration of SGD7.7 million (₹324.8 million). These amendments are necessary to support the growth expansion of Tim Ho Wan, other brands and other future food and beverage concepts that will be part of Titan’s portfolio.

On April 11 and November 18, 2024, JWPL made additional investments amounting to SGD15.6 million (₹659.4 million) and SGD41.4 million (₹1,813.6 million) proportionate to its participating interest in Titan.

On November 5, 2024, the Jollibee Group, through its wholly owned subsidiary, JWPL, signed an agreement with a subsidiary of Titan to transfer the ownership and management of Tim Ho Wan business from Titan to JWPL, through the transfer of 100% ownership of Tim Ho Wan business to JWPL. The completion of this transaction is subject to closing conditions.

On January 2, 2025, JWPL completed the transfer of 100% ownership of Tim Ho Wan business under the same terms as disclosed on November 5, 2024 for a total consideration of SGD252.2 million (₱10,695.8 million).

The Jollibee Group included Tim Ho Wan business in its financial consolidation starting January 2, 2025 (the “acquisition date”).

JWPL held a 92% participating interest in Titan since January 2024. Accordingly, its cash payment for the transaction was only SGD20.2 million (₱855.7 million), corresponding to the 8% participating interest held by the other investors in the Titan Fund.

With the acquisition, JWPL made partial divestment in Titan attributable to the Tim Ho Wan business amounting to ₱8,778.8 million as at January 2, 2025.

The details of the Jollibee Group’s participating interest in Titan as at June 30, 2025 and December 31, 2024 are as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Interest in a joint venture – cost:		
Balance at beginning of period	₱15,584,746	₱12,786,939
Divestment during the period	(8,491,962)	–
Additions during the period	–	2,797,807
Balance at end of period	7,092,784	15,584,746
Cumulative equity in net earnings:		
Balance at beginning of period	679,981	484,337
Divestment during the period	(286,818)	–
Equity in net earnings during the period	–	195,644
Balance at end of period	393,163	679,981
	₱7,485,947	₱16,264,727

Summarized financial information of Titan based on its financial statements and reconciliation with the carrying amount of the investment in the consolidated financial statements are set out below:

	June 2025 (Unaudited)	December 2024 (Audited)
Current assets	₱362,946	₱349,362
Noncurrent assets	10,723,796	18,961,700
Total assets	₱11,086,742	₱19,311,062
Current liabilities	₱40,913	₱39,382

The amounts of assets and liabilities above include:

	June 2025 (Unaudited)	December 2024 (Audited)
Cash and cash equivalents	₱362,947	₱248,897

The amounts of the income accounts include the following:

		December 2024 (Audited)
Net income		₱212,657
Total comprehensive income		212,657
	June 2025 (Unaudited)	December 2024 (Audited)
Net assets	₱11,045,829	₱19,271,680
Proportion of the Jollibee Group's participating interest	92%	92%
	10,162,163	17,729,946
Goodwill	61,409	61,901
Cumulative translation adjustments	(2,737,625)	(1,527,120)
	₱7,485,947	₱16,264,727

Titan Dining II LP (Titan Fund II). On April 3, 2024, the Jollibee Group, through its wholly owned subsidiary, JWPL, announced its participation and capital call commitment to Titan Dining II LP (Titan Fund II).

The fund size of Titan Fund II will be SGD100.0 million (₱4,184.0 million) which will be used to fund strategic investments in food and beverage concepts with the objective to further grow the Asia Pacific food service brands and/or bring strong global food service brands to the Asia Pacific. JWPL will have 90% participating interest in Titan Fund II, with a capital commitment of SGD90.0 million (₱3,765.6 million). Titan Fund II will be managed by Titan Dining Partners II Ltd., consisting of individuals with extensive experience in the food and beverage sector in the Asia Pacific Region.

On July 29, 2024, JWPL made an initial capital contribution amounting to SGD31.5 million (₱1,387.7 million).

The details of the Jollibee Group's participating interest in Titan Fund II as at June 30, 2025 and December 31, 2024 are as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Interest in a joint venture – cost:		
Balance at beginning and end of period	₱1,387,693	₱1,387,693
Cumulative equity in net losses:		
Balance at beginning of period	(28,892)	–
Equity in net earnings (loss) during the period	9,300	(28,892)
Balance at end of period	(19,592)	(28,892)
	₱1,368,101	₱1,358,801

Summarized financial information of Titan Fund II based on its financial statements and reconciliation with the carrying amount of the investment in the consolidated financial statements are set out below:

	June 2025 (Unaudited)	December 2024 (Audited)
Current assets	₱195,002	₱210,582
Noncurrent assets	1,352,972	1,278,241
Total assets	₱1,547,974	₱1,488,823
Current liabilities	₱18,299	₱26,625

The amounts of assets and liabilities above include:

	June 2025 (Unaudited)	December 2024 (Audited)
Cash and cash equivalents	₱95,937	₱113,184

The amounts of the income accounts include the following:

	June 2025 (Unaudited)	December 2024 (Audited)
Net income (loss)	₱10,333	(₱32,102)
Total comprehensive income (loss)	10,333	(32,102)
	June 2025 (Unaudited)	December 2024 (Audited)
Net assets	₱1,529,675	₱1,462,198
Proportion of the Jollibee Group's participating interest	90%	90%
	1,376,708	1,315,978
Cumulative translation adjustments	(8,607)	42,823
	₱1,368,101	₱1,358,801

Golden Bee Foods Restaurant LLC (Golden Bee). The Jollibee Group, through GPPL, has 49% ownership in Golden Bee, a company that owns and operates the Jollibee brand in the United Arab Emirates.

The details of the Jollibee Group's interest in the Golden Bee as at June 30, 2025 and December 31, 2024 are as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Interest in a joint venture – cost	₱33,926	₱33,926
Cumulative equity in net earnings:		
Balance at beginning of period	383,246	358,321
Equity in net earnings during the period	177,806	142,647
Dividends received during the period	–	(117,722)
Balance at end of period	561,052	383,246
	₱594,978	₱417,172

Summarized financial information of Golden Bee based on its financial statements and reconciliation with the carrying amount of the investment in the consolidated financial statements are set out below:

	June 2025 (Unaudited)	December 2024 (Audited)
Current assets	₱1,366,250	₱1,092,733
Noncurrent assets	681,400	881,002
Total assets	₱2,047,650	₱1,973,735
Current liabilities	₱638,357	₱818,433
Noncurrent liabilities	105,271	186,744
Total liabilities	₱743,628	₱1,005,177

The amounts of assets and liabilities above include:

	June 2025 (Unaudited)	December 2024 (Audited)
Cash and cash equivalents	₱927,607	₱752,045

The amounts of the income and expense accounts include the following:

	June 2025 (Unaudited)	June 2024 (Unaudited)
Revenues	₱1,539,579	₱1,357,522
Depreciation and amortization	38,051	27,717
Net income	362,869	182,900
Total comprehensive income	362,869	182,900

	June 2025 (Unaudited)	December 2024 (Audited)
Net assets	₱1,304,022	₱968,558
Proportion of the Jollibee Group's ownership	49%	49%
	638,971	474,593
Cumulative translation adjustments	(43,993)	(57,421)
	₱594,978	₱417,172

JBPX Foods Inc. (Panda Express). The Jollibee Group, through the Parent Company, has 50% ownership in JBPX Foods Inc., a company that owns and operates the Panda Express brand in the Philippines.

The details of Jollibee Group's interest in Panda Express as at June 30, 2025 and December 31, 2024 are as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Interest in a joint venture – cost	₱281,750	₱281,750
Cumulative equity in net losses:		
Balance at beginning of period	(125,479)	(64,733)
Equity in net loss during the period	(23,761)	(60,746)
Balance at end of period	(149,240)	(125,479)
	₱132,510	₱156,271

Summarized financial information of Panda Express based on its financial statements and reconciliation with the carrying amount of the investment in the consolidated financial statements are set out below:

	June 2025 (Unaudited)	December 2024 (Audited)
Current assets	₱281,377	₱303,240
Noncurrent assets	856,038	933,074
Total assets	₱1,137,415	₱1,236,314
Current liabilities	₱242,141	₱299,405
Noncurrent liabilities	630,254	624,367
Total liabilities	₱872,395	₱923,772

The amounts of assets and liabilities above include:

	June 2025 (Unaudited)	December 2024 (Audited)
Cash and cash equivalents	₱230,702	₱256,798
Current financial liabilities (excluding trade payables and other current liabilities and provisions)	25,992	52,170
Noncurrent financial liabilities (excluding trade and other payables and provisions)	630,067	624,180

The amounts of the income and expense accounts include the following:

	June 2025 (Unaudited)	June 2024 (Unaudited)
Revenues	₱682,143	₱638,121
Depreciation and amortization	84,602	89,620
Taxes and licenses	65	10
Interest income	3,671	5,033
Interest expense	(22,069)	(26,319)
Net loss	(47,522)	(61,454)
Total comprehensive loss	(47,522)	(62,074)
	June 2025 (Unaudited)	December 2024 (Audited)
Net assets	₱265,020	₱312,542
Proportion of the Jollibee Group's ownership	50%	50%
	₱132,510	₱156,271

Yoshinoya Jollibee Foods, Inc. (Yoshinoya). The Jollibee Group, through the Parent Company, has 50% ownership in Yoshinoya, a company that owns and operates the Yoshinoya brand in the Philippines.

The details of Jollibee Group's interest in Yoshinoya as at June 30, 2025 and December 31, 2024 are as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Interest in a joint venture – cost	₱95,000	₱95,000
Cumulative equity in net losses:		
Balance at beginning of period	(3,538)	(6,251)
Equity in net earnings (loss) during the period	(470)	2,713
Balance at end of period	(4,008)	(3,538)
	₱90,992	₱91,462

Summarized financial information of Yoshinoya based on its financial statements and reconciliation with the carrying amount of the investment in the consolidated financial statements are set out below:

	June 2025 (Unaudited)	December 2024 (Audited)
Current assets	₱114,707	₱115,242
Noncurrent assets	184,370	173,428
Total assets	₱299,077	₱288,670
Current liabilities	₱56,764	₱67,539
Noncurrent liabilities	60,329	38,207
Total liabilities	₱117,093	₱105,746

The amounts of assets and liabilities above include:

	June 2025 (Unaudited)	December 2024 (Audited)
Cash and cash equivalents	₱101,623	₱101,085
Current financial liabilities (excluding trade payables and other current liabilities and provisions)	7,771	11,445
Noncurrent financial liabilities	60,329	38,206

The amounts of the income and expense accounts include the following:

	June 2025 (Unaudited)	June 2024 (Unaudited)
Revenues	₱204,542	₱191,677
Depreciation and amortization	19,795	19,550
Taxes and licenses	70	9
Interest income	1,643	1,363
Interest expense	(2,384)	(1,627)
Net income (loss)	(940)	3,208
Total comprehensive income (loss)	(940)	3,208

	June 2025 (Unaudited)	December 2024 (Audited)
Net assets	₱181,984	₱182,924
Proportion of the Jollibee Group's ownership	50%	50%
	₱90,992	₱91,462

Interests in Associates

CentralHub Industrial Centers, Inc. (CentralHub). As at June 30, 2025 and December 31, 2024, the Jollibee Group, through the Parent Company and its wholly subsidiary, Zenith, owns 39% interest in CentralHub, a company in the industrial real estate business. CentralHub intends to register and operate as a Real Estate Investment Trust (REIT) company, with plans for a public listing when market conditions are optimal.

The details of Jollibee Group's interest in CentralHub as at June 30, 2025 and December 31, 2024 are as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Interest in an associate – cost	₱3,390,073	₱3,390,073
Cumulative equity in net earnings:		
Balance at beginning of period	38,619	29,062
Equity in net earnings during the period	–	9,557
Balance at end of period	38,619	38,619
	₱3,428,692	₱3,428,692

Summarized financial information of CentralHub based on its financial statements and reconciliation with the carrying amount of the investment in the consolidated financial statements as at December 31, 2024 are set out below:

Current assets	₱3,131,280
Noncurrent assets	4,804,017
Total assets	₱7,935,297
Current liabilities	₱556,480
Noncurrent liabilities	376,883
Total liabilities	₱933,363

The amounts of the income and expense accounts include the following:

	December 2024 (Audited)
Revenues	₱52,882
Taxes and licenses	11,494
Interest income	21
Interest expense	(2,582)
Net income	24,506
Total comprehensive income	24,506

Net assets	₱7,001,934
Proportion of the Jollibee Group's ownership	39%
	2,730,754
Goodwill	697,938
	₱3,428,692

Botrista, Inc. (Botrista). On March 27, 2024, the Jollibee Group, through JWPL, invested USD28.0 million (₱1,577.5 million) in Botrista's common and convertible preferred shares, in consideration for 10% fully-diluted interest. Botrista is a leader in the beverage technology space that holds more than 100 patents globally for its proprietary dispense technology which provides automated solutions to serve cold specialty coffee and tea-based drinks with premium and all-natural ingredients.

On December 14, 2024, JWPL made additional investment amounting to USD4.0 million (₱233.9 million). As a result, the ownership interest in Botrista increased from 10.0% to 10.8% on a fully diluted basis.

JWPL's investment in Botrista is a strong fit to Jollibee Group's goal of growing its coffee and tea business. It will pave strategic access to innovative and sustainable platform and technology, creating gateway to tap the USD3.0 trillion (₱168.7 trillion)-worth total addressable market for beverages industry globally, by expanding distribution channels and providing consumers with healthier options. This gives Jollibee Group an opportunity to leverage Botrista's technological capabilities, which will create significant learnings and synergies that will further enhance Jollibee Group's competitive advantage.

The details of Jollibee Group's interest in Botrista as at June 30, 2025 and December 31, 2024 are as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Interest in a joint venture – cost	₱1,811,369	₱1,811,369
Cumulative equity in net losses:		
Balance at beginning of period	(116,312)	–
Equity in net loss during the period	(32,703)	(116,312)
Balance at end of period	(149,015)	(116,312)
	₱1,662,354	₱1,695,057

Summarized financial information of Botrista based on its financial statements and reconciliation with the carrying amount of the investment in the consolidated financial statements are set out below:

	June 2025 (Unaudited)	December 2024 (Audited)
Current assets	₱1,777,279	₱2,238,380
Noncurrent assets	1,025,891	1,006,461
Total assets	₱2,803,170	₱3,244,841
Current liabilities	₱599,080	₱1,156,197
Noncurrent liabilities	1,141,472	356,270
Total liabilities	₱1,740,552	₱1,512,467

The amounts of the income and expense accounts include the following:

	June 2025 (Unaudited)	December 2024 (Audited)
Revenues	₱183,925	₱561,725
Net loss	(827,924)	(2,944,600)
	June 2025 (Unaudited)	December 2024 (Audited)
Net assets	₱1,062,618	₱1,732,374
Proportion of the Jollibee Group's ownership	10.8%	10.8%
	114,763	187,096
Goodwill	1,538,946	1,538,946
Cumulative translation adjustments	8,645	(30,985)
	₱1,662,354	₱1,695,057

C-Joy Poultry Meats Production, Inc. (C-Joy Poultry). The Parent Company has 30% ownership interest in C-Joy Poultry, a company that operates a poultry processing plant in Sto. Tomas, Batangas, Philippines.

The details of Jollibee Group's interest in C-Joy Poultry as at June 30, 2025 and December 31, 2024 are as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Interest in an associate – cost	₱1,920,126	₱1,920,126
Cumulative equity in net earnings (losses):		
Balance at beginning of period	(1,250,487)	(1,485,493)
Equity in net earnings during the period	117,341	235,006
Balance at end of period	(1,133,146)	(1,250,487)
	₱786,980	₱669,639

Summarized financial information of the C-Joy Poultry based on its financial statements and reconciliation with the carrying amount of the investment in the consolidated financial statements are set out below:

	June 2025 (Unaudited)	December 2024 (Audited)
Current assets	₱2,894,289	₱2,511,668
Noncurrent assets	2,137,336	2,234,770
Total Assets	₱5,031,625	₱4,746,438
Current liabilities	₱2,209,175	₱2,313,222
Noncurrent liabilities	199,183	201,087
Total liabilities	₱2,408,358	₱2,514,309

The amounts of the income and expense accounts include the following:

	June 2025 (Unaudited)	June 2024 (Unaudited)
Revenues	₱8,315,906	₱6,769,925
Depreciation and amortization	144,485	166,371
Taxes and licenses	680	14,762
Interest income	11,588	2,451
Interest expense	(7,329)	(34,168)
Net income	391,138	346,851
Total comprehensive income	391,138	346,851

	June 2025 (Unaudited)	December 2024 (Audited)
Net assets	₱2,623,267	₱2,232,129
Proportion of the Jollibee Group's ownership	30%	30%
	₱786,980	₱669,639

Tortazo LLC (Tortazo). As at June 30, 2025 and December 31, 2024, the Jollibee Group, through JFC USA, has 52.34% and 52.30% ownership in Tortazo, respectively. The company owns and operates the Tortazo business – a Mexican fast-casual restaurant business in the USA, founded by award-winning Chef Rick Bayless.

On July 6, 2023, the Jollibee Group made an additional investment in Tortazo amounting to USD3.5 million (₱195.2 million).

The details of the Jollibee Group's interest in Tortazo as at June 30, 2025 and December 31, 2024 are as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Interest in an associate - cost	₱978,230	₱978,230
Cumulative equity in net losses:		
Balance at beginning of period	(350,167)	(253,003)
Equity in net loss during the period	(32,583)	(97,164)
Balance at end of period	(382,750)	(350,167)
	₱595,480	₱628,063

Summarized financial information of Tortazo based on its financial statements and reconciliation with the carrying amount of the investment in the consolidated financial statements are set out below:

	June 2025 (Unaudited)	December 2024 (Audited)
Current assets	₱108,371	₱123,581
Noncurrent assets	592,780	625,421
Total assets	₱701,151	₱749,002
Current liabilities	₱268,760	₱241,897

The amounts of the income and expense accounts include the following:

	June 2025 (Unaudited)	June 2024 (Unaudited)
Revenues	₱102,572	₱123,113
Net loss	(62,252)	(107,864)
Total comprehensive loss	(62,252)	(107,864)

	June 2025 (Unaudited)	December 2024 (Audited)
Net assets	₱432,391	₱507,105
Proportion of the Jollibee Group's ownership	52.34%	52.30%
	226,313	265,216
Goodwill	381,532	381,532
Cumulative translation adjustments	(12,365)	(18,685)
	₱595,480	₱628,063

Entrek (B) SDN BHD (Entrek). The Jollibee Group, through JIBL, has 1/3 or 33.33% ownership in Entrek, a company that operates Jollibee stores in Brunei.

The details of the Jollibee Group's interest in Entrek as at June 30, 2025 and December 31, 2024 are as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Interest in an associate – cost	₱16,660	₱16,660
Cumulative equity in net earnings:		
Balance at beginning of period	169,607	180,545
Equity in net earnings during the period	39,545	73,550
Dividends received during the period	–	(84,488)
Balance at end of period	209,152	169,607
	₱225,812	₱186,267

Summarized financial information of Entrek based on its financial statements and reconciliation with the carrying amount of the investment in the consolidated financial statements are set out below:

	June 2025 (Unaudited)	December 2024 (Audited)
Current assets	₱851,755	₱784,351
Noncurrent assets	383,032	349,581
Total assets	₱1,234,787	₱1,133,932
Current liabilities	₱296,144	₱475,171

The amounts of the income and expense accounts include the following:

	June 2025 (Unaudited)	June 2024 (Unaudited)
Revenues	₱1,031,615	₱849,625
Depreciation	58,255	48,790
Net income	118,635	105,163
Total comprehensive income	118,635	105,163

	June 2025 (Unaudited)	December 2024 (Audited)
Net assets	₱938,643	₱658,761
Proportion of the Jollibee Group's ownership	33.33%	33.33%
	312,881	219,587
Cumulative translation adjustments	(87,069)	(33,320)
	₱225,812	₱186,267

Beeworks Food SDN. BHD. (Beeworks – West Malaysia). The Jollibee Group, through GPPL, has 30% ownership interest in Beeworks – West Malaysia, a company that owns and operates Jollibee stores in West Malaysia which covers the country's capital, Kuala Lumpur.

The details of the Jollibee Group's interest in Beeworks – West Malaysia as at June 30, 2025 and December 31, 2024 are as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Interest in an associate – cost	₱9,299	₱9,299
Cumulative equity in net losses:		
Balance at beginning of period	(61,094)	(39,028)
Equity in net loss during the period	(21,758)	(22,066)
Balance at end of period	(82,852)	(61,094)
	(₱73,553)	(₱51,795)

Summarized financial information of Beeworks – West Malaysia based on its financial statements and reconciliation with the carrying amount of the investment in the consolidated financial statements as at June 30, 2025 and December 31, 2024 are set out below:

	June 2025 (Unaudited)	December 2024 (Audited)
Current assets	₱144,414	₱131,943
Noncurrent assets	546,058	490,829
Total assets	₱690,472	₱622,772
Current liabilities	₱235,319	₱289,703
Noncurrent liabilities	716,255	514,237
Total liabilities	₱951,574	₱803,940

The amounts of the income and expense accounts include the following:

	June 2025 (Unaudited)	June 2024 (Unaudited)
Revenues	₱418,432	₱222,399
Depreciation	41,999	19,000
Net loss	(72,527)	(35,387)
Total comprehensive loss	(72,527)	(35,387)

	June 2025 (Unaudited)	December 2024 (Audited)
Net liabilities	(₱261,102)	(₱181,168)
Proportion of the Jollibee Group's ownership	30%	30%
	(78,331)	(54,350)
Cumulative translation adjustments	4,778	2,555
	(₱73,553)	(₱51,795)

C-Joy Poultry Realty, Inc. (C-Joy Realty). The Parent Company has 30% ownership interest in C-Joy Realty, a company which leases the land where the C-Joy Poultry plant is located.

On May 26, 2025, the Parent Company sold its interest in C-Joy Realty for a total consideration of ₱33.1 million resulting to a gain of ₱20.1 million (see Note 23).

The details of the Jollibee Group's interest in C-Joy Realty as at May 26, 2025 and December 31, 2024 are as follows:

	May 2025 (Unaudited)	December 2024 (Audited)
Interest in an associate – cost:		
Balance at beginning of period	₱10,586	₱10,586
Divestment during the period	(10,586)	–
	–	10,586
Cumulative equity in net earnings:		
Balance at beginning of period	4,804	9,565
Equity in net loss during the period	(2,398)	(4,761)
Divestment during the period	(2,406)	–
Balance at end of period	–	4,804
	₱–	₱15,390

Summarized financial information of C-Joy Realty based on its financial statements and reconciliation with the carrying amount of the investment in the consolidated financial statements are set out below:

	May 2025 (Unaudited)	December 2024 (Audited)
Current assets	₱74,540	₱154,730
Noncurrent assets	310,346	310,322
Total assets	₱384,886	₱465,052

	May 2025 (Unaudited)	December 2024 (Audited)
Current liabilities	₱63,580	₱65,753
Noncurrent liabilities	278,000	348,000
Total liabilities	₱341,580	₱413,753

The amounts of the income and expense accounts include the following:

	May 2025 (Unaudited)	June 2024 (Unaudited)
Revenues	₱10,000	₱7,088
Taxes and licenses	2,344	3,750
Interest income	275	169
Interest expense	(8,217)	(541)
Net income (loss)	(7,993)	975
Total comprehensive income (loss)	(7,993)	975

	May 2025 (Unaudited)	December 2024 (Audited)
Net assets	₱43,306	₱51,299
Proportion of the Jollibee Group's ownership	30%	30%
	12,992	₱15,390
Divestment	(12,992)	—
	₱—	₱15,390

Advances to a Co-venturer

Advances to VTI Group. The details of the Jollibee Group's advances to VTI Group as at June 30, 2025 and December 31, 2025 are as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Balance at beginning of period	₱1,557,026	₱2,066,012
Payments during the period	(1,172,430)	(700,028)
Accrual of interest (see Note 23)	23,529	85,531
Translation adjustments and others	(51,737)	105,511
Balance at end of period	₱356,388	₱1,557,026

On December 14, 2016, a loan of USD9.0 million (₱447.5 million) was extended to the VTI Group with an interest rate of 3.5% per annum. The loan was agreed to be used for SuperFoods Group's capital needs. The loan is part of the total agreed loan of USD30.0 million payable in eight (8) years from the first utilization date. On June 2, 2017, the additional loan of USD21.0 million (₱1,060.0 million) was granted to the VTI Group. The loan is secured by pledged shares in SFVT and Blue Sky which will be released in proportion to the amount of the principal paid. On December 17, 2024, the USD9.0 million loan and related interest were paid in full. On June 10, 2025, the remaining principal amount of USD21.0 million (₱1,172.4 million) loan was paid in full.

Total interest from this loan, recognized as interest income, amounted to USD0.4 million (₱23.5 million) and USD0.7 million (₱37.0 million) for the periods ended June 30, 2025 and 2024, respectively (see Note 23).

Advances to Associates

Advances to Tortazo. The details of the Jollibee Group's advances to Tortazo as at June 30, 2025 and December 31, 2024 are as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Balance at beginning of period	₱183,156	₱86,656
Advances during the period	34,080	111,205
Accrual of interest (see Note 23)	15,056	5,787
Payments during the period	(11,470)	(23,342)
Translation adjustments	(5,108)	2,850
Balance at end of period	₱215,714	₱183,156

On February 9, 2023, the Jollibee Group, through JFC USA, granted a one-year loan to Tortazo amounting to USD0.7 million (₱37.6 million) subject to an interest rate of 6.0% per annum payable on maturity date. On January 26, 2024, the maturity date of the loan was extended to February 26, 2027.

On July 6, 2023, additional loan was granted amounting to USD1.0 million (₱54.6 million) subject to an interest rate of 7.0% per annum payable on July 5, 2024, the maturity date. On July 5, 2024, the maturity date was extended to July 5, 2025. Tortazo made partial payments totalling to USD0.4 million (₱23.3 million) in 2024. On July 5, 2025, additional payment was made amounting to USD0.2 million (₱11.4 million). The maturity date of the loan was further extended to July 5, 2026.

On June 21, 2024, Tortazo issued a four-year convertible promissory note to JFC USA amounting to USD0.9 million (₱53.5 million). Subsequently, additional notes were issued on September 4, 2024 and December 2, 2024 amounting to USD0.2 million (₱12.2 million) and USD0.2 million (₱12.3 million), respectively. On March 3, 2025 and June 2, 2025, additional notes amounting to USD0.2 million (₱12.2 million) and USD0.2 million (₱11.7 million) were issued. The notes bear an interest rate of 14.0% per annum and payable on the maturity date.

On June 21, 2024, JFC USA granted a loan to its co-venturer amounting to USD0.4 million (₱22.7 million). On September 4, 2024 and December 2, 2024, additional loans were granted amounting to USD0.1 million (₱5.2 million) and USD0.9 million (₱5.3 million), respectively. On March 3, 2025 and June 2, 2025, loans amounting to USD0.9 million (₱5.2 million) and USD0.9 million (₱5.0 million) were issued. The loans bear an interest rate of 7.0% per annum and payable on the maturity dates.

Advances to Beeworks – West Malaysia. The details of the Jollibee Group's advances to Beeworks – West Malaysia as at June 30, 2025 and December 31, 2024 are as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Balance at beginning of period	₱94,594	₱75,538
Advances during the period	21,484	12,413
Accrual of interest (see Note 23)	1,977	3,516
Translation adjustments	(3,033)	3,127
Balance at end of period	₱115,022	₱94,594

On May 11, 2022, the Jollibee Group, through GPPL, extended a 5-year loan to Beeworks – West Malaysia amounting to MYR2.4 million (P30.0 million) available in two (2) tranches subject to an interest rate of 3.5% per annum. The first tranche amounting MYR1.2 million (P15.0 million) was issued on June 10, 2022. Subsequently, the second tranche amounting to MYR1.2 million (P15.3 million) was issued on September 1, 2022. The loan is payable in full on the 5th year from the date of the agreement.

On March 2, 2023, GPPL extended an 8-year loan amounting to MYR3.6 million (P43.9 million), available in two (2) tranches subject to an interest rate of 4.74% per annum. The first tranche amounting MYR1.7 million (P21.4 million) was issued on April 3, 2023. Subsequently, the second tranche amounting to MYR1.9 million (P22.5 million) was issued on October 31, 2023. The loan is payable in full on the 8th year from date of agreement.

On October 18, 2024, GPPL extended a 7-year loan amounting to MYR0.9 million (P12.4 million) subject to an interest rate of 5.12% per annum. The loan is payable in full upon maturity.

On May 26, 2025, GPPL extended a 7-year loan amounting to MYR2.2 million (P29.2 million) available in two (2) tranches subject to an interest rate of equivalent to 6 months KLIBOR plus 1.5% per annum. The first tranche amounting MYR1.6 million (P21.5 million) was issued on June 11, 2025. The loan is payable in full upon maturity.

Advances to a Joint Venture

Advances to JBPX. The details of the Jollibee Group's advances to JBPX as at June 30, 2025 and December 31, 2024 are as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Balance at beginning of period	P133,077	P128,865
Payments during the period	(4,227)	(4,259)
Accrual of interest (see Note 23)	4,007	8,471
Balance at end of period	P132,857	P133,077

On July 14, 2023, the Parent Company extended a loan to JBPX amounting to P125.0 million subject to a variable interest rate based on the sum of six (6) month PHP BVAL plus spread of 0.7% to be repriced and paid semi-annually. The loan is payable in full on the 4th year from the date of the agreement.

E. Cessation of Business of a Subsidiary

Pho24 Business. On May 10, 2023, the SuperFoods Group which owns Highlands Coffee and Pho24 transferred the assets of the Pho24 business to East-West Restaurant Concepts resulting to a gain of P36.2 million. Pho24 operated fourteen (14) stores in Vietnam. The franchise agreement for the operation of Pho24 stores in the Philippines was also terminated.

12. Property, Plant and Equipment

The rollforward analysis of property, plant and equipment are as follows:

June 2025 (Unaudited)								
	Land and Land Improvements	Plant, Buildings, Commercial Condominium Units and Improvements	Leasehold Improvements	Office, Store and Food Processing Equipment	Furniture and Fixtures	Transportation Equipment	Construction in Progress	Total
Cost								
Balance at beginning of period	P139,379	P11,182,635	P39,907,031	P35,496,720	P4,088,243	P781,876	P8,100,492	P99,696,376
Additions	–	149,876	577,042	1,523,296	55,550	25,074	3,224,312	5,555,150
Acquisition of a business (see Note 11)	–	–	325,131	66,460	14,729	–	–	406,320
Retirements and disposals	–	(29,049)	(891,802)	(598,812)	(60,738)	(517)	(36,518)	(1,617,436)
Reclassifications	–	(16,310)	1,151,870	1,052,229	60,524	69,571	(2,317,884)	–
Translation adjustments	854	(211,651)	(141,039)	(132,649)	5,913	(6,557)	(29,870)	(514,999)
Balance at end of period	140,233	11,075,501	40,928,233	37,407,244	4,164,221	869,447	8,940,532	103,525,411
Accumulated Depreciation and Amortization								
Balance at beginning of period	–	4,949,115	21,590,182	24,956,220	3,060,699	437,922	–	54,994,138
Depreciation and amortization (see Notes 21 and 22)	–	409,733	1,790,400	1,945,517	203,364	34,487	–	4,383,501
Retirements and disposals	–	(28,621)	(613,673)	(520,655)	(37,369)	(424)	–	(1,200,742)
Translation adjustments	–	(134,865)	(111,403)	(86,345)	2,433	(81)	–	(330,261)
Balance at end of period	–	5,195,362	22,655,506	26,294,737	3,229,127	471,904	–	57,846,636
Accumulated Impairment Loss								
Balance at beginning of period	–	4,104	552,326	250,545	1,494	–	353	808,822
Reversals (see Note 22)	–	–	(5,748)	(3,869)	(344)	–	–	(9,961)
Write-offs	–	–	(138,135)	(20,812)	(362)	–	–	(159,309)
Translation adjustments	–	–	(1,766)	1,943	(4)	–	–	173
Balance at end of period	–	4,104	406,677	227,807	784	–	353	639,725
Net Book Value	P140,233	P5,876,035	P17,866,050	P10,884,700	P934,310	P397,543	P8,940,179	P45,039,050

December 2024 (Audited)								
	Land and Land Improvements	Plant, Buildings, Commercial Condominium Units and Improvements	Leasehold Improvements	Office, Store and Food Processing Equipment	Furniture and Fixtures	Transportation Equipment	Construction in Progress	Total
Cost								
Balance at beginning of year	P73,169	P10,252,710	P36,075,887	P32,026,096	P3,818,069	P583,952	P6,295,443	P89,125,326
Additions	–	581,824	1,326,784	2,488,944	126,238	214,733	7,241,274	11,979,797
Acquisition of a business (see Note 11)	66,249	183,122	–	294,474	–	14,278	8,663	566,786
Retirements and disposals	–	(175,267)	(1,300,967)	(1,531,107)	(121,211)	(50,563)	(151,609)	(3,330,724)
Reclassifications	–	260,917	3,086,695	1,828,025	156,678	18,366	(5,350,681)	–
Translation adjustments	(39)	79,329	718,632	390,288	108,469	1,110	57,402	1,355,191
Balance at end of year	139,379	11,182,635	39,907,031	35,496,720	4,088,243	781,876	8,100,492	99,696,376
Accumulated Depreciation and Amortization								
Balance at beginning of year	–	4,141,229	18,780,975	22,492,387	2,701,194	421,043	–	48,536,828
Depreciation and amortization (see Notes 21 and 22)	–	814,627	3,467,956	3,514,589	387,943	55,308	–	8,240,423
Retirements and disposals	–	(57,335)	(1,012,989)	(1,321,983)	(98,289)	(41,594)	–	(2,532,190)
Translation adjustments	–	50,594	354,240	271,227	69,851	3,165	–	749,077
Balance at end of year	–	4,949,115	21,590,182	24,956,220	3,060,699	437,922	–	54,994,138
Accumulated Impairment Loss								
Balance at beginning of year	–	–	449,655	311,864	1,307	–	353	763,179
Additions (see Note 22)	–	4,104	197,133	2,249	1,350	–	–	204,836
Reversals (see Note 22)	–	–	(23,932)	(44,466)	(567)	–	–	(68,965)
Write-offs	–	–	(73,699)	(23,035)	(621)	–	–	(97,355)
Translation adjustments	–	–	3,169	3,933	25	–	–	7,127
Balance at end of year	–	4,104	552,326	250,545	1,494	–	353	808,822
Net Book Value	P139,379	P6,229,416	P17,764,523	P10,289,955	P1,026,050	P343,954	P8,100,139	P43,893,416

Construction in progress account mainly pertains to costs incurred for ongoing construction of properties, including soon-to-open stores.

Management reassessed the recoverable amount of the Jollibee Group's property and equipment and recognized a net reversal of provision amounting to ₱10.0 million and ₱14.6 million for the periods ended June 30, 2025 and 2024, respectively (see Note 22). Consequently, allowance for impairment loss amounted to ₱639.7 million and ₱808.8 million as at June 30, 2025 and December 31, 2024, respectively.

In the normal course of business, certain stores of the Jollibee Group have been renovated or permanently closed resulting in loss on retirements and disposals of property, plant and equipment amounting to ₱112.2 million and ₱80.5 million for the periods ended June 30, 2025 and 2024, respectively (see Note 22).

There are no borrowing costs capitalized as at June 30, 2025 and December 31, 2024.

No property, plant and equipment as at June 30, 2025 and December 31, 2024 have been pledged as security or collateral for the Jollibee Group's debts.

13. Investment Properties

The rollforward analysis of this account follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Cost beginning and end of period	₱101,585	₱101,585
Accumulated Depreciation and Amortization		
Balance at beginning of period	12,190	—
Depreciation during the period (see Note 22)	3,048	12,190
Balance at end of period	15,238	12,190
Net Book Value	₱86,347	₱89,395

There is no rent income derived from income-generating properties for the periods ended June 30, 2025 and 2024.

There are no operating costs relating to the investment properties for the periods ended June 30, 2025 and 2024.

No investment properties as at June 30, 2025 and December 31, 2024 have been pledged as security or collateral for the Jollibee Group's debts.

14. Trademarks, Goodwill and Other Intangible Assets

This account consists of:

	June 2025 (Unaudited)	December 2024 (Audited)
Trademarks	₱41,965,298	₱40,854,263
Goodwill	29,683,827	20,114,567
Computer software, net of accumulated amortization	75,489	101,279
Other intangible assets, net of accumulated amortization	6,610,027	6,724,379
	₱78,334,641	₱67,794,488

Trademarks and Goodwill

Trademarks and goodwill acquired through business combinations are attributable to the following group of CGUs as at June 30, 2025 and December 31, 2024:

	June 2025 (Unaudited)	December 2024 (Audited)
Trademarks:		
CBTL	₱18,484,721	₱18,484,721
Smashburger	10,414,000	10,414,000
Compose Coffee (see Note 11)	5,408,469	5,408,469
Highlands Coffee	3,681,912	3,681,912
Mang Inasal	2,004,256	2,004,256
Tim Ho Wan (see Note 11)	1,111,035	—
Milksha	860,905	860,905
Total	41,965,298	40,854,263
Goodwill:		
Tim Ho Wan (see Note 11)	9,963,590	—
Smashburger	5,782,824	5,938,867
Compose Coffee (see Note 11)	3,391,956	3,416,476
Hong Zhuang Yuan	2,958,857	2,981,358
SuperFoods Group	2,536,333	2,681,815
Mang Inasal	1,781,267	1,781,267
Red Ribbon Bakeshop:		
Philippine operations	737,939	737,939
US operations	445,648	457,673
Yong He King	626,521	631,286
MHL	603,562	625,327
Chowking US operations	499,021	512,486
GSC	170,934	180,738
Milksha	180,130	164,090
Burger King	5,245	5,245
	29,683,827	20,114,567
Trademarks and goodwill	₱71,649,125	₱60,968,830

As at June 30, 2025 and December 31, 2024, the intangible assets of the Jollibee Group with an indefinite useful life relate to trademarks acquired through various acquisitions. The Jollibee Group plans to maintain the use of these trademarks to target specific market segments. Consequently, these trademarks are regarded as having an indefinite useful life.

The rollforward analysis of the Jollibee Group's trademarks as at June 30, 2025 and December 31, 2024 are as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Cost		
Balance at beginning of period	₱40,854,263	₱35,445,794
Addition (see Note 11)	1,111,035	5,408,469
Balance at end of period	₱41,965,298	₱40,854,263

The rollforward analysis of the Jollibee Group's goodwill as at June 30, 2025 and December 31, 2024 are as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Cost		
Balance at beginning of period	₱18,588,098	₱15,171,622
Addition (see Note 11)	9,963,590	3,416,476
Balance at end of period	28,551,688	18,588,098
Translation Adjustments		
Balance at beginning of period	1,526,469	1,080,256
Translation adjustments of foreign subsidiaries	(394,330)	446,213
Balance at end of period	1,132,139	1,526,469
Net Book Value	₱29,683,827	₱20,114,567

Computer Software

The Jollibee Group's computer software pertains to the Enterprise Resource Planning (ERP) system which the Jollibee Group started to use on August 1, 2014 and cloud-based hosting arrangements and implementation costs of CBTL.

The rollforward analysis of the Jollibee Group's computer software as at June 30, 2025 and December 31, 2024 are as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Cost		
Balance at beginning and end of period	₱971,136	₱971,136
Accumulated Amortization		
Balance at beginning of period	877,541	779,596
Amortization (see Note 22)	25,156	97,945
Balance at end of period	902,697	877,541
Translation adjustment	7,050	7,684
Net Book Value	₱75,489	₱101,279

Other Intangible Assets

The Jollibee Group's other intangible assets include other trademarks and patents, liquor licenses and customer list amortized over a useful life of five (5) years, while supplier relationships were amortized over a useful life of thirty (30) years.

The rollforward analysis of other intangible assets as at June 30, 2025 and December 31, 2024 are as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Cost		
Balance at beginning of period	₱7,538,147	₱742,095
Additions	86	51
Acquisition of a business (see Note 11)	–	6,796,001
Balance at end of period	7,538,233	7,538,147
Accumulated Amortization		
Balance at beginning of period	802,951	698,375
Amortization (see Note 22)	114,154	104,576
Balance at end of period	917,105	802,951
Translation adjustment	(11,101)	(10,817)
Net Book Value	₱6,610,027	₱6,724,379

Impairment Testing of Trademarks and Goodwill

Goodwill acquired through business combinations have been allocated to fourteen (14) groups of CGUs, which are subsidiaries of the Parent Company, owned directly or indirectly. The recoverable amounts of the groups of CGUs have been determined based on value in use calculations and fair value less cost of disposal calculation of the underlying net assets of the CGUs using cash flow projections derived from the BOD-approved long range planning process, taking into consideration effect of significant events on the macroeconomic factors used in developing the assumptions. Furthermore, the trademarks of Smashburger, SuperFoods Group and Mang Inasal are allocated to the CGU of Smashburger, SuperFoods Group and Mang Inasal, respectively. The recoverable amount of the trademark of CBTL was determined using the relief-from-royalty method wherein the value is based on cost savings from owning the trademark.

The calculation of value in use is most sensitive to the following assumptions which vary per geographical location:

CGUs	Geographical Location	Pre-tax Discount Rate	Long-term Revenue Growth Rate
Hong Zhuang Yuan	PRC	13.8%	4.4%
Yong He King	PRC	13.8%	4.4%
Mang Inasal	Philippines	15.5%	6.1%
Red Ribbon Bakeshop:			
Philippine operations	Philippines	16.1%	6.1%
US operations	USA	11.7%	2.5%
Burger King	Philippines	15.5%	6.1%
GSC	Vietnam	13.8%	6.3%
SuperFoods Group	Vietnam	14.9%	6.3%
Chowking US operations	USA	11.9%	2.5%
Smashburger	USA	11.9%	2.5%
CBTL	USA	15.6%	3.5%
MHL	Hongkong	12.6%	2.0%
Milksha	Taiwan	11.0%	2.0%
Compose Coffee	Korea	18.9%	1.0%

The recoverable amount of the CGUs as at December 31, 2024, has been determined based on a value in use calculation using cash flow projections from financial budgets approved by the management covering a five-year period.

Key assumptions with respect to the calculation of value in use of the groups of CGUs as at December 31, 2024 used by management in its cash flow projections to undertake impairment testing of goodwill are as follows:

- a) Discount rates - discount rates represent the current market assessment of the risks specific to each group of CGUs, regarding the time value of money and individual risks of the underlying assets which have not been incorporated in the cash flow estimates. The discount rate calculation is based on the specific circumstances of the Jollibee Group's group of CGUs, derived from the weighted average cost of capital (WACC) of each group of CGUs. The WACC takes into account both the cost of debt and equity. The cost of equity is calculated using the Capital Asset Pricing Model (CAPM). The cost of debt is based on the assumed interest-bearing borrowings each group of CGUs is obliged to service. CGU-specific risk is incorporated by applying individual alpha and beta factors. The beta factors are evaluated annually based on publicly available market data.
- b) Long-term growth rates - rates are determined in consideration of historical and projected results, as well as the economic environment where the group of CGUs operate.
- c) EBITDA - is based on the most recent value achieved in the year preceding the start of the budget period, and adjusted for planned efficiency improvement, if any.

15. Other Noncurrent Assets

This account consists of:

	June 2025 (Unaudited)	December 2024 (Audited)
Security and other deposits (see Notes 9, 31 and 32)	₱4,238,181	₱3,996,656
Noncurrent portion of employee car plan receivables (see Notes 7, 31 and 32)	125,051	123,877
Franchise rights - net of accumulated amortization of ₱136.0 million and ₱126.4 million in 2025 and 2024, respectively	74,042	69,468
Deferred compensation	24,483	24,483
Returnable containers and others	7,060	8,356
Tools and other assets	842,135	672,263
	₱5,310,952	₱4,895,103

Terms and conditions of other noncurrent assets are as follows:

- Security and other deposits generally represent deposits for leases entered into by the Jollibee Group as lessee. The security deposits are recoverable from the lessors at the end of the lease terms, which range from three to twenty years. These are carried at amortized cost. The discount rates used range from 1.74%-14.02% in 2024 and 2023. The difference between the fair value at initial recognition and the notional amount of the security deposits is recognized as right-of-use asset.

- Employee car plan receivables are presented at amortized cost. The difference between the fair value at initial recognition and the notional amount of the employee car plan receivables is recognized as “Deferred compensation” and is amortized on a straight-line basis over the credit year.

Accretion of interest on security and other deposits and employee car plan receivables amounted to ₱7.2 million and ₱7.0 million in June 30, 2025 and 2024, respectively (see Note 23).

- Franchise rights pertain to franchise fees paid by PERF entities to Burger King Asia Pacific and by FCJB to Common Man Coffee Roasters Pte. Ltd. for the license to operate Burger King and Common Man Coffee Roaster stores, respectively, in the Philippines. Franchise rights are amortized over ten (10) years.

The rollforward analysis of franchise rights as at June 30, 2025 and December 31, 2024 are as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Franchise Rights		
Balance at beginning of period	₱195,889	₱179,254
Additions	14,114	16,635
Balance at end of period	210,003	195,889
Accumulated Amortization		
Balance at beginning of period	126,421	110,790
Amortization (see Note 22)	9,540	15,631
Balance at end of period	135,961	126,421
	₱74,042	₱69,468

- Tools and other assets represent tools for repairs and maintenance of office and store equipment which are still unused as at June 30, 2025 and December 31, 2024.

16. Trade Payables and Other Current Liabilities and Contract Liabilities

This account consists of:

	June 2025 (Unaudited)	December 2024 (Audited)
Trade	₱19,015,393	₱18,725,489
Accruals for:		
Salaries, wages and employee benefits	5,286,644	5,634,961
Local taxes	3,610,275	3,949,532
Freight	1,529,844	1,746,766
Rent	1,303,924	1,281,782
Advertising and promotions	1,098,242	1,125,230
Store operations	959,654	1,199,455
Interest (see Note 18)	845,442	559,293
Utilities	583,433	594,398
Repairs and maintenance	386,893	419,052

(Forward)

	June 2025 (Unaudited)	December 2024 (Audited)
Operating supplies	₱286,373	₱222,830
Professional fees	245,975	274,504
Security	212,099	182,740
Insurance	132,388	88,901
Transportation and travel	45,393	46,531
Trainings and seminars	10,048	7,653
Communication	39,751	34,280
Service fees and others	3,249,282	3,608,077
Customer deposits	2,067,774	1,772,619
Contractors' retention	300,323	275,811
Dividends and distributions payable (see Note 19)	212,059	605,844
Staled checks	58,057	80,499
Other current liabilities	3,092,259	3,101,653
	44,571,525	45,537,900
Contract liabilities	2,659,099	2,826,443
	₱47,230,624	₱48,364,343

The terms and conditions of the above liabilities are as follows:

- Trade payables to suppliers are noninterest-bearing and are normally settled on a 30 to 60-day term.
- Accrued expenses are noninterest-bearing and are normally settled within the next financial year. Other accrued liabilities presented under "Service fees and others" consist of asset retirement obligation and other miscellaneous expenses.
- Customer deposits pertain to deposits from franchisees for sale of store assets and security deposits from operating leases with franchisees which are refundable at the end of the lease term.

Accretion of interest on customer deposits amounted to ₱0.8 million and ₱1.3 million for the periods ended June 30, 2025 and 2024, respectively (see Note 23).

- Other current liabilities consist of amount withheld from the acquisition of Milksha amounting to ₱31.1 million as at June 30, 2025 and December 31, 2024, and other liabilities expected to be settled within the next financial year.
- Contract liabilities pertain to deferred revenues and unearned revenues from gift cards from international operations.

Movements in contract liabilities arising from deferred revenues and unearned revenues from gift certificates from international operations are as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Balance at beginning of period	₱2,826,443	₱1,947,344
Utilization	(1,503,300)	(2,464,609)
Additions	1,386,610	3,330,978
Write-offs	(22,234)	(40,771)
Translation adjustments	(28,420)	53,501
Balance at end of period	₱2,659,099	₱2,826,443

The amount of contract liabilities arising from deferred revenues and unearned revenues from gift certificates from international operations is expected to be earned within one year.

Contract liabilities recognized as revenues amounted to ₱1,503.3 million and ₱2,464.6 million for the period ended June 30, 2025 and year ended December 31, 2024, respectively.

17. Provisions

The rollforward analysis of provisions is as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Balance at beginning of period	₱1,933,952	₱1,637,108
Additions (see Note 23)	—	305,469
Reversals (see Note 23)	—	(8,625)
Balance at end of period	1,933,952	1,933,952
Current portion	733,014	733,014
Noncurrent portion	₱1,200,938	₱1,200,938

The Jollibee Group's outstanding provisions consist mainly of provisions for asserted claims which are normal to the Jollibee Group's business. These include estimates of legal services, settlement amounts and other costs of claims made against the Jollibee Group. Other information on the claims is not disclosed as this may prejudice the Jollibee Group's position on such claims (see Note 30).

18. Short and Long-term Debts and Senior Debt Securities

Short-term Debt

The short-term debt of the subsidiaries consists of the following:

	Availment Date	Maturity Date	Interest Rate	Condition	June 2025 (Unaudited)	December 2024 (Audited)
USD-denominated						
Loan 1	October 27, 2020/ May 8, 2023	September 24, 2021/ March 24, 2022/ March 24, 2023/ March 22, 2024/ March 21, 2025	LIBOR plus spread; quarterly SOFR plus spread; quarterly	Unsecured	₱—	₱289,250
Loan 2	April 4, 2024	November 30, 2024/ September 30, 2025	SOFR plus spread; monthly	Unsecured	281,650	289,250
Loan 3	January 23, 2025	September 30, 2025	SOFR plus spread; quarterly	Unsecured	675,960	—
Loan 4	April 15, 2022/ July 1, 2022/ August 17, 2022	February 3, 2023/ February 2, 2024/ January 31, 2025/ February 2, 2026	SOFR plus spread; quarterly	Unsecured	—	1,735,500
Loan 5	February 2, 2023 - September 2023/ February 9, 2024- December 2024/ January 24, 2025- February 21, 2025	January 17, 2024/ January 16, 2025/ January 16, 2026	SOFR plus spread; quarterly	Unsecured	2,534,850	2,024,750
Loan 6	March 19, 2025- June 2025	September 30, 2025	SOFR plus spread; quarterly	Unsecured	2,534,850	—
Loan 7	November 21, 2024/ December 18, 2024/ February 25, 2024	November 21, 2025	SOFR or SORA plus spread; quarterly	Unsecured	159,679	129,237
Loan 8	January 14, 2025	April 28, 2025	SOFR plus spread	Unsecured	—	—

(Forward)

	Availment Date	Maturity Date	Interest Rate	Condition	June 2025 (Unaudited)	December 2024 (Audited)
SGD-denominated						
Loan 9	December 28, 2022/ March 1, 2023/ July 3, 2023/ February 25, 2025/ March 25, 2025	December 28, 2023/ July 3, 2024/ June 26, 2025/ February 25, 2026/ March 25, 2026	SORA plus spread; quarterly	Unsecured	₱1,153,100	₱832,455
Loan 10	November 18, 2024 December 18, 2024	November 18, 2025 December 18, 2025	COF plus spread; quarterly	Unsecured	288,275	277,485
MYR-denominated						
Loan 11	September 15, 2023	September 15, 2024/ September 15, 2025	KLIBOR plus spread; quarterly	Unsecured	368,225	357,225
Loan 12	December 9, 2024/ April 9, 2025	December 8, 2025	COF plus spread; quarterly	Unsecured	535,600	415,680
VND-denominated						
Loan 13	April 24, 2024/ May-December 2024	April 24, 2025/ January 12, 2026	Bank's three-month COF; quarterly	Unsecured	174,979	121,367
Loan 14	March 28, 2025	July 28, 2025	VND three-month BLR; quarterly	Unsecured	11,141	—
PHP-denominated						
Loan 15	February 3, 2025	January 29, 2026	5.55% per annum	Unsecured	500,000	—
Loan 16	May 2, 2025	April 27, 2026	5.55% per annum	Unsecured	1,500,000	—
					₱10,718,309	₱6,472,199

LIBOR – London Interbank Offered Rate
SOFR – Secured Overnight Financing Rate
SORA – Singapore Overnight Rate Average
KLIBOR – Kuala Lumpur Interbank Offered Rate
COF – Cost of Funds
BLR – Base Lending Rate

USD-denominated loan of ICTL. Loan 1 consists of a short-term uncommitted line of credit agreement signed on September 25, 2020 with a local bank in the US up to an aggregate amount of USD10.0 million (₱483.8 million). The loan was availed on October 27, 2020 and is subject to variable interest rate based on LIBOR plus spread determined by the bank and subject to quarterly repricing. The loan is payable in three months from drawdown date and can be rolled over until September 24, 2021, the maturity date. On September 24, 2021, the credit agreement was extended up to March 24, 2022 and was further extended up to March 24, 2023 subject to a new variable interest rate based on CME Term SOFR plus spread determined by the bank. On August 9, 2022, ICTL requested to increase the uncommitted line of credit to USD15.0 million (₱727.7 million) and payable to six months from drawdown date. On February 1, 2023, the credit agreement was extended until March 22, 2024. On May 8, 2023, final drawdown amounting to USD5.0 million (₱276.3 million) was availed. On January 18, 2024, the maturity of the loan was further extended to March 21, 2025. On December 23, 2024, principal repayment amounting to USD10.0 million (₱584.5 million) was made. On March 21, 2025, full payment amounting to USD5.0 million (₱292.0 million) was made. As at June 30, 2025 and December 31, 2024, the carrying value of the loan amounted to nil and USD5.0 million (₱289.3 million), respectively.

Loan 2 consists of a short-term uncommitted line of credit agreement signed on March 15, 2024 with a local bank in the US up to an aggregate amount of USD5.0 million (₱277.7 million). The loan was availed on April 4, 2024 and is subject to variable interest rate based on SOFR plus spread of 1.5% and subject to monthly repricing. On December 17, 2024, the maturity of the loan was extended until September 30, 2025. As at June 30, 2025 and December 31, 2024, the carrying value of the loan amounted to USD5.0 million (₱281.7 million) and USD5.0 million (₱289.3 million), respectively.

Loan 3 consists of a short-term uncommitted line of credit agreement signed on December 17, 2024 with a local bank in the US up to an aggregate amount of USD22.0 million (₱1,298.0 million). The initial drawdown amounting to USD7.0 million (₱409.6 million) was availed on January 23, 2025 and is subject to variable interest rate based on SOFR plus spread of 1.5% and subject to quarterly repricing. Subsequent drawdown amounting to USD5.0 million (₱285.9 million) was availed on March 12, 2025. The loan is payable on September 30, 2025, the maturity date. As at June 30, 2025, the carrying value of the loan amounted to USD12.0 million (₱676.0 million).

USD-denominated loans of SJBF. Loan 4 consists of a restated short-term uncommitted line of credit agreement with a local bank in the US up to an aggregate amount of USD35.0 million (₱1,786.8 million) signed on February 3, 2021. The loan is subject to variable interest rate based on CME Term SOFR plus spread determined by the bank and subject to quarterly repricing. The initial drawdown was availed on April 15, 2022 amounting to USD10.0 million (₱549.8 million). The loan is payable in three months from drawdown date and can be rolled over until February 3, 2023, the last available date of the credit agreement. On August 30, 2022, SJBF requested to decrease the maximum amount for uncommitted line of credit to USD30.0 million (₱1,531.5 million). Subsequent drawdowns of USD10.0 million (₱586.3 million) each were made on July 1 and August 17, 2022. On January 30, 2023, the last available date of the credit facility was extended until February 2, 2024 and was further extended until January 31, 2025. On January 20, 2025, the credit facility was amended to extend the maturity date on February 2, 2026. On June 9, 2025, the loan was prepaid in full. As at June 30, 2025 and December 31, 2024, the carrying value of the loan amounted to nil and USD30.0 million (₱1,735.5 million), respectively.

Loan 5 consists of a restated short-term uncommitted line of credit agreement with a local bank in the US up to an aggregate amount of USD20.0 million (₱1,092.4 million) signed on January 18, 2023. Initial drawdown was made on February 2, 2023 amounting to USD5.0 million (₱271.8 million). Subsequent drawdowns totaling to USD15.0 million (₱835.9 million) were availed in April to September 2023. The loan is subject to variable interest rate based on CME Term SOFR plus spread determined by the bank and subject to quarterly repricing. The loan is payable in six months from drawdown date and can be rolled over until January 17, 2024, the maturity date. On January 26, 2024, the credit facility was increased to USD30.0 million (₱1,661.1 million) and extended until January 16, 2025. On December 11, 2024, the credit facility was increased to USD45.0 million (₱2,603.2 million) and was extended until January 16, 2026. Multiple drawdowns totaling USD15.0 million (₱843.6 million) were availed from February to December 2024. Multiple drawdowns totaling USD10.0 million (₱572.1 million) were availed from January to February 2025. As at June 30, 2025 and December 31, 2024, the carrying value of the loan amounted to USD45.0 million (₱2,534.9 million) and USD35.0 million (₱2,024.8 million), respectively.

Loan 6 consists of a restated short-term uncommitted line of credit agreement with a local bank in the US up to an aggregate amount of USD60.0 million (₱3,438.0 million) signed on March 19, 2025. The loan is subject to variable interest rate based on SOFR plus spread of 1.5% and subject to quarterly repricing. The loan is payable on September 30, 2025, the maturity date and renewable annually. Initial drawdown was made on March 31, 2025 amounting to USD5.0 million (₱280.0 million). Multiple drawdowns totaling to USD40.0 million (₱2,240.1 million) were availed from April to June 2025. As at June 30, 2025, the carrying value of the loan amounted to USD45.0 million (₱2,534.9 million).

USD loan of SMCC-SG. Loan 7 consist of a short-term uncommitted line of credit with a local bank in Singapore up to an aggregate amount of USD5.0 million (₱295.0 million) signed on November 8, 2024. The loan is available for drawdown either in USD or SGD and subject to variable interest rate based on SOFR or SORA, respectively, plus spread of 1.3% and subject to quarterly repricing. The initial drawdown was availed on November 21, 2024 amounting to SGD2.0 million (₱87.9 million) and subsequent drawdown amounting to SGD1.0 million (₱43.9 million) was availed on December 18, 2024. The loan is payable on November 21, 2025, the maturity date. On February 25, 2025, additional drawdown amounting to SGD 0.8 million (₱34.8 million) was made. As at June 30, 2025 and December 31, 2024, the carrying value of the loan amounted to USD2.8 million (₱159.7 million) and USD2.2 million (₱129.2 million), respectively.

USD-denominated loan of JWPL. Loan 8 consist of a short-term unsecured loan from a local bank in Singapore amounting to USD300.0 million (P17,600.0 million) availed on January 14, 2025. The loan is subject to interest rate based on SOFR plus spread of 0.725%. The principal plus interest is payable on April 28, 2025, the maturity date. Subsequently, the loan was prepaid in full on April 11, 2025.

SGD-denominated loan of CBTL-SG. Loan 9 consists of a short-term uncommitted line of credit agreement with a local bank in Singapore up to an aggregate amount of SGD13.0 million (P540.5 million) signed on August 22, 2022. The loan is subject to variable interest rate based on SORA plus spread of 1.5% subject to quarterly repricing. The initial drawdown was availed on December 28, 2022 amounting to SGD3.0 million (P124.7 million). Subsequent drawdown amounting to SGD10.0 million (P410.0 million) was made on March 1, 2023. The loan is payable on December 28, 2023, the maturity date. On June 23, 2023, the aggregate amount of the credit agreement was increased to SGD19.5 million (P806.3 million). Additional drawdown amounting to SGD6.5 million (P265.4 million) was availed on July 3, 2023. The maturity date of the loan was extended to July 3, 2024, and was further extended to June 26, 2025. On February 14, 2025, the aggregate amount of credit agreement was further increased to SGD 29.9 million (P1,296.2 million). Subsequently, drawdown was availed on February 25, 2025 amounting to SGD3.0 (P129.4 million). The loan is payable on February 26, 2026, the maturity date. Additional drawdown was availed on March 25, 2025 amounting to SGD3.5 million (P151.0 million). The loan is payable on March 25, 2026, the maturity date. As at June 30, 2025 and December 31, 2024, the carrying value of the loan amounted to SGD26.0 million (P1,153.1 million) and SGD19.5 million (P832.5 million), respectively.

Loan 10 consist of a short-term uncommitted line of credit agreement with a local bank in Singapore up to an aggregate amount of SGD6.5 million (P284.1 million) signed on November 13, 2024. The loan is subject to variable interest rate based on COF plus spread of 0.75% per annum. The initial drawdown was availed on November 18, 2024 amounting to SGD4.0 million (P175.2 million). Subsequent drawdown amounting to SGD2.5 million (P108.9 million) was made on December 18, 2024. The loan is payable one year after the drawdown date. As at June 30, 2025 and December 31, 2024, the carrying value of the loan amounted to SGD6.5 million (P288.3 million) and SGD6.5 million (P277.5 million), respectively.

MYR-denominated loan of CBTL-MY. Loan 11 consists of a short-term uncommitted line of credit agreement with a local bank in Malaysia up to an aggregate amount of MYR27.5 million (P333.3 million) signed on September 6, 2023. The loan is subject to variable interest rate based on KLIBOR plus spread of 2.0% subject to quarterly repricing. The drawdown was made on September 15, 2023 amounting to MYR27.5 million (P333.3 million). The loan is payable on September 15, 2024, the maturity date. On September 17, 2024, the maturity of the loan was extended to September 15, 2025. As at June 30, 2025 and December 31, 2024, the carrying value of the loan amounted to MYR27.5 million (P368.2 million) and MYR27.5 million (P357.2 million) respectively.

Loan 12 consists of a three-year facility agreement with a local bank in Malaysia up to an aggregate amount of MYR70.0 million (P418.6 million) available from November 13, 2024, the agreement date. The loan is subject to variable interest rate based on COF plus spread of 1.65% subject to quarterly repricing. The initial drawdown was availed on December 9, 2024 amounting to MYR32.0 million (P418.6 million). The principal is payable on December 8, 2025, the maturity date. Subsequent drawdown was availed on April 9, 2025 amounting to MYR8.0 million (P102.6 million). As at June 30, 2025 and December 31, 2024, the carrying value of the loan amounted to MYR40.0 million (P535.6 million) and MYR32.0 million (P415.7 million), respectively.

Loans 1 to 12 are guaranteed by the Ultimate Parent Company.

VND-denominated loan of SuperFoods Group. Loan 13 consists of a short-term uncommitted line of credit agreement with a local bank in Vietnam up to an aggregate amount of VND70.0 billion (₱169.1 million) signed on April 24, 2024. The loan is subject to a variable interest rate based on the Bank's three-month COF subject to quarterly repricing. The principal is payable on April 24, 2025, the maturity date. Multiple drawdowns totaling to VND121.0 billion (₱288.3 million) were availed in May to December 2024. On June 12, 2025, the credit facility was increased to VND150.0 billion (₱337.4 million) with an extended maturity until June 12, 2026. In 2025, additional drawdowns totaling to VND121.8 billion (₱277.8 million) were availed. As at June 30, 2025 and December 31, 2024, the carrying value of the loan amounted to VND77.8 billion (₱175.0 million) and VND51.0 billion (₱121.4 million), respectively.

Loan 14 consists of a short-term uncommitted line of credit agreement with a local bank in Vietnam up to an aggregate amount of VND300.0 billion (₱690.9 million) signed on August 13, 2024. The loan is subject to a variable interest rate based on BLR plus a spread of up to 0.5% per annum. Each loan is payable 120 days from drawdown date. An initial drawdown amounting to VND5.0 billion (₱11.4 million) was availed in March 2025. As at June 30, 2025, the carrying value of the loan amounted to VND5.0 billion (₱11.1 million).

PHP-denominated loan of Zenith. Loan 15 consists of a short-term loan availed from a local bank in the Philippines on February 3, 2025 amounting to ₱500.0 million payable on January 29, 2026, the maturity date. The loan is subject to floating rate of 5.5% and repriced every six months. As at June 30, 2025, the carrying value of the loan amounted to ₱500.0 million.

Loan 16 consists of a short-term loan availed from a local bank in the Philippines on May 2, 2025 amounting to ₱1,500.0 million payable on April 27, 2026, the maturity date. The loan is subject to floating rate of 5.5% and repriced quarterly. As at June 30, 2025, the carrying value of the loan amounted to ₱1,500.0 million.

Loans 15 and 16 are guaranteed by the Ultimate Parent Company.

Interest expense recognized on short-term debt amounted to ₱457.4 million and ₱176.4 million for the periods ended June 30, 2025 and 2024, respectively (see Note 23).

Long-term Debt

The long-term debt consists of the following:

	June 2025	December 2024
	(Unaudited)	(Audited)
Principal	₱20,969,548	₱16,127,742
Unamortized debt issue cost	(101,230)	(75,162)
	₱20,868,318	₱16,052,580

The details of long-term debt follow:

	Availment Date	Maturity Date	Interest Rate	Condition	June 2025 (Unaudited)	December 2024 (Audited)
USD-denominated						
Subsidiary						
Loan 1	August 28 – November 12, 2024	April 19, 2027	SOFR plus spread; quarterly	Unsecured	₱1,689,900	₱1,735,500
VND-denominated						
Subsidiary						
Loan 2	August 27, 2020- July 30, 2021	July 26, 2025	Bank's three-month COF plus spread; quarterly	Unsecured	28,376	90,010
Loan 3	August 25, 2022- June - July 2023	August 25, 2027	Bank's BLR plus spread; quarterly	Unsecured	40,968	52,945
Loan 4	December 29, 2023- March 2024	December 28, 2028	Bank's three-month COF plus spread; quarterly	Unsecured	147,183	177,866
Loan 5	August 13, 2024 September-December 2024	September 12, 2029	VND three-month BLR; quarterly	Unsecured	551,205	258,393
Loan 6	October 3, 2024	March 1, 2028	VND three-month BLR; quarterly	Unsecured	494,780	618,280
Loan 7	October 3, 2024	September 27, 2026	VND three-month BLR; quarterly	Unsecured	162,128	239,998
SGD-denominated						
Subsidiary						
Loan 8	November 28, 2023- July 2024	November 28, 2026	SORA plus spread; quarterly	Unsecured	360,344	485,599
MYR-denominated						
Subsidiary						
Loan 9	February 6, 2024	February 6, 2027	KLIBOR plus spread; quarterly	Unsecured	247,715	240,315
Loan 10	May 9, 2024	July 30, 2026	KLIBOR plus spread; quarterly	Unsecured	314,665	305,265
PHP-denominated						
Parent Company						
Loan 11	March 27, 2018	March 27, 2025	PDST-R2 plus spread; quarterly	Unsecured	–	208,875
Loan 12	May 11, 2018	May 11, 2025	PDST R2 plus spread; quarterly	Unsecured	–	298,661
Loan 13	August 15, 2018	August 15, 2025	PDST-R2 plus spread; quarterly	Unsecured	134,518	403,071
Loan 14	October 6, 2021	October 7, 2026	BVAL plus spread	Unsecured	1,492,000	1,989,000
Loan 15	July 25, 2024	July 25, 2031	BVAL plus spread	Unsecured	3,477,188	3,475,313
Loan 16	July 23, 2024	July 23, 2029	BVAL plus spread	Unsecured	2,981,625	2,979,375
Loan 17	January 6, 2025	January 6, 2032	BVAL plus spread	Unsecured	5,759,607	–
Subsidiaries						
Loan 18	May 8, 2019	May 8, 2026	BVAL plus spread	Unsecured	5,671	8,507
Loan 19	October 6, 2021	October 7, 2026	BVAL plus spread	Unsecured	1,119,000	1,491,750
Loan 20	October 6, 2021	October 8, 2026	Fixed	Unsecured	373,000	497,250
Loan 21	April 29, 2024	April 29, 2031	BVAL plus spread	Unsecured	484,375	496,607
Tim Ho Wan						
Loan 22	November 2019 - March 2022	November 2025 - March 2027	SORA plus spread; quarterly HIBOR plus spread; quarterly	Unsecured	1,004,070	–
					20,868,318	16,052,580
Less current portion - net of debt issue costs of ₱13.1 million and ₱19.6 million in 2025 and 2024, respectively					4,398,463	3,955,607
Noncurrent portion					₱16,469,855	₱12,096,973

SOFR – Secured Overnight Financing Rate

COF – Cost of Funds

BLR – Base Lending Rate

SORA – Singapore Overnight Rate Average

KLIBOR – Kuala Lumpur Interbank Offered Rate

PDST-R2 – Philippine Dealing System Treasury - Reference Rate Two

BVAL – Bloomberg Valuation Service

HIBOR – Hong Kong Interbank Offered Rate

USD-denominated loan of HFC. Loan 1 consists of a 3-year credit facility agreement signed on April 19, 2024, with an international cooperative bank in the US up to an aggregate amount of USD50.0 million (₱2,892.5 million). The credit facility is comprised of Term Loan and Uncommitted Revolving Credit Loan amounting to USD30.0 million (₱1,735.5 million) and USD20.0 million (₱1,157.0 million), respectively, available in multiple drawdowns. On August 28, 2024, USD15.0 million (₱844.2 million) of the term loan was availed subject to variable interest rate

based on three-month SOFR plus spread of 1.5% subject to repricing. On November 12, 2024, USD15.0 million (₱882.4 million) of the uncommitted revolving credit loan was availed subject to variable interest rate based on one-month SOFR plus 1.5% spread. The USD15.0 million (₱882.4 million) from the uncommitted revolving credit loan was refinanced through the term loan on February 12, 2025, subject to variable interest rate based on three-month SOFR plus spread of 1.5% subject to repricing. The term loan is payable on April 19, 2027, the maturity date. As at June 30, 2025 and December 31, 2024, the carrying value of the loan amounted to USD30.0 million (₱1,689.9 million) and USD30.0 million (₱1,735.5 million), respectively.

VND-denominated loans of SuperFoods Group. Loan 4 consists of a 5-year facility agreement with a local bank in Vietnam up to an aggregate amount of VND79.5 billion (₱184.4 million) available in tranches within twelve (12) months from December 1, 2023, the agreement date. The loan is subject to a variable interest rate based on the Bank's three-month COF plus spread of 0.7%. The principal is payable in seventeen (17) quarterly installments commencing on the 13th month from the first utilization date. Initial drawdown amounting to VND3.2 billion (₱7.4 million) was availed on December 29, 2023. Multiple drawdowns totaling to VND76.3 billion (₱182.3 million) were availed in 2024. As at June 30, 2025 and December 31, 2024, the carrying value of the loan amounted to VND65.4 billion (₱147.2 million) and VND74.8 billion (₱177.9 million), respectively.

Loans 2 to 4 are guaranteed by the Ultimate Parent Company.

Loan 5 consists of a 5-year facility agreement with a local bank in Vietnam up to an aggregate amount of VND400.0 billion (₱930.4 million) available in tranches within twelve (12) months from August 13, 2024, the agreement date. The loan is subject to a variable interest rate based on the VND three-month BLR. The principal is payable in seventeen (17) quarterly installments commencing on the 13th month from the first utilization date. Subsequent tranches totaling to VND136.4 billion (₱310.7 million) and VND108.7 billion (₱257.6 million) were availed in 2025 and 2024, respectively. As at June 30, 2025 and December 31, 2024, the carrying value of the loan amounted to VND245.1 billion (₱551.2 million) and VND108.7 billion (₱258.4 million), respectively.

Loan 6 consists of a 3.5-year facility agreement with a local bank in Vietnam up to an aggregate amount of VND280.0 billion (₱665.8 million). The loan is subject to a variable interest rate based on the VND three-month BLR. The principal, availed on October 3, 2024, is payable in fifteen (15) quarterly installments commencing on December 1, 2024. As at June 30, 2025 and December 31, 2024, the carrying value of the loan amounted to VND220.0 billion (₱494.8 million) and VND261.0 billion (₱618.3 million), respectively.

Loan 7 consists of a 2-year facility agreement with a local bank in Vietnam up to an aggregate amount of VND115.3 billion (₱274.3 million) availed on October 3, 2024. The loan is subject to a variable interest rate based on the VND three-month BLR. The principal is payable in nine (9) quarterly installments commencing on December 27, 2024. As at June 30, 2025 and December 31, 2024, the carrying value of the loan amounted to VND72.1 billion (₱162.1 million) and VND100.9 billion (₱240.0 million), respectively.

SGD-denominated loan of CBTL-SG. Loan 8 consists of a 3-year facility agreement with a local bank in Singapore up to an aggregate amount of SGD13.0 million (₱547.2 million) available in tranches within four (4) months from November 2, 2023, acceptance date of the agreement. The loan is subject to variable interest rate based on SORA plus spread of 1.7% subject to quarterly repricing. Initial drawdown amounting to SGD4.5 million (₱189.4 million) was availed on November 28, 2023. Subsequent drawdowns totaling to SGD8.5 million (₱358.1 million) were availed in January, March and July 2024. The principal is payable in eight (8) quarterly installments, the first installment commencing in twelve (12) months from the date of the first drawdown. As at June 30, 2025 and

December 31, 2024, the carrying value of the loan amounted to SGD8.1 million (P360.3 million) and SGD11.4 million (P485.6 million), respectively.

The loan is guaranteed by the Ultimate Parent Company.

MYR-denominated loans of CBTL-MY. Loan 9 consists of a 3-year facility agreement with a local bank in Malaysia up to an aggregate amount of MYR18.5 million (P220.7 million) available from December 29, 2023, the agreement date. The loan is subject to variable interest rate based on three-month KLIBOR plus spread of 2.15% subject to quarterly repricing. The loan was availed in full on February 6, 2024. The principal is payable in four (4) quarterly installments commencing on the 25th month from the drawdown date. As at June 30, 2025 and December 31, 2024, the carrying value of the loan amounted to MYR18.5 million (P247.7 million) and MYR18.5 million (P240.3 million), respectively.

Loan 10 consists of a 3-year revolving facility agreement with a local bank in Malaysia up to an aggregate amount of MYR23.5 million (P285.1 million) available from April 25, 2024, the agreement date. The loan is subject to variable interest rate based on three-month KLIBOR plus spread of 2.15% subject to quarterly repricing. The loan was availed in full on May 9, 2024. The principal is payable in four (4) quarterly installments commencing on July 30, 2026. As at June 30, 2025 and December 31, 2024, the carrying value of the loan amounted to MYR23.5 million (P314.7 million) and MYR23.5 million (P305.3 million), respectively.

The loans are guaranteed by the Ultimate Parent Company.

PHP-denominated loans of the Parent Company. Loan 15 consists of a 7-year unsecured loan availed from a local bank on July 25, 2024 amounting to P3,500.0 million. The loan is subject to a floating rate based on PHP BVAL Reference Rate for three (3) months tenor plus spread of 0.48% subject to quarterly repricing. The Parent Company incurred debt issue cost of P26.3 million, representing documentary stamp tax, in relation to this loan. The principal is payable in equal quarterly installment commencing on the 2nd anniversary from the drawdown date. As at June 30, 2025 and December 31, 2024, the carrying amount of the loan amounted to P3,477.2 million, net of unamortized debt issue cost of P22.8 million and P3,475.3 million, net of unamortized debt issue cost of P24.7 million, respectively.

Loan 16 consists of a 5-year unsecured loan availed from a local bank on July 23, 2024 amounting to P3,000.0 million. The loan is subject to a floating rate based on PHP BVAL Reference Rate for three (3) months tenor plus spread of 0.48% subject to quarterly repricing. The Parent Company incurred debt issue cost of P22.5 million, representing documentary stamp tax, in relation to this loan. The principal is payable in equal quarterly installment commencing on the 1st anniversary from the drawdown date. As at June 30, 2025 and December 31, 2024, the carrying amount of the loan amounted to P2,981.6 million, net of unamortized debt issue cost of P18.4 million and P2,979.4 million, net of unamortized debt issue cost of P20.6 million, respectively.

Loan 17 consists of a 7-year unsecured loan from a local bank on January 6, 2025 amounting to P5,800.0 million. The loan is subject to a floating rate based on PHP BVAL Reference Rate for three (3) months tenor plus spread of 0.48% subject to quarterly repricing. The Parent Company incurred debt issue cost of P43.5 million, representing documentary stamp tax, in relation to this loan. The principal is payable in equal quarterly installments commencing on the 2nd anniversary from the drawdown date. As at June 30, 2025, the carrying amount of the loan amounted to P5,759.6 million, net of unamortized debt issue cost of P40.4 million.

The Parent Company's PHP-denominated long-term debt (Loans 11 to 17) amounted to ₱13,844.9 million, net of unamortized debt issue cost of ₱90.1 million, and ₱9,354.3 million, net of unamortized debt issue cost of ₱60.7 million, as at June 30, 2025 and December 31, 2024, respectively. The current portion amounted to ₱1,691.0 million, net of unamortized debt issue cost of ₱6.5 million and ₱2,092.1 million, net of unamortized debt issue cost of ₱10.4 million, as at June 30, 2025 and December 31, 2024, respectively.

PHP-denominated loans of Zenith. Zenith's PHP-denominated long-term debt (Loans 18 to 20) amounted to ₱1,497.7 million, net of unamortized debt issue cost of ₱8.0 million, and ₱1,997.5 million, net of unamortized debt issue cost of ₱11.1 million, as at June 30, 2025 and December 31, 2024, respectively. The current portion amounted to ₱999.7 million, net of unamortized debt issue cost of ₱6.0 million and ₱999.7 million, net of unamortized debt issue cost of ₱6.1 million, as at June 30, 2025 and December 31, 2024, respectively.

PHP-denominated loan of PERFI. Loan 21 consists of a 7-year unsecured loan acquired from a local bank on April 29, 2024 amounting to ₱500.0 million. The loan is subject to a floating rate based on PHP BVAL Reference Rate for three (3) months tenor plus spread of 0.7%. PERFI incurred debt issue cost of ₱3.8 million, representing documentary stamp tax, in relation to this loan. The principal is payable annually commencing on the 4th quarter from the drawdown date amounting to ₱12.5 million and the remaining balance on the maturity date. As at June 30, 2025 and December 31, 2024, the carrying amount of the loan amounted to ₱484.4 million, net of unamortized debt issue cost of ₱3.1 million and ₱496.6 million, net of unamortized debt issue cost of ₱3.4 million, respectively.

Loans 18 to 21 are guaranteed by the Parent Company. Consequently, the Parent Company is subject to certain debt covenants which include, among others, maintaining Debt-to-Equity ratio, Debt-to-EBITDA ratio and Debt-to-Service Coverage Ratio. The Parent Company is in compliance with the applicable debt covenants as at June 30, 2025 and December 31, 2024.

Various denominated loans of Tim Ho Wan. Loan 22 was the assumed loans from the acquisition of Tim Ho Wan business on January 2, 2025 with an aggregate amount of ₱1,192.7 million (see Note 11). The loans are subject to variable interest rates and payable upon maturity. As at June 30, 2025, the carrying amount of the loans amounted to ₱1,004.1 million.

Interest expense recognized on long-term debt amounted to ₱606.8 million and ₱328.8 million for the periods ended June 30, 2025 and 2024, respectively (see Note 23).

The future expected principal settlements of the Jollibee Group's long-term debt follow:

	June 2025 (Unaudited)	December 2024 (Audited)
2025	₱2,737,979	₱4,160,035
2026	4,089,820	4,029,507
2027	5,302,148	3,900,700
2028 to 2031	8,839,601	4,037,500
	20,969,548	16,127,742
Less debt issue costs	(101,230)	(75,162)
	₱20,868,318	₱16,052,580

Embedded Derivatives

Certain long-term loans of the Jollibee Group include provisions for an option to convert the variable interest rate into a fixed interest rate. Certain long-term loans are also subject to an interest rate floor. In addition, the Jollibee Group's long-term loans generally provide an option to pre-pay the loan in full before the maturity date.

The Jollibee Group assessed that the derivatives embedded in the loan contracts need not be bifurcated since they are clearly and closely related to the economic characteristics and risks of the host loan contract and do not qualify for separate accounting as at June 30, 2025 and December 31, 2024.

Senior Debt Securities (Notes)

On June 24, 2020, the Jollibee Group, through JWPL, issued a USD300.0 million (₱14,994.0 million) 5.5-year and USD300.0 million (₱14,994.0 million) 10-year Reg S dual tranche US dollar denominated guaranteed Notes with coupon rates of 4.125% and 4.750%, respectively, and payable semi-annually. This was listed in the Singapore Exchange Securities Trading Limited on June 25, 2020.

The proceeds from the issuance were used for general corporate purposes as well as fund initiatives of the Jollibee Group (see Note 10).

The Jollibee Group incurred debt issue cost of USD4.0 million (₱200.4 million) for this transaction. As at June 30, 2025 and December 31, 2024, the carrying value of the Notes amounted to USD598.0 million (₱33,685.2 million) and USD597.8 million (₱34,582.6 million), net of unamortized debt issue cost of USD2.0 million (₱112.7 million) and USD2.2 million (₱127.4 million), respectively.

On April 2, 2025, the Jollibee Group, through JWPL, issued a USD300.0 million (₱17,128.5 million) 5-year Reg S only US dollar denominated senior unsecured guaranteed Note with a fixed coupon rate of 5.332%, payable semi-annually. This was listed in the Singapore Exchange Securities Trading Limited on April 3, 2025.

The proceeds from the issuance were used for general corporate purposes and/or refinancing of JWPL's existing borrowings.

The Jollibee Group incurred debt issue cost of USD2.4 million (₱137.8 million) for this transaction. As at June 30, 2025, the carrying value of the Note amounted to USD297.7 million (₱16,769.9 million), net of unamortized debt-issue cost of USD2.3 million (₱129.1 million).

Interest expense recognized on senior debt securities amounted to ₱983.8 million and ₱757.6 million for the periods ended June 30, 2025 and 2024, respectively (see Note 23).

19. Equity

a. Preferred Stock

On September 24, 2021, the Philippine SEC approved the shelf registration in the Philippines of 20,000,000 cumulative, non-voting, non-participating, non-convertible, redeemable, peso-denominated perpetual preferred shares to be offered within a period of three (3) years from the date of effectivity of the registration statement and granted the Parent Company the permit to sell 8,000,000 preferred shares and an over subscription option of up to 4,000,000 preferred shares, at an offer price of ₱1,000 per share in two (2) series: Preferred Shares-Series A and Series B with a dividend rate of 3.2821% and 4.2405% per annum, respectively.

On October 14, 2021, the Parent Company issued Preferred Shares-Series A and Series B totaling to 3,000,000 shares and 9,000,000 shares, respectively. The preferred shares were listed in the Philippine Stock Exchange (PSE) on the same day.

On March 8, 2024, the BOD of the Parent Company approved the plan to offer and issue in the Philippines an additional 5,000,000 preferred shares with an oversubscription option of up to 3,000,000 preferred shares. The preferred shares will be sold at a subscription price of ₱1,000.00 per share, with an estimated issue size of ₱5.0 billion to up to ₱8.0 billion, if the oversubscription option is fully exercised. These will be cumulative, non-voting, non-participating, non-convertible, redeemable, peso-denominated perpetual preferred shares.

On July 29, 2024, the Parent Company announced the withdrawal of its application to offer and list up to 8,000,000 preferred shares filed with the Philippine SEC and PSE in June 2024.

On September 13, 2024, the BOD of the Parent Company approved the redemption of all its 3,000,000 Preferred Shares-Series A issued and listed on the PSE on October 14, 2021.

In accordance with the terms of issuance, the Parent Company will redeem all outstanding Preferred Shares-Series A on October 14, 2024 at a redemption price equal to the offer price plus any accrued and unpaid cash dividends, after deducting transfer costs customarily chargeable to stockholders, as applicable, to effect the redemption (Redemption Price). Holders of Preferred Shares-Series A as at September 30, 2024 will receive the Redemption Price.

On October 15, 2024, the Parent Company redeemed all outstanding Preferred Shares-Series A and holders thereof as at September 30, 2024 were paid the Redemption Price.

The redeemed preferred shares shall not be considered retired and may be reissued by the Parent Company.

The total number of shareholders of the Parent Company for Preferred Shares-Series B is 7 as at June 30, 2025 and December 31, 2024.

b. Common Stock

The movements in the account are as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Authorized - ₱1 par value		
Balance at beginning and end of period	₱1,430,000	₱1,430,000
Issued and subscribed:		
Balance at beginning of period	₱1,135,538	₱1,132,331
Issuances during the period	1,461	3,207
Balance at end of period	₱1,136,999	₱1,135,538

The total number of shareholders for common shares of the Parent Company is 2,946 and 2,905 as at June 30, 2025 and December 31, 2024, respectively.

c. Additional Paid-in-Capital

The movements in the additional paid in-capital pertain to the difference between the exercise prices of stock options exercised and the par value of Parent Company's shares. As at June 30, 2025 and December 31, 2024, stock options totaling 1,461,303 shares and 3,207,065 shares, respectively, were exercised (see Note 26). This resulted to an additional paid-in capital amounting to ₱294.8 million and ₱694.3 million for the period ended June 30, 2025 and year ended December 31, 2024, respectively.

Stock options expense amounting to ₱258.3 million and ₱240.1 million for the periods ended June 30, 2025 and 2024, respectively, were also recognized as part of additional paid-in capital (see Notes 22, 26 and 27).

The Parent Company recognized deferred tax assets on MSOP and ELTIP in additional paid-in capital resulting to an increase of ₱53.4 million in 2024.

As at June 30, 2025 and December 31, 2024, total additional paid-in capital amounted to ₱14,461.1 million and ₱13,907.9 million, respectively.

d. Treasury Shares

The cost of preferred and common stock of the Parent Company held in treasury of ₱3,000.0 million and ₱180.5 million consist of 3,000,000 shares and 16,447,340 shares, respectively, as at June 30, 2025 and December 31, 2024.

e. Senior Perpetual Securities (Securities)

The Securities amounting to USD600.0 million (₱30,588.0 million) was issued by the Jollibee Group, through JWPL, on January 23, 2020 and was listed in the Singapore Exchange Securities Trading Limited (SGX-ST) on January 24, 2020. The Securities confer a right to receive a return on the Securities (the "Distribution") every Distribution Payment Date as described in the terms and conditions of the Securities. These distributions are payable semi-annually in arrears on the Distribution Payment Dates of each year. The Securities offered an initial distribution rate of 3.9%, noncallable in five (5) years and payable semi-annually. However, the Issuer may, at its sole and absolute discretion, prior to any Distribution Payment Date, resolve to defer payment of all or some of the Distribution which would otherwise be payable on that Distribution Payment Date subject to exceptions enumerated in the terms and conditions of the Securities. The Securities are perpetual securities in respect of which there is no fixed redemption date, but the Issuer may, at its option change the status of the Securities or redeem the same on instances defined under its terms and conditions. The Securities are unconditionally and irrevocably guaranteed by the Parent Company.

The proceeds from issuance of the Securities were partially used to refinance the short-term debt for the acquisition of CBTL while some were invested to bond funds (see Note 10).

The Securities are treated as equity as part of non-controlling interests in the consolidated financial statements of the Jollibee Group because nothing in the terms and conditions of the Securities gives rise to an obligation of the Jollibee Group to deliver cash or another financial asset in the future as defined by PAS 32.

In 2021, JWPL made a Tender Offer to the holders of the Securities and repurchased and cancelled an aggregate principal amount of USD203.5 million (₱10,323.2 million) Securities.

On December 19, 2024, the Jollibee Group disclosed that JWPL will redeem the remaining Securities on January 23, 2025. The redemption price will be the principal amount of the Securities, plus any accrued but unpaid Distributions and any Arrears of Distribution (including any amount of Distributions accrued thereon). Upon redemption, the Securities will be cancelled and subsequently delisted from the Singapore Exchange Securities Trading Limited.

On January 23, 2025, JWPL completed the redemption of the remaining Securities amounting to USD396.5 million (P23,236.9 million) and paid the Distribution amounting to USD7.7 million (P453.1 million). Subsequently, the Securities were delisted on January 23, 2025.

As at June 30, 2025 and December 31, 2024, the Securities amounted to nil and (P20,264.8 million), respectively. Accrued distribution amounted to nil and USD6.7 million (P390.1 million) as at June 30, 2025 and December 31, 2024, respectively (see Note 16).

f. Excess of Cost Over the Carrying Value of Non-controlling Interests Acquired

The amount of excess of cost over the carrying value of non-controlling interests acquired as at June 30, 2025 and December 31, 2024, recognized as part of “Equity Attributable to Equity Holders of the Parent Company” section in the consolidated statements of financial position, resulted from the following acquisitions of non-controlling interests:

20% of Greenwich in 2006	P168,257
15% of Yonghe King in 2007	375,721
40% of Adgraphix in 2010	(1,214)
30% of Mang Inasal in 2016	1,217,615
30% of HBFPPPL in 2016	391,782
15% of SJBF in 2018	(347,395)
30% of Smashburger Long Island in 2020	95,774
49% of Smashburger Westchester in 2020	125,800
	<u>P2,026,340</u>

g. Retained Earnings

The Jollibee Group has a cash dividend policy of declaring one-third of the Jollibee Group’s net income for the year as cash dividends payable to all common stockholders. It uses best estimate of its net income as basis for declaring cash dividends. Actual cash dividends per share declared as a percentage of the EPS are 27.4%, 33.6% and 30.9% in 2025, 2024 and 2023, respectively.

Preferred Shares-Series A and Series B shareholders, subject to the discretion of the BOD to the extent permitted by law, are entitled to dividends. If cash dividends are declared, cash dividends shall be as follows:

- Preferred Shares-Series A shall be at the fixed rate of 3.2821% per annum; and,
- Preferred Shares-Series B shall be at the fixed rate of 4.2405% per annum.

Cash dividends on Preferred Shares-Series A and Series B will be payable quarterly.

The Parent Company's cash dividend declarations for 2025, 2024 and 2023 follow:

Declaration Date	Record Date	Payment Date	Cash Dividend per Share	Total Cash Dividends Declared
<i>(In Thousands, except dividend per share)</i>				
2025				
Common Shares				
April 14	May 2	May 16	₱1.33	₱1,488,950
Preferred Shares-Series B				
March 7	March 24	April 15	₱10.60	₱95,411
June 16	July 1	July 15	10.60	95,411
			₱21.20	₱190,822
2024				
Common Shares				
April 23	May 9	May 23	₱1.15	₱1,284,336
November 11	November 25	December 10	1.82	2,036,190
			₱2.97	₱3,320,526
Preferred Shares-Series A				
March 8	March 25	April 15	₱8.21	₱24,616
June 10	July 2	July 15	8.21	24,616
September 13	September 30	October 15	8.21	24,616
			₱24.63	₱73,848
Preferred Shares-Series B				
March 8	March 25	April 15	₱10.60	₱95,411
June 10	July 2	July 15	10.60	95,411
September 13	September 30	October 15	10.60	95,411
December 19	January 8, 2025	January 15, 2025	10.60	95,411
			₱42.40	₱381,644
2023				
Common Shares				
April 17	May 3	May 22	₱1.07	₱1,193,241
November 10	November 24	December 11	1.23	1,372,451
			₱2.30	₱2,565,692
Preferred Shares-Series A				
March 14	March 29	April 14	₱8.21	₱24,616
June 16	July 4	July 14	8.21	24,616
September 19	October 4	October 16	8.21	24,616
December 15	January 3, 2024	January 15, 2024	8.21	24,616
			₱32.84	₱98,464
Preferred Shares-Series B				
March 14	March 29	April 14	₱10.60	₱95,411
June 16	July 4	July 14	10.60	95,411
September 19	October 4	October 16	10.60	95,411
December 15	January 3, 2024	January 15, 2024	10.60	95,411
			₱42.40	₱381,644

An important part of the Jollibee Group's growth strategy is the acquisition of new businesses in the Philippines and abroad. Examples were acquisitions of 85% of Yonghe King in 2004 in PRC (₱1,200.0 million), 100% of Red Ribbon in 2005 (₱1,700.0 million), the remaining 20% minority share in Greenwich in 2006 (₱384.0 million), the remaining 15% share of Yonghe King in 2007 (₱413.7 million), 100% of Hong Zhuang Yuan restaurant chain in PRC in 2008 (₱2,600.0 million), 70% of Mang Inasal in 2010 (₱2,976.2 million), 100% of Chowking US operations in 2011 (₱693.3 million), 40% of SJBF LLC, the parent company of the entities comprising the Smashburger business in the US including transaction costs in 2015

(₱4,812.8 million), the remaining 30% minority share each in Mang Inasal (₱2,000.0 million), HBFPL (₱514.9 million) and 100% of GSC (₱8.6 million) in 2016, additional 10% share in SuperFoods Group in 2017 (₱2,712.7 million), the remaining 60% share in SJBFL LLC in 2018 (₱5,735.8 million), 80% of The Coffee Bean & Tea Leaf in 2019 (₱17,098.7 million), the remaining 30% minority share in Smashburger Long Island in 2020 (₱95.8 million), 51% of Milksha in 2022 (₱654.5 million), 60% stake of MHL in 2023 (₱910.1 million), 70% share in Compose Coffee in 2024 (₱13,851.6 million) and 100% of Tim Ho Wan in 2025 (₱10,695.8 million).

The Jollibee Group plans to continue to make substantial acquisitions in the coming years. The Jollibee Group uses its cash generated from operations to finance these acquisitions and capital expenditures. These limit the amount of cash dividends that it can declare and pay.

On March 8, 2024, the BOD approved the release of the previously approved appropriated retained earnings in 2021 amounting to ₱18,700.0 million and new appropriation of ₱23,400.0 million from the Parent Company's unappropriated retained earnings for capital expenditures in 2024.

On March 7, 2025, the BOD approved the release of the previously approved appropriated retained earnings in 2024 amounting to ₱23,400.0 million and new appropriation of ₱38,000.0 million from the Parent Company's unappropriated retained earnings for capital expenditures in 2025-2026. Consequently, appropriated retained earnings for capital expenditures amounted to ₱38,000.0 million and ₱23,400.0 million as at June 30, 2025 and December 31, 2024, respectively.

The unappropriated retained earnings of the Parent Company is also restricted to the extent of cost of preferred and common stock held in treasury amounting to ₱3,180.5 million as at June 30, 2025 and December 31, 2024. The unappropriated retained earnings of the Jollibee Group include accumulated losses from its subsidiaries.

The Parent Company's retained earnings available for dividend declaration, computed based on the guidelines provided in SEC Memorandum Circular No. 11, amounted to ₱21,278.3 million and ₱33,528.1 million as at June 30, 2025 and December 31, 2024, respectively.

In relation with the Securities Regulation Code, below is the summary of the Parent Company's track record of registration of securities.

	Number of Shares Registered	Initial Issue/ Offer Price	Listing date	Number of Holders of Securities	
				June 2025 (Unaudited)	December 2024 (Audited)
Common shares	75,000,000	₱9	July 14, 1993	2,946	2,905
Preferred shares-Series A	3,000,000	1,000	October 14, 2021	—	—
Preferred shares-Series B	9,000,000	1,000	October 14, 2021	7	7

20. Royalty, Set-up Fees and Others

This account consists of:

	June 2025 (Unaudited)	June 2024 (Unaudited)
Royalty fees	₱7,372,597	₱6,455,499
Service fees	1,070,475	212,689
Set-up fees	510,116	253,215
Scrap sales	62,411	67,214
Rent income (see Note 29)	11,352	13,111
Delivery fees and others	79,171	93,196
	₱9,106,122	₱7,094,924

The Jollibee Group has existing Royalty and Service Agreements with independent franchisees for the latter to operate QSR outlets under the “Jollibee”, “Greenwich”, “Chowking”, “Yong He King”, “Red Ribbon”, “Hong Zhuang Yuan”, “Mang Inasal”, “Highlands Coffee”, “Smashburger”, “The Coffee Bean & Tea Leaf”, “Milksha”, “Compose Coffee” and “Tim Ho Wan” concepts and trade names. In consideration thereof, the franchisees agree to pay set-up fees and monthly royalty fees equivalent to a certain percentage of the franchisees’ net sales.

The Jollibee Group’s franchisees pay service fees for various services, including repairs and maintenance services, rendered by the Jollibee Group’s personnel.

21. Direct Costs

This account consists of:

	June 2025 (Unaudited)	June 2024 (Unaudited)
<i>Cost of Sales</i>		
Cost of inventories	₱70,868,093	₱59,695,769
Personnel costs:		
Salaries, wages and other employee benefits	15,646,408	13,838,305
Pension expense	91,879	84,842
Depreciation and amortization (see Notes 12 and 29)	8,559,156	8,214,554
Contracted services	5,058,355	4,872,329
Rent (see Note 29)	3,923,731	3,389,097
Electricity and other utilities	3,533,075	3,200,094
Supplies	1,788,319	1,674,138
Repairs and maintenance	1,625,896	1,524,193
Security and janitorial	797,389	708,674
Communication	212,790	221,571
Professional fees	124,912	97,845
Representation and entertainment	34,039	30,299
Delivery costs, insurance and others	5,043,498	4,488,304
	117,307,540	102,040,014

(Forward)

	June 2025 (Unaudited)	June 2024 (Unaudited)
<i>Cost of Services</i>		
Advertising expense	₱2,683,061	₱2,165,331
	₱119,990,601	₱104,205,345

22. General and Administrative Expenses

This account consists of:

	June 2025 (Unaudited)	June 2024 (Unaudited)
Personnel costs:		
Salaries, wages and other employee benefits	₱8,251,722	₱7,447,870
Stock options expense (see Notes 19, 26 and 27)	258,349	240,120
Pension expense	115,711	104,606
Taxes and licenses	1,507,766	1,405,153
Professional fees	721,432	753,635
Contracted services	710,074	556,173
Membership and subscriptions	518,664	411,907
Depreciation and amortization (see Notes 12, 13, 14, 15 and 29)	479,588	340,091
Transportation and travel	359,871	347,143
Rent (see Note 29)	267,623	257,127
Corporate events	219,954	150,409
Donations	168,370	144,564
Repairs and maintenance	132,241	168,781
Insurance	129,928	93,774
Loss on retirements and disposals of property, plant and equipment (see Note 12)	112,201	80,546
Impairment in value of:		
Receivables (see Note 7)	90,861	11,404
Inventories (see Note 8)	12,664	73,361
Property, plant and equipment (see Note 12)	—	10,052
Supplies	89,858	85,288
Communication	67,041	66,438
Representation and entertainment	39,971	31,313
Electricity and other utilities	30,862	29,883
Reversals of provision for impairment on:		
Inventories (see Note 8)	(16,621)	(7,985)
Property, plant and equipment (see Note 12)	(9,961)	(24,672)
Receivables (see Note 7)	(1,074)	—
Association dues	26,284	23,679
Security and janitorial	22,416	13,491
Training	22,337	18,908
Research and development and others	478,364	626,795
	₱14,806,496	₱13,459,854

23. Interest Income (Expense) and Other Income (Expense)

	June 2025 (Unaudited)	June 2024 (Unaudited)
Interest income		
Cash and cash equivalents and short-term investments (see Note 6)	₱266,643	₱408,871
Loans and advances (see Note 11)	44,569	45,672
Accretion of:		
Interest on security and other deposits and employee car plan receivables (see Note 15)	7,171	7,004
	₱318,383	₱461,547
Interest expense		
Financing:		
Senior debt securities (see Note 18)	(₱983,757)	(₱757,614)
Long-term debt (see Note 18)	(606,826)	(328,812)
Short-term debt (see Note 18)	(457,377)	(176,429)
	(2,047,960)	(1,262,855)
Accretion of:		
Lease liabilities (see Note 29)	(1,578,634)	(1,404,520)
Customer deposits (see Note 16)	(798)	(1,318)
	(1,579,432)	(1,405,838)
	(₱3,627,392)	(₱2,668,693)
	June 2025 (Unaudited)	June 2024 (Unaudited)
Other income (expense)		
Write-off of liabilities	₱862,743	₱860,897
Bank charges	(458,482)	(436,978)
Rebates, suppliers' incentives and government subsidies	86,050	181,229
Gain on pre-termination of lease agreements (see Note 29)	85,402	4,928
Foreign exchange loss – net	(79,611)	(104,663)
Other rentals	32,802	44,698
Penalties and charges	25,122	25,233
Gain on disposal of an associate (see Note 11)	20,149	–
Mark-to-market gain on financial assets at FVTPL (see Note 10)	15,069	159,177
Charges to franchisees	9,487	8,266
Insurance claims and others	214,782	163,593
	₱813,513	₱906,380

In the normal course of business, the Jollibee Group accrues liabilities based on management's best estimate of costs incurred, particularly in cases when the Jollibee Group has not yet received final billings from suppliers and vendors. There are also ongoing negotiations and reconciliations with suppliers and vendors on certain liabilities recorded. These balances are continuously reviewed by management and are adjusted based on these reviews, resulting to write-off of certain liabilities as other income.

Insurance claims and others include claims from insurance settlements and others.

24. Income Taxes

The Jollibee Group's provision for current income tax consists of the following:

	June 2025 (Unaudited)	June 2024 (Unaudited)
Final tax withheld on:		
Royalty income	₱1,414,983	₱1,244,468
Interest income	32,144	61,782
RCIT:		
With itemized deduction	1,824,125	1,148,680
With Optional Standard Deduction (OSD)	497	1,894
MCIT	58,166	95,603
Capital gains	3,383	—
	₱3,333,298	₱2,552,427

RCIT consists of corporate income taxes from the Jollibee Group's operations in the Philippines, PRC, USA, Canada, Vietnam, Singapore, South Korea, and Europe.

For the periods ended June 30, 2025 and 2024, Grandworth, a wholly owned subsidiary, elected to use OSD in computing for its taxable income. The net tax benefit (disadvantage) from the availment of OSD amounted to (₱0.5 million) and ₱0.9 million for the periods ended June 30, 2025 and 2024, respectively.

The components of the Jollibee Group's recognized net deferred tax assets as at June 30, 2025 and December 31, 2024 follow:

	June 2025 (Unaudited)	December 2024 (Audited)
Deferred tax assets:		
Lease liabilities	₱7,686,040	₱7,835,896
NOLCO:		
USA-based entities	5,448,957	5,259,925
PRC-based entities	540,187	429,801
PH-based entity	221,407	195,423
Europe-based entity	41,124	38,477
Accrued expenses	938,455	833,719
Pension liability and other benefits	734,667	684,768

(Forward)

	June 2025 (Unaudited)	December 2024 (Audited)
MSOP and ELTIP	₱440,301	₱477,641
Accrued benefit liability and bonus	384,301	438,123
Provision	356,974	337,655
Accumulated impairment loss in value of receivables, inventories, property, plant and equipment and other nonfinancial assets	344,151	361,642
Contract revenue	187,572	78,457
Unrealized foreign exchange loss	175,798	222,729
Excess MCIT and RCIT	164,033	130,601
Unaccreted discount on security deposits and employee car plan receivables	14,841	8,795
Unamortized past service costs	5,296	5,857
Others	399	356
	17,684,503	17,339,865
Deferred tax liabilities:		
Right-of-use assets	7,161,056	6,393,635
Operating lease receivables	217,529	212,774
Excess of fair value over book value of identifiable assets of acquired businesses	189,760	981,074
Unrealized foreign exchange gain	118,934	329,423
Unaccreted discount on employee car plan receivables and security deposits	22,309	24,452
Prepaid rent	17,804	13,602
Deferred rent expense	6,787	8,153
Unrealized gain on change in fair value of financial assets at FVTPL	4,323	4,323
	7,738,502	7,967,436
Deferred tax assets - net	₱9,946,001	₱9,372,429

The components of the Jollibee Group's recognized net deferred tax liabilities as at June 30, 2025 and December 31, 2024 are as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Deferred tax assets:		
Lease liabilities	₱4,323,744	₱4,602,385
Capital allowance	315,663	316,731
NOLCO:		
PH-based entity	395,024	347,383
Singapore-based entity	46,876	45,122
USA-based entity	44,961	45,692
Contract revenue	48,589	46,889
Pension liability and other benefits	24,559	22,563
Allowance for impairment loss on receivables, inventories and property, plant and equipment	23,103	12,710

(Forward)

	June 2025 (Unaudited)	December 2024 (Audited)
Excess MCIT and RCIT	₱14,888	₱11,145
Accrued bonus	14,849	9,993
Provision	11,962	20,767
Unamortized past service costs	9,543	10,163
MSOP and ELTIP	8,792	8,792
Unaccrued discount on security deposits and employee car plan receivables	368	8,964
Unrealized foreign exchange loss	28	—
Accrued expenses	—	17,953
	5,282,949	5,527,252
Deferred tax liabilities:		
Excess of fair value over book value of identifiable assets of acquired businesses	7,129,506	7,074,543
Right-of-use assets	3,953,857	4,168,551
Unaccrued discount on employee car plan receivables, security and product security deposits	1,345	1,401
	11,084,708	11,244,495
Deferred tax liabilities - net	₱5,801,759	₱5,717,243

The rollforward analysis of the net deferred tax assets and liabilities of the Jollibee Group follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Balance at beginning of period	₱3,655,187	₱3,798,133
Income tax effect to profit or loss	666,913	2,136,514
Income tax effect arising from business acquisition	(98,762)	(2,562,010)
Tax effect of MSOP and ELTIP	—	53,414
Income tax effect of remeasurements of net defined benefit plan	—	28,204
Translation adjustments	(79,096)	200,931
Balance at end of period	₱4,144,242	₱3,655,186

OSD

The availment of the OSD method also affected the recognition of several deferred tax assets and liabilities. Deferred tax assets and liabilities, for which the related income and expense are not considered in determining gross income for income tax purposes, are not recognized. This is because the manner by which the Jollibee Group expects to recover or settle the underlying assets and liabilities, for which the deferred tax assets and liabilities were initially recognized, would not result to any future tax consequence under the OSD method. Meanwhile, deferred tax assets and liabilities, for which the related income and expense are considered in determining gross income for income tax purposes, are recognized only to the extent of their future tax consequence under the OSD method. Hence, the tax base of these deferred tax assets and liabilities is reduced by the 40% allowable deduction provided for under the OSD method.

Accordingly, the Jollibee Group's deferred tax assets and liabilities, which were not recognized due to the use of the OSD method, are as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Deferred tax assets:		
Allowance for impairment loss on receivables and nonfinancial assets	₱3,366	₱4,449
Unaccreted discount on financial instruments and others	—	149
	3,366	4,598
Deferred tax liabilities – others	—	59
Deferred tax assets – net	₱3,366	₱4,539

As at June 30, 2025 and December 31, 2024, the component of deferred tax assets of the Philippine-based subsidiaries which were not recognized as it is not probable that taxable income will be sufficient against which they can be utilized are as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
NOLCO	₱2,812,261	₱2,620,285
Excess MCIT over RCIT	165,702	143,866
	₱2,977,963	₱2,764,151

As at June 30, 2025, NOLCO of the USA-based entities that can be claimed as deductions from taxable income are as follows:

Year Incurred	Tax Losses	Deferred Tax at 21%
2025	₱1,566,276	₱328,918
2024	3,425,805	719,419
2023	3,025,424	635,339
2022	2,797,557	587,487
2021	2,987,062	627,283
2020	4,911,276	1,031,368
2019	4,118,048	864,790
2018	1,975,300	414,813
2017	976,205	205,003
2016	884,629	185,772
2015	163,543	34,344
	26,831,125	5,634,536
Utilization	(5,776)	(1,213)
Translation adjustments	(663,833)	(139,405)
	₱26,161,516	₱5,493,918

The Jollibee Group continues to recognize NOLCO of USA-based entities, even in recurring losses, since these NOLCO have no prescription effective taxable year 2018. The 2015, 2016 and 2017 NOLCO will expire in 2035, 2036 and 2037, respectively. In addition, the Jollibee Group assess that they will have future taxable income to be able to utilize the NOLCO.

The PRC enterprise income tax law provides that income tax rates are unified at 25%. As at June 30, 2025, NOLCO of the PRC-based entities that can be claimed as deductions from taxable income are as follows:

Year Incurred	Carryforward Benefit Up to	Tax Losses	Deferred Tax at 25%
2025	December 31, 2030	₱454,520	₱113,630
2024	December 31, 2029	385,840	96,460
2023	December 31, 2028	248,304	62,076
2022	December 31, 2027	537,108	134,277
2021	December 31, 2026	97,144	24,286
2020	December 31, 2028	450,804	112,701
		2,173,720	543,430
Translation adjustments		(12,972)	(3,243)
		₱2,160,748	₱540,187

As provided in Article 4 of the Announcement of the Ministry of Finance and the State Administration of Taxation No. 8 of 2020, the maximum carryforward year for losses incurred by enterprises in difficult industries greatly affected by the pandemic in 2020 is extended from five (5) years to eight (8) years.

As at June 30, 2025, NOLCO and excess of MCIT over RCIT of the Philippine-based entities that can be claimed as deductions from taxable income and income tax due, respectively, are as follows:

Year Incurred/Paid	Carryforward Benefit up to	NOLCO	Excess of MCIT over RCIT
2025	December 31, 2028	₱378,612	₱36,485
2024	December 31, 2027	684,502	84,919
2023	December 31, 2026	1,402,610	57,517
		₱2,465,724	₱178,921

As at June 30, 2025, NOLCO of the Europe-based entity that can be claimed as deductions from taxable income are as follows:

Year Incurred	Tax Losses	Deferred Tax at 19%
2020	₱186,789	₱35,490
2018	15,721	2,987
	202,510	38,477
Translation adjustments	13,932	2,647
	₱216,442	₱41,124

NOLCO of Europe-based entity has no prescription.

As at June 30, 2025, NOLCO of the Singapore-based entity that can be claimed as deductions from taxable income are as follows:

Year Incurred	Tax Losses	Deferred Tax at 17%
2023	₱170,371	₱28,963
2019	95,053	16,159
	265,424	45,122
Translation adjustment	10,318	1,754
	₱275,742	₱46,876

NOLCO of Singapore-based entity has no prescription.

The following are the movements in deferred tax assets on NOLCO of the Jollibee Group:

	June 2025 (Unaudited)	December 2024 (Audited)
Balance at beginning of period	₱6,361,823	₱4,780,910
Additions	537,201	1,777,566
Utilization during the period	(1,213)	(48,754)
Write-offs and expirations	—	(344,266)
Translation adjustments	(159,275)	196,367
	₱6,738,536	₱6,361,823

The net change in deferred tax liabilities recognized in equity amounted to ₱28.2 million, ₱98.9 million and (₱149.2 million) in 2024, 2023 and 2022, respectively.

Provision for current income tax of foreign entities operating in the US, PRC, Vietnam, Singapore and South Korea amounted to ₱53.1 million, nil, ₱155.4 million, ₱92.5 million and ₱364.4 million, respectively, for the period ended June 30, 2025 and ₱88.5 million, ₱0.5 million, ₱110.6 million, ₱10.6 million and nil, respectively, for the period ended June 30, 2024.

Pillar Two Rules

The Organization for Economic Co-operation and Development (OECD/G20 Exclusive Framework on Base Erosion and Profit Shifting (BEPS) addresses the tax challenges arising from the digitalization of the global economy. The Global Anti-Base Erosion Model Rules (Pillar Two model rules) apply to multinational enterprises (MNEs) with annual revenue exceeding EUR750 million per their consolidated financial statements.

The Pillar Two model rules introduce four (4) new taxing mechanisms under which MNEs would pay a minimum level of tax (Minimum Tax):

- The Qualified Domestic Minimum Top-up Tax (QDMTT)
- The Income Inclusion Rule (IIR)
- The Under Taxed Payment/Profits Rule (UTPR)
- The Subject to Tax Rule

The Subject to Tax Rule is a tax treaty-based rule that generally proposes a Minimum Tax on certain cross-border intercompany transactions that otherwise are not subject to a minimum level of tax.

The new taxing mechanisms can impose a minimum tax on the income arising in each jurisdiction in which an MNE operates. The IIR, UTPR and QDMTT do so by imposing a top-up tax in a jurisdiction whenever the effective tax rate (ETR), determined on a jurisdiction basis under the Pillar Two rules, is below the 15% minimum rate.

On May 23, 2023, IASB issued International Tax Reform – Pillar Two Model Rules – Amendment to IAS 12 (the Amendments). The Amendments clarify that IAS 12 applies to income tax arising from tax law enacted or substantially enacted to implement the Pillar Two Model rules published by OECD, including the tax law that implements a QDMTT. The Jollibee Group has adopted these amendments, which introduce:

- A mandatory temporary exception to the accounting for deferred taxes arising from the jurisdictional implementation of Pillar Two model rules; and,
- Disclosure requirements for affected entities to help users of the financial statements better understand an entity's exposure to Pillar Two income taxes arising from that legislation.

The Pillar Two model rule was adopted by the Jollibee Group at the end of 2023 and are applicable from January 1, 2024. According to this rule, the Jollibee Group is considered an MNE to which the Pillar Two rules shall be applied. At the same time, Pillar Two legislation has been enacted or substantively enacted in several of the jurisdictions in which the Jollibee Group operates effective January 1, 2024 and some jurisdiction to be effective on January 1, 2025.

The Jollibee Group has assessed its potential tax exposure to Pillar Two income taxes based on 2023 country-by-country reporting and the 2024 financial for its constituent entities. The Pillar Two effective tax rates in most of the jurisdictions in which the Jollibee Group operates is above 15%, while some of the jurisdictions qualify under the transitional safe harbour reliefs. The Jollibee Group has identified subsidiaries that operate in jurisdiction with low statutory tax rates and noted that the potential current tax exposures under Pillar Two rules was not material as at June 30, 2025 and December 31, 2024.

The Jollibee Group will continue to monitor the Pillar Two legislative developments and its potential impact to its consolidated financial statements.

25. Pension Liability

Defined Benefit Plan

The Parent Company and certain Philippine-based subsidiaries have funded, independently-administered, non-contributory defined benefit pension plan covering all permanent employees. The benefits are based on the employees' projected salaries and number of years of service.

The funds are administered by trustee banks. Subject to the specific instructions provided in writing, the Parent Company and certain Philippine-based subsidiaries direct the trustee banks to hold, invest and reinvest the funds and keep the same invested, in its sole discretion, without distinction between principal and income in, but not limited to, certain cash and other short-term deposits, investments in government and corporate debt securities and quoted equity securities.

Under the existing regulatory framework, Republic Act No. 7641 requires a provision for retirement pay to qualified private sector employees in the absence of any retirement plan in the entity, provided however that the employees' retirement benefits under any collective bargaining and other agreements shall not be less than those provided under the law. The law does not require minimum funding of the plan.

The following tables summarize the components of pension expense, included under “Cost of sales” and “General and administrative expenses” accounts in the consolidated statements of comprehensive income and pension liability in the consolidated statements of financial position, which are based on annual actuarial valuations.

Changes in pension liability of the Jollibee Group in 2024 are as follows:

	Present Value of Defined Benefit Obligation	Fair Value of Plan Assets	Pension Liability
At January 1, 2024	₱4,610,165	₱2,278,935	₱2,331,230
Pension expense:			
Current service cost	354,097	—	354,097
Net interest	282,239	139,915	142,324
Settlement loss	6,431	—	6,431
	642,767	139,915	502,852
Benefits paid	(229,418)	(229,338)	(80)
Settlement paid	(50,123)	(50,123)	—
Remeasurements in other comprehensive income:			
Return on plan assets (excluding amount included in net interest)	—	5,452	(5,452)
Actuarial changes arising from changes in financial assumptions	(54,563)	—	(54,563)
Actuarial changes due to experience adjustment	180,146	—	180,146
Actuarial changes due to demographic adjustment	(7,314)	—	(7,314)
	118,269	5,452	112,817
Contributions	—	95,420	(95,420)
Transferred out - net	(6)	—	(6)
At December 31, 2024	₱5,091,654	₱2,240,261	₱2,851,393

Changes in pension liability of the Jollibee Group in 2023 are as follows:

	Present Value of Defined Benefit Obligation	Fair Value of Plan Assets	Pension Liability
At January 1, 2023	₱3,957,303	₱2,066,001	₱1,891,302
Pension expense:			
Current service cost	303,516	—	303,516
Net interest	282,539	148,211	134,328
Settlement loss	8,089	—	8,089
	594,144	148,211	445,933
Benefits paid	(323,157)	(332,469)	9,312
Settlement paid	(44,795)	(35,484)	(9,311)

(Forward)

	Present Value of Defined Benefit Obligation	Fair Value of Plan Assets	Pension Liability
Remeasurements in other comprehensive income:			
Return on plan assets (excluding amount included in net interest)	₱—	₱30,933	(₱30,933)
Actuarial changes arising from changes in financial assumptions	224,270	—	224,270
Actuarial changes due to experience adjustment	159,290	—	159,290
Actuarial changes due to demographic adjustment	43,110	—	43,110
	426,670	30,933	395,737
Contributions	—	401,743	(401,743)
At December 31, 2023	₱4,610,165	₱2,278,935	₱2,331,230

The maximum economic benefit available is a combination of expected refunds from the plan and reductions in future contributions.

The following table presents the carrying amounts, which approximate the estimated fair values, of the assets of the plan:

	June 2025 (Unaudited)	December 2024 (Audited)
Cash and cash equivalents	₱16,280	₱8,273
Investments in government and corporate debt securities	2,501,973	2,513,620
Investments in quoted equity securities:		
Holding firms	192,376	178,146
Banks	201,889	180,139
Property	110,258	104,159
Transportation	88,880	86,328
Food and beverage	63,555	62,225
Telecommunications	41,901	47,358
Electricity, energy, power and water	34,410	51,559
Others	17,181	11,837
Interest and dividends receivable	43,842	2,908
Fund liabilities (see Notes 7 and 27)	(1,145,216)	(1,006,291)
	₱2,167,329	₱2,240,261

The plan assets consist of the following:

- Investments in government securities consist of retail treasury bonds that bear interest ranging from 2.63%-6.25% and have maturities from August 2025 to October 2037 and fixed-rate treasury notes that bear interest ranging from 3.63%-9.25% and have maturities from September 2027 to January 2050.
- Investments in debt securities consist of long-term corporate bonds in the property sector, which bear interest ranging from 4.34%-6.99% maturing from October 2026 to July 2034.

- Investments in equity securities consist of investments in listed equity securities, including equity securities of the Parent Company, for certain retirement plans of the Jollibee Group (see Note 27).
- Other financial assets held by the retirement plan are primarily accrued interest income on cash and cash equivalents, debt instruments and other securities.

Pension expense as well as the present value of the pension liability are determined using actuarial valuations. The actuarial valuation involves making various assumptions. The principal assumptions used in determining pension expense and liability for the defined benefit plans are shown below:

	December 2024	December 2023
Discount rate	6.1%- 6.2%	6.1%- 7.3%
Salary increase rate	6%	5.7%

The sensitivity analysis below has been determined based on reasonably possible changes of each significant assumption on the present value of the defined benefit obligation as at the end of the reporting year, assuming all other assumptions were held constant:

	Increase (Decrease)	Philippine Plan	
		2024	2023
Discount rates	+0.50%	(111,883)	(P543,539)
	-0.50%	120,387	941,738
Future salary increases	+0.50%	120,502	941,645
	-0.50%	(131,865)	(544,587)

Shown below is the maturity analysis of the undiscounted benefit payments as at December 31:

	2024	2023
Less than 1 year	P1,322,267	P1,141,121
More than 1 year to 5 years	1,652,390	1,500,190
More than 5 years to 10 years	2,835,359	2,450,048
More than 10 years to 15 years	3,589,200	3,244,825
More than 15 years to 20 years	3,669,681	3,710,396
More than 20 years	9,655,504	9,140,354

The Parent Company and certain Philippine-based subsidiaries do not have a formal asset-liability matching strategy. The overall investment policy and strategy of the retirement plans is based on the client suitability assessment, as provided by trustee banks, in compliance with the BSP requirements. Nevertheless, the Parent Company and certain Philippine-based subsidiaries ensure that there will be sufficient assets to pay the retirement benefits as they fall due while attempting to mitigate the various risks of the plans.

The plan assets are primarily exposed to financial risks such as liquidity risk and price risk. Liquidity risk pertains to the plans' ability to meet obligation to the employees upon retirement. To effectively manage liquidity risk, the trustee banks maintain assets in cash and short-term deposits. Price risk pertains mainly to fluctuation in market prices of the retirement funds' marketable securities. In order to effectively manage price risk, the trustee banks continuously assess these risks by closely monitoring the market value of the securities and implementing prudent investment strategies.

The Parent Company and certain Philippine-based subsidiaries contributed P95.4 million to the defined benefit pension plans in 2024.

The average duration of the defined benefit obligation is 10 years as at December 31, 2024 and 2023.

Defined Contribution Plan

The employees of the PRC-domiciled subsidiaries of the Jollibee Group are members of a state-managed pension benefit scheme operated by the national government. These subsidiaries are required to contribute a specified percentage of their payroll costs to the pension benefit scheme to fund the benefits. The only obligation of these subsidiaries with respect to the pension benefit scheme is to make the specified contributions. Pension expense under the defined contribution plan amounted to ₱177.7 million and ₱286.6 million for the periods ended June 30, 2025 and 2024, respectively.

26. Stock Options Plan

Senior Management Stock Option and Incentive Plan

On January 10, 2017 and December 17, 2002, the SEC approved the exemption requested by the Jollibee Group on the registration requirements of 31,500,000 and 101,500,000 options, respectively, underlying the Parent Company's common shares to be issued pursuant to the Jollibee Group's Senior Management Stock Option and Incentive Plan (the Plan). The Plan covers selected key members of management of the Jollibee Group and designated affiliated entities.

On December 23, 2022, the Philippine SEC approved the registration of up to 136,000,000 common shares with a par value of ₱1.00 per share to be issued at ₱167.20 to ₱216.80 per share to eligible participants of the Company pursuant to the Plan.

The Plan is divided into two programs, namely, the Management Stock Option Program (MSOP) and the Executive Long-term Incentive Program (ELTIP). The MSOP provides a yearly stock option grant program based on company and individual performance while the ELTIP provides stock ownership as an incentive to reinforce entrepreneurial and long-term ownership behavior of executive participants.

MSOP. The MSOP is a yearly stock option grant program open to members of the senior management committee of the Jollibee Group and members of the management committee, key talents and designated consultants of some of the business units.

Each MSOP cycle refers to the period commencing on the MSOP grant date and ending on the last day of the MSOP exercise period. Vesting is conditional on the employment of the employee-participants in the Jollibee Group within the vesting period. The options will vest at the rate of one-third of the total options granted on each anniversary of the MSOP grant date until the third anniversary.

The exercise price of the stock options is determined by the Jollibee Group with reference to the prevailing market prices over the three months immediately preceding the date of grant for the 1st to the 7th MSOP cycle. Starting with the 8th MSOP cycle, the exercise price of the option is determined by the Jollibee Group with reference to the market closing price at date of grant.

The options will vest at the rate of one-third of the total options granted from the start of the grant date on each anniversary date which will start after a year from the grant date. For instance, under the 1st MSOP cycle, the Compensation Committee of the Jollibee Group granted 2,385,000 options to eligible participants on July 1, 2004. One-third of the options granted, or 795,000 options, vested and may be exercised starting July 1, 2005. The exercise period for the 1st MSOP cycle was until June 30, 2012. From July 1, 2005 to October 25, 2023, the Compensation Committee granted series of MSOP grants under the 2nd to 20th MSOP cycle to eligible participants. Under the most recent

grant on August 13, 2024, the 21st MSOP cycle, the Compensation Committee granted 2,807,880 options. These options vest similar to the 1st MSOP cycle.

The options under MSOP expire eight (8) years after grant date. The 1st, 2nd, 3rd, 4th, 5th, 6th, 7th, 8th, 9th, 10th, 11th, 12th and 13th MSOP cycles expired in 2012, 2013, 2014, 2015, 2016, 2017, 2018, 2019, 2020, 2021, 2022, 2023 and 2024, respectively.

The Jollibee Group does not pay cash as a form of settlement.

The movements in the number of stock options outstanding under MSOP and related weighted average exercise prices (WAEP) in 2025, 2024 and 2023 follow:

	June 2025 (Unaudited)		December 2024 (Audited)		December 2023 (Audited)	
	Number of Options	WAEP	Number of Options	WAEP	Number of Options	WAEP
Total options granted at beginning of period	73,822,820	₱139.62	71,014,940	₱135.87	65,466,338	₱129.24
Options granted during the period	–	–	2,807,880	234.60	5,548,602	214.00
Total options granted at end of period	73,822,820	₱139.62	73,822,820	₱139.62	71,014,940	₱135.87
Outstanding at beginning of period	20,133,023	₱211.66	21,024,259	₱209.77	17,246,159	₱205.97
Options granted during the period	–	–	2,807,880	234.60	5,548,602	214.00
Options exercised during the period	(1,416,858)	204.31	(3,162,620)	218.04	(827,462)	189.72
Options forfeited during the period	–	–	(536,496)	219.90	(943,040)	182.77
Outstanding at end of period	18,716,165	₱212.22	20,133,023	₱211.66	21,024,259	₱209.77
Exercisable at end of period	10,767,589	₱204.99	12,184,447	₱204.91	11,185,984	₱208.08

The weighted average share price of the Parent Company's common shares is ₱238.15, ₱246.97 and ₱234.57 in 2025, 2024 and 2023, respectively. The weighted average remaining contractual life for the stock options outstanding is 5.04 years, 5.16 years and 5.14 years as at December 31, 2024, 2023 and 2022, respectively.

The weighted average fair value of stock options granted in 2024, 2023 and 2022 is ₱80.55, ₱77.52 and ₱64.50, respectively. The fair value of share options as at the date of grant is estimated using the Black-Scholes Option Pricing Model, taking into account, the terms and conditions upon which the options were granted. The option style used for this plan is the American style because the option plan allows exercise before the expiry date.

The inputs in the valuation of the options granted on the dates of grant for each MSOP cycle are shown below:

MSOP Cycle	Year of Grant	Dividend Yield	Expected Volatility	Risk-free Interest Rate	Expected Life of the Option	Stock Price on Grant Date	Exercise Price
14th	2017	2.00%	16.70%	3.92%	3-4 years	₱206.20	₱206.20
15th	2018	2.00%	28.98%	4.95%	3-4 years	245.00	245.00
16th	2019	2.00%	27.65%	4.18%	3-4 years	219.00	219.00
17th	2020	2.00%	35.17%	2.40%	3-4 years	138.00	138.00
18th	2021	1.70%	36.19%	2.29%	3-4 years	189.60	189.60
19th	2022	1.70%	37.18%	4.92%	3-4 years	218.00	218.00
20th	2023	1.56%	34.42%	6.63%	5 years	214.00	214.00
21st	2024	1.83%	34.39%	6.08%	5 years	234.60	234.60

The expected life of the stock options is based on historical data and current expectations and is not necessarily indicative of the exercise patterns that may occur. The expected volatility reflects the assumption that the historical volatility over a period similar to the life of the options is indicative of future trends, which may also not necessarily be the actual outcome.

ELTIP. The ELTIP entitlement is given to members of the senior management committee and designated consultants of the Jollibee Group.

Each ELTIP cycle refers to the period commencing on the ELTIP entitlement date and ending on the last day of the ELTIP exercise year. Actual grant and vesting are conditional upon achievement of the Jollibee Group's medium to long-term goals and individual targets in a given period, and the employment of the employee-participants in the Jollibee Group within the vesting period. If the goals are achieved, the options will be granted. For the 3rd ELTIP cycle, a percentage of the options to be granted are based on the percentage of growth in annual earnings per share such that 100%, 50% or 25% of the options granted when percentage of growth in annual earnings per share are 12% and above, 10% to less than 12% or 8% to less than 10%, respectively. For the 4th ELTIP cycle, the percentage of the options to be granted and the targeted percentage of growth in annual earnings per share have been further revised such that 150%, 100% or 50% of the options granted when percentage of growth in annual earnings per share are 15% and above, 12% to less than 15% or 10% to less than 12%, respectively.

The exercise price of the stock options under ELTIP is determined by the Jollibee Group with reference to the prevailing market prices over the three months immediately preceding the date of entitlement for the first and second ELTIP cycles. Starting with the 3rd ELTIP cycle, the exercise price of the option is determined by the Jollibee Group with reference to the closing market price as at the date of entitlement.

The options will vest at the rate of one-third of the total options granted on each anniversary date which will start after the goals are achieved. For instance, on July 1, 2004, the Compensation Committee gave an entitlement of 22,750,000 options under the 1st ELTIP cycle to eligible participants. One-third of the options granted, or 7,583,333 options, vested and were exercised starting July 1, 2007 until June 30, 2012. On July 1, 2008, October 19, 2012, August 25, 2015, January 3, 2018 and May 19, 2021, entitlement to 20,399,999, 24,350,000, 11,470,000, 9,290,000 and 15,629,998 options were given to eligible participants under the 2nd, 3rd, 4th, 5th and 6th ELTIP cycles, respectively. The 1st, 2nd, 3rd and 4th ELTIP cycles expired on June 30, 2012, April 30, 2017, April 30, 2020 and April 30, 2023, respectively. The 5th ELTIP cycle was not granted to ELTIP participants as the Jollibee Group did not achieve the minimum hurdle rate of 10% of annual growth of the EPS due to the impact of the COVID-19 pandemic to Jollibee Group's business performance in 2020. The 6th ELTIP cycle was granted on May 1, 2024 at 100% of options allocated with a total of 11,368,932 options.

The Jollibee Group does not pay cash as a form of settlement.

The movements in the number of stock options outstanding for the 4th ELTIP cycle and related WAEP in 2025, 2024 and 2023 follow:

	June 2025 (Unaudited)		December 2024 (Audited)		December 2023 (Audited)	
	Number of Options	WAEP	Number of Options	WAEP	Number of Options	WAEP
Total options granted at beginning of period	90,338,931	₱87.21	78,969,999	₱74.58	78,969,999	₱74.58
Options granted during the period	—	—	11,368,932	175.00	—	—
Total options granted at end of period	90,338,931	₱87.21	90,338,931	₱87.21	78,969,999	₱74.58
Outstanding at beginning of period	11,324,487	₱175.00	—	₱—	476,667	₱180.00
Options granted during the period	—	—	11,368,932	175.00	—	—
Options exercised during the period	(44,445)	175.00	(44,445)	175.00	(286,667)	180.00
Options forfeited during the period	—	—	—	—	(190,000)	180.00
Outstanding at end of period	11,280,042	₱175.00	11,324,487	₱175.00	—	₱—
Exercisable at end of period	7,490,398	₱175.00	3,745,199	₱175.00	—	₱—

The weighted average remaining contractual life for the stock options outstanding is 4.33 years as at June 30, 2025 and December 31, 2024.

The fair value of stock options granted is ₱80.55 in 2024. There were no additional stock option grants under ELTIP in 2023. The fair value of share options as at the date of grant is estimated using the Black-Scholes Option Pricing Model, taking into account the terms and conditions upon which the options were granted. The option style used for this plan is the American style because this option plan allows exercise before the maturity date.

The inputs to the model used for the options granted on the date of grant for the 6th ELTIP cycle are shown below:

ELTIP Cycle	Year of Grant	Dividend Yield	Expected Volatility	Risk-free Interest Rate	Expected Life of the Option	Stock Price on Grant Date	Exercise Price
6th	2024	1.70%	33.12%	3.13%	5 years	₱175.00	₱175.00

The expected life of the stock options is based on historical data and current expectations and is not necessarily indicative of the exercise patterns that may occur. The expected volatility reflects the assumption that the historical volatility over a period similar to the life of the options is indicative of future trends, which may also not necessarily be the actual outcome.

On October 1, 2024, the Parent Company has replaced the MSOP and ELTIP with a Restricted Stock Unit Program (RSUP) to align leadership behavior with long-term shareholder value creation.

The RSUP is a long-term incentive program under the Plan established by the Parent Company. It entitles participants to earn stock units, subject to meeting set eligibility and performance criteria. Eligible participants include the leadership teams, key talents and designated consultants of the Jollibee Group.

The RSUP emphasizes performance over a 3-year horizon, with clearly defined performance hurdles to drive sustained profitability and growth. Designed to support the Jollibee Group's strategic objectives, the RSUP fosters value creation, strengthens growth momentum, and positions the Jollibee Group for global leadership in the QSR industry.

The RSUP has an annual cycle. Every year, employees who meet the set eligibility criteria are identified as RSUP participants and are granted stock units. Granted stock units will cliff-vest over a 3-year period. On the RSUP Vesting Date, the number of shares to be issued to the grantees of stock units will be computed using the Stock Units Multiplier. The Stock Units Multiplier shall take into account the Jollibee Group's achievement of its performance targets based on the Parent Company's three (3)-year share price growth rate for the relevant RSUP Stock Unit Cycle.

On October 1, 2024, under the RSUP Cycle 1, Jollibee Group has given a total of 3,205,850 stock units entitlement to eligible participants. The vesting date is on October 1, 2027, subject to meeting the Parent Company's 3-yr share price growth rate targets.

The cost of the stock options expense charged to operations for both MSOP and ELTIP in the "General and administrative expenses" account amounted to ₱258.3 million and ₱240.1 million for the periods ended June 30, 2025 and 2024, respectively (see Notes 19, 22 and 27). Correspondingly, a credit was made to additional paid-in-capital (see Note 19).

27. Related Party Transactions

The Jollibee Group has transactions with related parties. Enterprises and individuals that directly, or indirectly through one or more intermediaries, control or are controlled by, or under common control with the Jollibee Group, including holding companies, subsidiaries and fellow subsidiaries are related entities of the Jollibee Group. Individuals owning, directly or indirectly, an interest in the voting power of the Jollibee Group that give them significant influence over the enterprise, key management personnel, including directors and officers of the Jollibee Group, and close members of the family of these individuals and companies associated with these individuals also constitute related parties.

Compensation of Key Management Personnel of the Jollibee Group

The aggregate compensation and benefits to key management personnel of the Jollibee Group are as follows:

	June 2025 (Unaudited)	June 2024 (Unaudited)
Salaries and short-term benefits	₱1,621,086	₱1,405,406
Stock options expense (see Notes 19, 22 and 26)	258,349	240,120
Net pension expense	101,425	75,968
Employee car plan and other long-term benefits	28,025	28,395
	₱2,008,885	₱1,749,889

Transactions with the Retirement Plans

As at June 30, 2025 and December 31, 2024, certain retirement funds of the Jollibee Group include investment in equity securities of the Parent Company with details as follows:

	June 2025 (Unaudited)	December 2024 (Audited)
Number of shares	130,150	108,100
Market value	₱28,112	₱31,072
Cost	31,137	27,609
Unrealized gain (loss)	(₱3,025)	₱3,463

The Jollibee Group's receivable from the retirement fund amounted to ₱1,140.9 million and ₱1,009.0 million as at June 30, 2025 and December 31, 2024, respectively (see Notes 7 and 25). The receivable arose from benefit payments made by the Jollibee Group for and on behalf of the retirement plans. The receivable is noninterest-bearing.

Terms and Conditions of Transactions with other Related Parties

Transactions with related parties are made at market prices and are normally settled in cash. The Jollibee Group has approval process and established limits when entering into material related party transactions. For related party transactions related to advances to joint ventures which include the terms and conditions, transactions and outstanding balance as at June 30, 2025 and December 31, 2024, respectively, are disclosed in Note 11 to the consolidated financial statements. Other related party transactions between entities under the Jollibee Group are eliminated in the consolidation process.

28. Earnings Per Share (EPS)

Basic and diluted EPS are computed as follows:

	June 2025 (Unaudited)	June 2024 (Unaudited)
	<i>(In Thousand pesos, except for shares data and EPS)</i>	
Net income attributable to the equity holders of the Parent Company	₱5,616,626	₱5,658,148
Less dividends on preferred shares - net of tax	179,574	225,540
Adjusted net income attributable to the equity holders of the Parent Company (a)	₱5,437,052	₱5,432,608
Weighted average number of shares - basic (b)	1,119,389,313	1,116,508,703
Weighted average number of shares outstanding under the stock options plan	26,265,423	11,962,796
Weighted average number of shares that would have been purchased at fair market value	(22,968,484)	(10,184,235)
Adjusted weighted average shares – diluted (c)	1,122,686,252	1,118,287,264
EPS		
Basic (a/b)	₱4.857	₱4.866
Diluted (a/c)	4.843	4.858

Potential common shares for stock options under the 15th and 21st MSOP cycles in 2025 and 15th and 20th MSOP cycles in 2024 were not included in the calculation of the diluted EPS because they are anti-dilutive.

29. Leases

Jollibee Group as Lessee

The Jollibee Group has lease contracts for QSR outlets, warehouses, and office spaces. Leases of QSR outlets and warehouses generally have lease terms between three (3) to twenty (20) years. The Jollibee Group's obligations under its leases are secured by the lessor's title to the leased assets. Generally, the Jollibee Group is restricted from assigning and subleasing the leased assets. There are several lease contracts that include extension and termination options and variable lease payments, which are further discussed in subsequent paragraphs.

The Jollibee Group also has certain leases of QSR outlets with lease term of 12 months or less. The Jollibee Group applies the 'short-term lease' recognition exemptions for these leases.

Set out below are the carrying amounts of right-of-use assets recognized and the movements during the period:

	QSR Outlets	Warehouses	Office Spaces	Total
As at December 31, 2023	₱43,372,460	₱1,360,810	₱232,785	₱44,966,055
Additions	8,634,010	53,371	94,646	8,782,027
Depreciation expense	(9,081,139)	(64,412)	(130,618)	(9,276,169)
Pre-terminations	(457,175)	—	—	(457,175)
Cumulative translation adjustments	508,110	—	6,650	514,760
As at December 31, 2024	42,976,266	1,349,769	203,463	44,529,498
Additions	3,393,797	—	—	3,393,797
Depreciation expense (see Notes 21 and 22)	(4,435,904)	(18,445)	(48,996)	(4,503,345)
Pre-terminations (see Note 23)	(482,397)	—	—	(482,397)
Cumulative translation adjustments	(404,591)	—	(5,842)	(410,433)
As at June 30, 2025	₱41,047,171	₱1,331,324	₱148,625	₱42,527,120

Set out below are the carrying amounts of lease liabilities (included under interest-bearing loans and borrowings) and the movements during the period:

	June 2025 (Unaudited)	December 2024 (Audited)
Balance at beginning of period	₱52,221,444	₱51,731,529
Payments	(5,669,876)	(11,343,098)
Additions	3,389,871	8,734,271
Accretion of interest (see Note 23)	1,578,634	3,056,484
Pre-terminations (see Note 23)	(567,799)	(526,599)
Cumulative translation adjustments	(436,654)	568,857
Balance at end of period	₱50,515,620	₱52,221,444
Current	₱8,337,400	₱8,106,429
Noncurrent	42,178,220	44,115,015

The maturity analysis of lease liabilities is disclosed in Note 31.

The following are the amounts recognized in profit or loss:

	June 2025 (Unaudited)	June 2024 (Unaudited)
Depreciation expense of right-of-use assets (see Notes 21 and 22)	₱4,503,345	₱4,451,309
Rent expense - short-term leases (see Notes 21 and 22)	2,846,382	2,402,217
Interest expense on lease liabilities (see Note 23)	1,578,634	1,404,520
Rent expense - variable lease payments (see Notes 21 and 22)	1,344,972	1,244,007
Gain on pre-termination of lease agreements (see Note 23)	(85,402)	(4,928)
	₱10,187,931	₱9,497,125

The Jollibee Group had total cash outflows for leases of ₱9,861.2 million and ₱9,091.3 million for the periods ended June 30, 2025 and 2024, respectively.

Jollibee Group as Lessor

The Jollibee Group entered into commercial property leases for its investment property units. These leases have terms of between three (3) and twenty (20) years. Leases generally include a clause to enable upward revision of the rent charges on an annual basis based on prevailing market conditions.

Rent income recognized on a straight-line basis amounted to ₱11.4 million and ₱13.1 million for the periods ended June 30, 2025 and 2024, respectively (see Note 20).

30. Contingencies

The Jollibee Group is involved in litigations, claims and disputes, and regulatory assessments which are normal to its business. Management believes that the ultimate liability, if any, with respect to these litigations, claims and disputes will not materially affect the financial position and financial performance of the Jollibee Group. Thus, other than the provisions in Note 17, there were no other provisions made for contingencies.

The Jollibee Group does not provide further information on these provisions and contingencies in order not to impair the outcome of the litigations, claims and disputes.

31. Financial Risk Management Objectives and Policies

The Jollibee Group is exposed to a variety of financial risks from its operating, investing and financing activities. The Jollibee Group's risk management policies focus on actively securing the Jollibee Group's short-term to medium-term cash flows by minimizing the exposure to financial markets.

The Jollibee Group's principal financial instruments comprise of cash and cash equivalents, short-term investments, current portion of financial assets at FVTPL, receivables, short-term and long-term debts and senior debt securities. The main purpose of these financial instruments is to obtain financing for the Jollibee Group's operations. The Jollibee Group has other financial assets and liabilities such as security and other deposits, lease liabilities and trade payables and other current liabilities (excluding accrual for local and other taxes, liabilities to government agencies and unearned revenue from gift certificates) which arise directly from its operations and noncurrent portion of financial assets at FVTPL.

The main risks arising from these financial instruments are interest rate risk, foreign currency risk, credit risk and liquidity risk. The risk management policies reviewed regularly by the Parent Company's BOD and management for managing each of these risks are summarized as follows:

Interest Rate Risk

Interest rate risk arises from the possibility that the fair value or future cash flows of financial instruments will fluctuate because of changes in market interest rates.

The Jollibee Group's exposure to interest rate risk relates primarily to short-term and long-term debts with floating interest rates. Floating rate financial instruments are subject to cash flow interest rate risk. The Jollibee Group's interest rate exposure management policy centers on reducing the Jollibee Group's overall interest expense and exposure to changes in the interest rates.

With the Jollibee Group's Corporate Planning Team, it enters into loan contracts with variable interest rates and option to fix interest rates which can be availed to manage its loan risks.

There is minimal exposure on the other sources of the Jollibee Group's interest rate risk. These other sources are from the Jollibee Group's cash in banks, short-term deposits and short-term investments.

The following table demonstrates the sensitivity to a reasonably possible change in interest rates, with all other variables held constant, of the Jollibee Group's income before income tax as at December 31, 2024, 2023 and 2022. The impact on the Jollibee Group's income before income tax is due to changes in the fair value of floating interest rates.

Long-term Debt with Floating Interest Rates

	Increase/ Decrease in Basis Points	Effect in Profit or Loss Before Income Tax		
		2024	2023	2022
PHP	+100	(P113,512)	(P93,435)	(P134,998)
	-100	113,512	93,435	134,998
USD	+100	(17,355)	(15,448)	(15,724)
	-100	17,355	15,448	15,724
VND	+100	(14,375)	(15,393)	(11,909)
	-100	14,375	15,393	11,909
MYR	+100	(5,456)	—	—
	-100	5,456	—	—
SGD	+100	(4,856)	(1,894)	—
	-100	4,856	1,894	—

The assumed movement in basis point for interest rate sensitivity analysis is based on the currently observable market environment.

Foreign Currency Risk

The Jollibee Group's exposure to foreign currency risk arises from the Parent Company's investments outside the Philippines, which are mainly in the USA, PRC, Vietnam, Singapore, South Korea and Europe. The net assets (liabilities) of foreign businesses account for (22.7%) and 8.0% of the consolidated net assets of the Jollibee Group as at June 30, 2025 and December 31, 2024, respectively.

The Jollibee Group also has transactional foreign currency exposures. Such exposures arise from the Jollibee Group's Philippine operations' cash and cash equivalents, receivables and trade payables in foreign currencies.

The table below shows the Jollibee Group's Philippine operations' foreign currency-denominated monetary assets and liabilities and their peso equivalents as at June 30, 2025 and December 31 2024:

	June 2025 (Unaudited)		December 2024 (Audited)	
	USD	PHP Equivalent	USD	PHP Equivalent
Foreign currency denominated assets:				
Cash and cash equivalents	19,715	1,110,546	18,521	1,071,440
Receivables	11,581	652,358	13,127	759,397
	31,296	1,762,904	31,648	1,830,837
Foreign currency denominated liability -				
Accounts payable - trade	(2,722)	(153,330)	(6,234)	(360,637)
Foreign currency denominated assets - net	28,574	1,609,574	25,414	1,470,200

Foreign Currency Risk Sensitivity Analysis

The Jollibee Group has recognized in its profit or loss, a net foreign exchange loss of ₱79.6 million and ₱104.7 million for the periods ended June 30, 2025 and 2024, respectively (see Note 23), included under "Other income (expense)" account. This resulted from the movements of the Philippine peso against the USD as shown below:

June 30, 2025	56.33
December 31, 2024	57.85

The table below demonstrates the sensitivity to a reasonably possible change in USD to Philippine peso exchange rate, with all other variables held constant, of the Jollibee Group's income before income tax (due to changes in the fair value of monetary assets and liabilities) as at June 30, 2025 and December 31, 2024:

		June 2025 (Unaudited)		December 2024 (Audited)	
		Effect on Income before Income Tax	Effect on Equity before Income Tax	Effect on Income before Income Tax	Effect on Equity before Income Tax
Appreciation (Depreciation) of ₱ against Foreign Currency					
USD	1.50	(₱42,861)	(₱42,861)	(₱38,121)	(₱38,121)
	(1.50)	42,861	42,861	38,121	38,121
	1.00	(28,574)	(28,574)	(25,414)	(25,414)
	(1.00)	28,574	28,574	25,414	25,414

Credit Risk

Credit risk is the risk that a customer or counterparty fails to fulfill its contractual obligations to the Jollibee Group. This includes risk of non-payment by borrowers, failed settlement of transactions and default on outstanding contracts.

The Jollibee Group has a strict credit policy. Its credit transactions are with franchisees and customers that have gone through rigorous screening before granting them the franchise. The credit terms are very short, while deposits and advance payments are also required before rendering the services or delivering the goods, thus, mitigating the possibility of non-collection. In cases of non-collection, defaults of the debtors are not tolerated; the exposure is contained the moment a default occurs and transactions that will further increase the exposure of the Jollibee Group are discontinued.

The Jollibee Group has no significant concentration of credit risk with counterparty. The Jollibee Group's franchisee profile is such that no single franchisee accounts for more than 5% of the total system-wide sales of the Jollibee Group.

Credit Risk Exposure. The tables below show the maximum exposure to credit risk of the Jollibee Group as at June 30, 2025 and December 31, 2024 without considering the effects of collaterals and other credit risk mitigation techniques:

June 2025 (Unaudited)			
	Gross Maximum Exposure	Fair Value and Financial Effect of Collateral or Credit Enhancement	Net Exposure
	(a)	(b)	(c) = (a) - (b)
<i>(In Millions)</i>			
Financial Assets at Amortized Cost			
Cash and cash equivalents*	₱31,551.2	₱304.1	₱31,247.1**
Short-term investments	715.4	—	715.4
Receivables:			
Trade	6,844.1	—	6,844.1
Advances to employees	1,670.3	—	1,670.3
Receivable from retirement fund	1,140.9	—	1,140.9
Employee car plan receivables***	190.6	—	190.6
Other noncurrent assets -			
Security and other deposits***	4,508.2	—	4,508.2
Financial assets at FVTPL***	585.7	—	585.7
	₱47,206.4	₱304.1	₱46,902.3

* Excluding cash on hand amounting to ₱389.3 million.

** Gross financial assets after taking into account insurance bank deposits for cash and cash equivalents.

*** Including noncurrent portion

December 2024 (Audited)			
	Gross Maximum Exposure	Fair Value and Financial Effect of Collateral or Credit Enhancement	Net Exposure
	(a)	(b)	(c) = (a) - (b)
<i>(In Millions)</i>			
Financial Assets at Amortized Cost			
Cash and cash equivalents*	₱28,991.4	₱304.1	₱28,687.3**
Short-term investments	85.5	—	85.5
Receivables:			
Trade	7,600.6	—	7,600.6
Advances to employees	1,473.3	—	1,473.3
Receivable from retirement fund	1,009.0	—	1,009.0
Employee car plan receivables****	187.4	—	187.4
Other receivables***	6.1	—	6.1
Other noncurrent assets -			
Security and other deposits****	4,272.6	—	4,272.6
Financial assets at FVTPL****	585.6	—	585.6
	₱44,211.5	₱304.1	₱43,907.4

* Excluding cash on hand amounting to ₱335.2 million.

** Gross financial assets after taking into account insurance bank deposits for cash and cash equivalents.

*** Including interest receivable and excluding receivables from government agencies amounting to ₱85.5 million

**** Including noncurrent portion

With respect to credit risk arising from financial assets of the Jollibee Group, the Jollibee Group's exposure to credit risk arises from default of the counterparty, with a gross maximum exposure equal to the carrying amount of these instruments.

Credit Quality. The financial assets of the Jollibee Group are grouped according to stage of which description is explained as follows:

Stage 1 - Those that are considered current and up to 30 days past due, and based on change in rating, delinquencies and payment history, do not demonstrate significant increase in credit risk.

Stage 2 - Those that, based on change in rating, delinquencies and payment history, demonstrate significant increase in credit risk, and/or are considered more than 30 days past due but does not demonstrate objective evidence of impairment as at reporting date.

Stage 3 - Those that are considered in default or demonstrate objective evidence of impairment as at reporting date.

The tables below show determination of ECL stage of the Jollibee Group's financial assets:

	June 2025 (Unaudited)			
	Total	Stage 1 12-month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL
Financial Assets at Amortized Cost	<i>(in Millions)</i>			
Receivables:				
Trade	₱6,844.1	₱4,330.5	₱1,067.7	₱1,445.9
Advances to employees	1,670.3	1,670.3	—	—
Receivable from retirement fund	1,140.9	74.9	1,066.0	—
Employee car plan receivables*	190.6	190.6	—	—
Contract Assets	1,486.7	1,486.7	—	—
Financial Assets at FVTPL*	585.7	585.7	—	—
	₱11,918.3	₱8,338.7	₱2,133.7	₱1,445.9

*Including noncurrent portion

	December 2024 (Audited)			
	Total	Stage 1 12-month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL
Financial Assets at Amortized Cost	<i>(in Millions)</i>			
Receivables:				
Trade	₱7,600.6	₱5,012.9	₱1,205.8	₱1,381.9
Advances to employees	1,473.3	1,473.3	—	—
Receivable from retirement fund	1,009.0	53.0	956.0	—
Employee car plan receivables*	187.4	187.4	—	—
Other receivables**	6.1	6.1	—	—
Contract Assets	1,946.4	1,946.4	—	—
Financial Assets at FVTPL*	585.6	585.6	—	—
	₱12,808.4	₱9,264.7	₱2,161.8	₱1,381.9

*Including noncurrent portion

**Including interest receivable and excluding receivables from government agencies amounting to ₱85.5 million

Liquidity Risk

The Jollibee Group's exposure to liquidity risk refers to the risk that its financial liabilities are not serviced in a timely manner and that its working capital requirements and planned capital expenditures are not met. To manage this exposure and to ensure sufficient liquidity levels, the Jollibee Group closely monitors its cash flows to be able to finance its capital expenditures and to pay its obligations as and when they fall due.

On a weekly basis, the Jollibee Group's Cash and Banking Team monitors its collections, expenditures and any excess/deficiency in the working capital requirements, by preparing cash position reports that present actual and projected cash flows for the subsequent week. Cash outflows resulting from major expenditures are planned so that money market placements are available in time for the planned major expenditure. In addition, the Jollibee Group has short-term cash deposits and portfolio investments and has available credit lines with accredited banking institutions, in case there is a sudden deficiency. The Jollibee Group maintains a level of cash and cash equivalents deemed sufficient to finance its operations. No changes were made in the objectives, policies or processes of the Jollibee Group.

The Jollibee Group's financial assets, which have maturity of less than 12 months and are used to meet its short-term liquidity needs, are cash and cash equivalents, short-term investments, financial assets at FVTPL and trade receivables and contract assets amounting to ₱31,940.5 million, ₱715.4 million, ₱210.5 million and ₱6,884.9 million, respectively, as at June 30, 2025 and ₱29,326.6 million, ₱85.5 million, ₱211.5 million and ₱8,165.1 million, respectively, as at December 31, 2024.

The tables below summarize the maturity profile of the Jollibee Group's other financial liabilities based on the contractual undiscounted cash flows as at June 30, 2025 and December 31, 2024:

	June 30, 2025 (Unaudited)				
	Due and Demandable	Less than 1 Year	1 to 5 Years	Over 5 Years	Total
	(in Millions)				
Financial Liabilities					
Trade payables and other current liabilities*	₱13,335.8	₱28,664.9	₱–	₱–	₱42,000.7
Short-term debt	–	11,342.1	–	–	11,342.1
Long-term debt (including current portion)	–	3,424.3	17,158.1	4,153.1	24,735.5
Senior debt securities	–	18,673.2	40,436.9	–	59,110.1
Lease liabilities	–	10,933.4	35,768.2	40,387.9	87,089.5
Total Financial Liabilities	₱13,335.8	₱73,037.9	₱93,363.2	₱44,541.0	₱224,277.9

*Excluding statutory obligations such as local and other taxes payable, PHIC, SSS, HDMF and NHMFC payables and unearned revenue from gift certificates amounting to ₱5,229.9 million as at June 30, 2025

	December 2024 (Audited)				Total
	Due and Demandable	Less than 1 Year	1 to 5 Years	Over 5 Years	
	(in Millions)				
Financial Liabilities					
Trade payables and other current liabilities*	₱11,695.0	₱31,037.4	₱—	₱—	₱42,732.4
Short-term debt	—	6,472.2	—	—	6,472.2
Long-term debt (including current portion)	—	4,870.6	11,953.9	1,616.8	18,441.3
Senior debt securities	—	1,182.3	21,010.4	17,767.2	39,959.9
Lease liabilities	—	10,733.2	34,484.1	38,363.0	83,580.3
Total Financial Liabilities	₱11,695.0	₱54,295.7	₱67,448.4	₱57,747.0	₱191,186.1

*Excluding statutory obligations such as local and other taxes payable, PHIC, SSS, HDMF and NHMFC payables and unearned revenue from gift certificates amounting to ₱5,632.0 million as at December 31, 2024

Price Risk

Price risk is the risk that the fair value or future cash flows of financial instruments will fluctuate because of changes in market prices (other than those arising from interest rate or foreign exchange rate risk), whether those changes are caused by factors specific to the individual financial instrument or contract, or by factors affecting all similar contracts or financial instruments traded in the market.

The Jollibee Group's price risk exposure relates to financial assets which values will fluctuate as a result of changes in market prices.

The Jollibee Group price risk policy requires it to manage such risks by setting and monitoring objectives and constraints on investments.

The Jollibee Group has no significant concentration of price risk.

The Jollibee Group is not exposed to significant equity price risk on its investment in quoted equity securities consisting of investment in golf and club shares and private equity fund.

At the reporting date, the Jollibee Group's exposure to other price risk arises from the changes in fair value of bond funds. The Jollibee Group has determined that an increase (decrease) ranging from 1% to 5% on the market prices could have an impact of approximately ₱0.1 million on the profit or loss and equity before income tax as at June 30, 2025 and December 31, 2024.

The analysis was performed for reasonably possible movements in the market index with all other variables held constant. The correlation of variables will have a significant effect in determining the ultimate impact on price risk, but to demonstrate the impact due to changes in variables, variables had to be changed on an individual basis.

Capital Management Policy

Capital includes equity attributable to equity holders of the Parent Company.

The primary objective of the Jollibee Group's capital management is to ensure that it maintains a strong credit rating and healthy capital ratios in order to support its business and maximize shareholder value. The Jollibee Group has sufficient capitalization.

The Jollibee Group generates cash flows from operations sufficient to finance its organic growth. It declares cash dividends representing at least one-third of its consolidated net income, a ratio that would still leave some additional cash for future expansion. If needed, the Jollibee Group would borrow money for acquisitions of new businesses.

As at June 30, 2025 and December 31, 2024, the Jollibee Group's debt ratio and net debt ratio are as follows:

Debt Ratio

	June 2025 (Unaudited)	December 2024 (Audited)
Total debt (a)	₱191,287,123	₱168,983,475
Total equity attributable to equity holders of the Parent Company	76,449,806	73,038,833
Total debt and equity attributable to equity holders of the Parent Company (b)	₱267,736,929	₱242,022,308
Debt ratio (a/b)	71%	70%

Net Debt Ratio

	June 2025 (Unaudited)	December 2024 (Audited)
Total debt	₱191,287,123	₱168,983,475
Less cash and cash equivalents, short-term investments and current portion of financial assets at FVTPL	32,866,435	29,623,638
Net debt (a)	158,420,688	139,359,837
Total equity attributable to equity holders of the Parent Company	76,449,806	73,038,833
Net debt and equity attributable to equity holders of the Parent Company (b)	₱234,870,494	₱212,398,670
Net debt ratio (a/b)	67%	66%

32. Fair Value of Financial Assets and Liabilities

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at measurement date.

Financial Instruments Which Carrying Amounts Approximate Fair Value. Management has determined that the carrying amounts of cash and cash equivalents, short-term investments, receivables, trade payables and other current liabilities, based on their notional amounts, reasonably approximate their fair values because of their short-term nature or due to the immaterial effect of discounting when the present value of future cash flows from these instruments are calculated.

Financial Assets at FVTPL. The fair value of bond funds, private equity fund investment and quoted shares of stock in golf and leisure clubs are based on quoted prices. The Jollibee Group does not have the intention to dispose its quoted shares of stock in the near term.

Security and Other Deposits, Employee Car Plan Receivables, Long-term Debt and Lease Liabilities. Management has determined that the estimated fair value of security and other deposits, noncurrent portion of employee car plan receivables, long-term debt and lease liabilities are based on the discounted value of future cash flows using the following applicable rates in 2024 and 2023:

Security and other deposits	1.74%-14.02%
Employee car plan receivables	2.30%-8.50%
Long-term debt	0.75%-5.87%
Lease liabilities	2.00%-9.00%

The following tables provide the fair value measurement hierarchy of the Jollibee Group's recurring financial assets and liabilities.

Quantitative disclosure fair value measurement hierarchy for assets as at June 30, 2025 (Unaudited):

	Carrying Value	Total	Fair Value Measurement Using		
			Quoted Prices in Active Markets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Assets measured at fair value -					
Financial assets at FVTPL	₱585,656	₱585,656	₱–	₱585,656	₱–
Assets for which fair value is disclosed:					
Other noncurrent assets:					
Security and other deposits	4,508,185	2,032,550	–	–	2,032,550
Employee car plan receivables	190,634	138,809	–	–	138,809

Quantitative disclosure fair value measurement hierarchy for assets as at December 31, 2024 (Audited):

	Carrying Value	Total	Fair Value Measurement Using		
			Quoted Prices in Active Markets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Assets measured at fair value -					
Financial assets at FVTPL	₱585,580	₱585,580	₱–	₱585,580	₱–
Assets for which fair value is disclosed:					
Other noncurrent assets:					
Security and other deposits	4,272,588	1,926,329	–	–	1,926,329
Employee car plan receivables	187,355	136,422	–	–	136,422

Quantitative fair value measurement hierarchy for liabilities as at December 31, 2024 (Audited):

	Date of Valuation	Total	Fair Value Measurement Using		
			Quoted Prices in Active Markets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Liabilities disclosed at fair value:					
Tenants' deposit	December 31, 2024	₱3,578	₱–	₱–	₱3,578
Long-term debt	December 31, 2024	16,052,579	–	–	16,052,579

Quantitative fair value measurement hierarchy for liabilities as at December 31, 2023 (Audited):

	Date of Valuation	Total	Fair Value Measurement Using		
			Quoted Prices in Active Markets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Liabilities disclosed at fair value:					
Tenants' deposit	December 31, 2023	₱3,261	₱–	₱–	₱3,261
Long-term debt	December 31, 2023	15,498,567	–	–	15,498,567

There were no transfers between Level 1 and Level 2 fair value measurements, and no transfers into and out of Level 3 fair value measurements during the period.

33. Notes to the Statements of Cash Flows

For the periods ended June 30, 2025 and 2024, movements in the Jollibee Group's liabilities and equity arising from financing activities follow:

	June 2025 (Unaudited)												June 30, 2025
	January 1, 2025	Cash Flows	Dividends Declared (Note 19)	Granted Stock Options to Employees and Subsidiaries (Note 22)	Interest Expense (Note 23)	Amortization of Debt Issue Cost (Note 18)	Cumulative Translation Adjustments	Share in Net Earnings of Non- controlling Interest (Note 11)	Share in Cumulative Translation Adjustments of Non-controlling Interest (Note 11)	Additions (Note 29)	Pre- termination of Leases (Note 29)	Acquisition of a Subsidiary (Note 11)	
Dividends and distributions payable (see Note 16)	₱605.8	(₱2,136.5)	₱1,737.4	₱—	₱—	₱—	₱5.4	₱—	₱—	₱—	₱—	₱—	₱212.1
Short-term debt (Note 18)	6,472.2	4,764.1	—	—	—	—	(518.0)	—	—	—	—	—	10,718.3
Long-term debt (Note 18)	16,052.5	3,718.6	—	—	—	17.4	(112.9)	—	—	—	—	1,192.7	20,868.3
Senior debt securities (Note 18)	34,582.6	16,990.7	—	—	—	18.4	(1,136.6)	—	—	—	—	—	50,455.1
Interest payable (Note 16)	559.4	(1,761.8)	—	—	2,047.9	—	—	—	—	—	—	—	845.5
Lease liabilities (Note 29)	52,221.4	(5,669.9)	—	—	1,578.6	—	(436.6)	—	—	3,389.9	(567.8)	—	50,515.6
Preferred stock (Note 19)	12,000.0	—	—	—	—	—	—	—	—	—	—	—	12,000.0
Common stock (Note 19)	1,135.5	1.5	—	—	—	—	—	—	—	—	—	—	1,137.0
Additional paid-in capital (Note 19)	13,907.9	294.8	—	258.3	—	—	—	—	—	—	—	—	14,461.0
Senior perpetual securities (Note 19)	20,264.8	(23,236.9)	—	—	—	—	2,972.1	—	—	—	—	—	—
Non-controlling interest (Note 11)	1,263.8	—	(363.0)	—	—	—	—	297.8	181.3	—	—	103.8	1,483.7
Total liabilities and equity on financing activities	₱159,065.9	(₱7,035.4)	₱1,374.4	₱258.3	₱3,626.5	₱35.8	₱773.4	₱297.8	₱181.3	₱3,389.9	(₱567.8)	₱1,296.5	₱162,696.6

June 2024 (Unaudited)												
	January 1, 2024	Cash Flows	Dividends Declared (Note 19)	Granted Stock Options to Employees and Subsidiaries (Note 22)	Interest Expense (Note 23)	Amortization of Debt Issue Cost (Note 18)	Cumulative Translation Adjustments (in Millions)	Share in Net Earnings of Non- controlling Interest (Note 11)	Share in Cumulative Translation Adjustments of Non-controlling Interest (Note 11)	Additions (Note 29)	Pre-termination of Leases (Note 29)	June 30, 2024
Dividends and distributions payable	₱594.6	(₱1,949.4)	₱1,967.1	₱—	₱—	₱—	₱10.8	₱—	₱—	₱—	₱—	₱623.1
Short-term debt	5,751.7	25.2	—	—	—	—	269.9	—	—	—	—	6,046.8
Long-term debt	12,617.0	(2,473.7)	—	—	—	11.8	188.5	—	—	—	—	10,343.6
Senior debt securities	33,077.8	—	—	—	—	11.4	1,935.9	—	—	—	—	35,025.1
Interest payable	542.4	(1,255.7)	—	—	1,262.8	—	—	—	—	—	—	549.5
Lease liabilities	51,731.5	(5,445.1)	—	—	1,404.5	—	762.3	—	—	2,497.3	(27.4)	50,923.1
Preferred stock	12,000.0	—	—	—	—	—	—	—	—	—	—	12,000.0
Common stock	1,132.3	0.9	—	—	—	—	—	—	—	—	—	1,133.2
Additional paid-in capital	12,662.9	196.4	—	240.1	—	—	—	—	—	—	—	13,099.4
Senior perpetual securities	20,264.8	—	—	—	—	—	—	—	—	—	—	20,264.8
Non-controlling interest	(1,931.0)	—	(459.7)	—	—	—	—	233.0	(199.9)	—	—	(2,357.6)
Total liabilities and equity on financing activities	₱148,444.0	(₱10,901.4)	₱1,507.4	₱240.1	₱2,667.3	₱23.2	₱3,167.4	₱233.0	(₱199.9)	₱2,497.3	(₱27.4)	₱147,651.0

JOLLIBEE FOODS CORPORATION
Doing business under the name and style of Jollibee
AND SUBSIDIARIES

SRC Annex 68-J Schedules
June 30, 2025

- A. Financial Assets (Temporary Investments, Time Deposits and Financial Assets at Fair Value through Profit or Loss)
- B. Amounts Receivable from Directors, Officers, Employees, Related Parties and Principal Stockholders (Other than Related Parties)*
- C. Amounts Receivable from Related Parties which are Eliminated during the Consolidation of Financial Statements
- D. Long-term Debt
- E. Indebtedness to Related Parties*
- F. Guarantees of Securities of Other Issuers*
- G. Capital Stock

** These schedules, which are required by Revised SRC Rule 68 have been omitted because they are not applicable.*

JOLLIBEE FOODS CORPORATION

Doing business under the name and style of Jollibee

AND SUBSIDIARIES**SCHEDULE A: FINANCIAL ASSETS - Temporary Investments, Time Deposits and Financial Assets at Fair Value through Profit or Loss (FVTPL)****AS AT AND PERIOD ENDED JUNE 30, 2025***(Amounts in Thousand Pesos)*

	Name of Issuing Entity and Association of each use	Amount shown in the Consolidated Statement of Financial Position	Income Received and Accrued
<i>Financial Assets at Amortized Cost</i>			
Cash in banks and cash equivalents*	N/A	31,551,221	251,563
Short-term investments	N/A	715,420	15,080
Receivables:			
Trade	N/A	6,844,079	-
Advances to employees	N/A	1,670,329	-
Retirement fund	N/A	1,140,864	-
Employee car plan**	N/A	190,634	-
Security and other deposits**	N/A	4,508,185	-
		46,620,732	266,643
<i>Financial Assets at FVTPL</i>			
Investments in private equity	LCGP3 Fresh Flavors Holdings, LP	336,443	-
Investments in bond funds	Citibank	210,531	-
Equity investments	Tagaytay Highlands	27,000	-
Equity investments	Tagaytay Midlands	2,250	-
Equity investments	The Palms Country Club	2,000	-
Equity investments	Valle Verde Country Club, Inc.	950	-
Equity investments	The Rockwell Club	700	-
Equity investments	Tagaytay Country Club	600	-
Equity investments	Club Filipino	300	-
Equity investments	Celebrity Sports Plaza	300	-
Equity investments	Others	4,582	-
		585,656	-
Total Financial Assets		47,206,388	266,643

* Excludes cash on hand amounting to PHP389.3 million

** Includes current and noncurrent portion

JOLLIBEE FOODS CORPORATION
Doing business under the name and style of Jollibee
AND SUBSIDIARIES

SCHEDULE C - AMOUNTS RECEIVABLE FROM RELATED PARTIES WHICH ARE ELIMINATED DURING THE CONSOLIDATION OF FINANCIAL STATEMENTS

AS AT AND PERIOD ENDED JUNE 30, 2025

(Amounts in Thousand Pesos)

Name of Debtor	Balance at beginning of period	Additions	Amount collected	Equitized	Balance at end of period	Current	Noncurrent
Super Magnificent Coffee Co. Ltd.	19,485,090	1,487,845	(1,584,195)	-	19,388,740	5,306,240	14,082,500
SJBF LLC	12,676,719	2,014,258	(2,069,178)	-	12,621,799	3,530,137	9,091,662
Jollibee Worldwide Pte. Ltd.	10,972,952	7,167,320	(7,275,558)	-	10,864,714	4,443,094	6,421,620
Jollibee Foods Corporation	10,538,951	9,302,045	(10,898,085)	-	8,942,911	8,942,911	-
Honeybee Foods Corporation	5,803,924	854,066	(1,365,533)	-	5,292,457	5,292,457	-
Zenith Foods Corporation	4,273,926	4,736,124	(4,271,422)	-	4,738,628	4,738,628	-
Burger King Entities	4,171,297	1,847,348	(1,734,631)	-	4,284,014	4,284,014	-
SuperFoods Group	2,560,501	304,655	(75,283)	-	2,789,873	2,789,873	-
Jollibee Vietnam Corporation Ltd.	2,647,183	383,061	(285,846)	-	2,744,398	2,744,398	-
Jollibee (China) Food & Beverage Management Co. Ltd.	1,678,121	517,686	(72,380)	-	2,123,427	2,123,427	-
Jollibee Foods Corporation (USA)	1,732,499	376,437	(100,695)	-	2,008,241	2,008,241	-
Red Ribbon Bakeshop, Inc. (USA)	1,509,851	211,858	(210,309)	-	1,511,400	1,511,400	-
Red Ribbon Bakeshop, Inc.	1,516,776	1,406,221	(1,471,131)	-	1,451,866	1,451,866	-
International Coffee & Tea LLC	1,327,437	1,031,433	(1,098,460)	-	1,260,410	133,810	1,126,600
Tokyo Teriyaki Corporation	1,246,789	123,094	(285,804)	-	1,084,079	1,084,079	-
Fresh N' Famous Foods, Inc.	1,249,802	3,496,163	(4,023,373)	-	722,592	722,592	-
Freemont Foods Corporation	773,997	6,929,093	(7,059,246)	-	643,844	643,844	-
JSF Investments Pte. Ltd.	1,623,875	153,883	(1,355,692)	-	422,066	422,066	-
Others	3,504,812	2,120,297	(2,179,404)	-	3,445,705	3,445,705	-
	89,294,502	44,462,887	(47,416,225)	-	86,341,164	55,618,782	30,722,382

JOLLIBEE FOODS CORPORATION
Doing business under the name and style of Jollibee
AND SUBSIDIARIES

SCHEDULE D: LONG-TERM DEBT

AS AT JUNE 30, 2025

(Amounts in Thousand Pesos)

Title of Issue and Type of Obligation	Amount Authorized by Indenture	Amount Shown Under Caption Current Portion of	Amount Shown Under Caption Noncurrent Portion
		Long-term Debt in Related Consolidated Statement of Financial Position	of Long-term Debt in Related Consolidated Statement of Financial Position
US dollar-denominated:			
Three-year unsecured loan	1,689,900	-	1,689,900
Vietnam dong-denominated:			
Five-year unsecured loan	28,376	28,376	-
Five-year unsecured loan	40,969	18,208	22,761
Five-year unsecured loan	147,183	42,070	105,113
Five-year unsecured loan	551,205	211,671	339,534
Three-year and 6 months unsecured loan	494,780	179,920	314,860
Two-year unsecured loan	162,128	129,702	32,426
Singapore dollar-denominated:			
Three-year unsecured loan	360,344	216,206	144,138
Malaysian ringgit-denominated:			
Three-year unsecured loan	247,715	-	247,715
Three-year unsecured loan	314,665	-	314,665
Philippine peso-denominated:			
Seven-year unsecured loan	135,000	135,000	-
Five-year unsecured loan	1,500,000	1,000,000	500,000
Seven-year unsecured loan	3,500,000	-	3,500,000
Five-year unsecured loan	3,000,000	562,500	2,437,500
Seven-year unsecured loan	5,800,000	-	5,800,000
Seven-year unsecured loan	5,713	5,713	-
Five-year unsecured loan	1,125,000	750,000	375,000
Five-year unsecured loan	375,000	250,000	125,000
Seven-year unsecured loan	487,500	12,500	475,000
Tim Ho Wan loans	1,004,070	869,657	134,413
Unamortized debt issue costs	(101,230)	(13,060)	(88,170)
Total	20,868,318	4,398,463	16,469,855

JOLLIBEE FOODS CORPORATION
Doing business under the name and style of Jollibee
AND SUBSIDIARIES
SCHEDULE G: CAPITAL STOCK
AS AT JUNE 30, 2025

Title of Issue	Number of Shares Authorized	Number of Shares Issued and Outstanding	Number of Shares Reserved for Options, Warrants, Conversions, and Other Rights	Number of Shares Held by		
				Affiliates	Directors, Officers and Employees	Others
Preferred Shares	20,000,000	12,000,000	3,000,000	-	-	9,000,000
Common Shares	1,430,000,000	1,136,999,252	16,447,340	484,901,539	117,108,708	518,541,665

JOLLIBEE FOODS CORPORATION AND SUBSIDIARIES
Doing business under the name and style of Jollibee
AND SUBSIDIARIES

SCHEDULE OF FINANCIAL SOUNDNESS INDICATORS

FOR THE PERIOD ENDED JUNE 30, 2025 AND YEAR ENDED DECEMBER 31, 2024

		June 2025	December 2024
		(Unaudited)	(Audited)
i.	Current ratio		
	<u>Current assets</u>	0.98	0.96
	<u>Current liabilities</u>		
ii.	Acid test ratio		
	<u>Cash and cash equivalents + Short-term investments + Current receivables</u>	0.59	0.59
	<u>Current liabilities</u>		
iii.	Solvency ratio		
	<u>Net income + Depreciation and amortization</u>		
	<u>Total liabilities</u>	0.16	0.17
iv.	Debt to equity ratio		
	<u>Total debt*</u>		
	<u>Total debt + Equity attributable to equity holders of the Parent Company</u>	0.71	0.70
	Net debt to equity ratio		
	<u>Total debt* - Cash and cash equivalents - Short-term investments</u>		
	<u>(Total debt* - Cash and cash equivalents - Short-term investments) + Equity attributable to equity holders of the Parent Company</u>	0.67	0.66
v.	Asset to equity ratio		
	<u>Total assets</u>	3.52	3.61
	<u>Equity attributable to equity holders of the Parent Company</u>		
vi.	Interest rate coverage ratio		
	<u>Earnings before interest expense and taxes</u>	3.37	3.46
	<u>Interest expense</u>		
vii.	Return on equity		
	<u>Net income attributable to equity holders of the Parent Company</u>		
	<u>Average Equity attributable to equity holders of the Parent Company</u>	0.15	0.15
viii.	Return on assets		
	<u>Net income</u>		
	<u>Total assets</u>	0.04	0.04
ix.	Net profit margin		
	<u>Net income</u>	0.04	0.04
	<u>Revenue</u>		
x.	Debt service coverage ratio		
	<u>Net income</u>		
	<u>Total liabilities</u>	0.06	0.06

**Including both total current and total noncurrent liabilities*

JOLLIBEE FOODS CORPORATION
Doing business under the name and style of Jollibee
AND SUBSIDIARIES

Management Discussion and Analysis of
Results of Operations and Financial
Condition

The following Management Discussion and Analysis should be read in conjunction with the submitted Unaudited Consolidated Financial Statements as at June 30, 2025 and December 31, 2024 and for the six months ended June 30, 2025 and 2024.

The accounting policies adopted are consistent with those of the previous financial year, except for the adoption of new accounting pronouncements starting January 1, 2025. Adoption of these pronouncements did not have any significant impact on the consolidated statement of financial position and performance unless otherwise indicated.

Please refer to Note 2 of the attached Unaudited Consolidated Financial Statements for the Basis of Preparation, Statement of Compliance, Changes in Accounting Policies and Basis of Consolidation.

Results of Operations

Causes for any material variances
(Increase or decrease of 5% or more in the Income Statement)

For the Period Ended June 30, 2025 vs. June 30, 2024
(All Amounts are in Million Pesos, except when otherwise indicated)

On August 16, 2024, Jollibee Foods Corporation (JFC), also known as Jollibee Group, included Jolli-K Co. Ltd. (Jolli-K) in its financial consolidation. Jolli-K, a company incorporated in South Korea, owns Compose Coffee Co. Ltd. and Compose Coffee Smart Company Ltd. (formerly known as JMCF Co. Ltd).

The table below shows the contribution of Compose Coffee to the Jollibee Group's revenues:

Q2 2025	% Incremental Contribution
Revenues	5.1%
Gross Profit	1.4%
Operating Income	1.0%
Net Income	0.8%
Net Income Attributable to Equity Holders of the Company	0.6%

See Note 11 to the accompanying Unaudited Consolidated Financial Statements for details.

Revenues and System Wide Sales (SWS)

Consolidated revenues increased by ₱10,410.5 million or 15.5%, to ₱77,626.1 million for Q2 2025 compared to Q2 2024. For 1H 2025, consolidated revenues increased by ₱19,331.9 million or 15.0% to ₱147,851.7 million compared to the same period last year.

The increase in revenues was driven by the favorable impact of acquisitions and increase in organic revenues.

	Quarters Ended June 30		Change			Six Months Ended June 30		Change	
	2025 (Unaudited)	2024 (Unaudited)	Amount	Pct		2025 (Unaudited)	2024 (Unaudited)	Amount	Pct
System-wide Sales	114,541.5	95,798.9	18,742.7	19.6%		217,738.3	182,625.6	35,112.7	19.2%
Revenues	77,626.1	67,215.5	10,410.5	15.5%		147,851.7	128,519.8	19,331.9	15.0%

SWS is the Jollibee Group's measure for all sales to consumers, both from company-owned and franchised stores. Consolidated SWS increased by ₱18,742.7 million or 19.6% to ₱114,541.5 million for Q2 2025 compared to the SWS for Q2 2024.

For 1H 2025, consolidated SWS increased by ₱35,112.7 million or 19.2% to ₱217,738.3 million compared to the same period last year.

The tables below show a breakdown of the growth of the Jollibee Group's SWS by region/business for the periods ended June 30, 2025 and 2024:

Quarter 2 2025 (Unaudited)					Impact of
		Same Store Sales	New Store	Acquisition-driven	FOREX on
	SWS Growth	Growth	Contribution	Growth	SWS
	Percent				
Philippines	11.3	6.4	4.9	-	
People's Republic of China (China)	0.1	3.9	(1.3)	-	(2.5)
North America	(1.2)	2.0	(0.4)	-	(2.7)
Europe, Middle East, Asia (EMEA)	17.8	7.7	12.5	-	(2.3)
Coffee Bean & Tea Leaf (CBTL)	14.0	4.9	11.8	-	(2.7)
Highlands Coffee	7.4	4.4	8.6	-	(5.6)
Milksha	7.1	4.7	0.2	-	2.2
Compose Coffee	-	-	-	100.0	-
Tim Ho Wan (China)	(21.1)	(14.1)	(4.5)	-	(2.5)
Tim Ho Wan (Global)	-	-	-	100.0	-
International	32.6	4.1	5.6	25.6	(2.7)
Global	19.6	5.5	5.1	10.0	(1.1)

Quarter 2 2024 (Unaudited)				Newly Acquired	Impact of
		Same Store Sales	New Store	Business	FOREX on
	SWS Growth	Growth	Contribution	Contribution	SWS
	Percent				
Philippines	12.1	9.1	2.9	-	-
People's Republic of China (China)	(12.7)	(13.4)	0.2	-	0.6
North America	8.5	5.1	(0.5)	-	3.9
Europe, Middle East, Asia (EMEA)	30.3	16.8	10.5	-	3.0
Coffee Bean & Tea Leaf (CBTL)	25.6	11.4	10.3	-	3.9
Highlands Coffee	16.1	(3.3)	17.8	-	1.6
Milksha	5.2	6.8	(0.1)	-	(1.4)
International	12.0	4.7	4.8	-	2.5
Global	12.1	7.4	3.6	-	1.0

1H 2025 (Unaudited)					Impact of
		Same Store Sales	New Store	Acquisition-driven	FOREX on
	SWS Growth	Growth	Contribution	Growth	SWS
	Percent				
Philippines	11.6	7.4	4.2	-	-
People's Republic of China	(3.4)	(2.3)	(1.0)	-	(0.1)
North America	0.0	1.1	(1.5)	-	0.4
Europe, Middle East, Asia (EMEA)	18.8	6.5	12.2	-	0.1
Coffee Bean & Tea Leaf	14.2	3.9	9.9	-	0.4
Highlands Coffee	11.1	4.4	8.9	-	(2.2)
Milksha	4.6	3.9	0.1	-	0.6
Compose Coffee	-	-	-	100.0	-
Tim Ho Wan (China)	(23.4)	(16.5)	(6.7)	-	(0.1)
Tim Ho Wan (Global)	-	-	-	100.0	-
International	31.1	2.4	4.4	24.2	0.1
Global	19.2	5.5	4.2	9.5	0.0

1H 2024 (Unaudited)	Impact of				
	SWS Growth	Same Store Sales Growth	New Store Contribution	Acquisition-driven Growth	FOREX on SWS
	Percent				
Philippines	11.1	8.1	3.0	-	-
People's Republic of China	(8.0)	(8.7)	1.9	-	(1.2)
North America	9.4	3.3	3.1	-	3.0
Europe, Middle East, Asia (EMEA)	28.0	15.8	10.6	-	1.6
Coffee Bean & Tea Leaf	20.9	6.8	11.1	-	3.0
Highlands Coffee	12.6	(6.2)	17.7	-	1.1
Milksha	6.3	7.7	(0.1)	-	(1.3)
International	11.5	3.5	6.8	-	1.3
Global	11.3	6.3	4.5	-	0.5

- (1) Same store sales growth (SSSG) refers to food sales (net of discount and returns) of Jollibee Group-owned and franchised stores that have been in operation for at least 15 months. It excludes sales from new store openings.
- (2) New store contribution refers to the impact of newly opened stores during the period.
- (3) Acquisition-driven growth refers to the incremental sales contribution by a newly acquired majority-owned business during the period.
- (4) Foreign exchange rate changes refer to the impact of currency fluctuations. To eliminate the impact of currency fluctuations, the Jollibee Group utilizes constant currencies by converting current SWS using the prior period's average exchange rate.

SWS of the Philippines business for Q2 2025 grew by 11.3%, with Jollibee and Mang Inasal increasing by 13.3% and 13.9%, respectively. SWS of the Philippines business for 1H 2025 grew by 11.6%.

The growth in SWS was fueled by the Philippine brands' value offerings (e.g., Mix and Match, Jollibee Meal Savers, etc.), and election-related spending. Stronger sales during celebratory occasions and end-of-school year activities also helped boost Q2 2025 sales.

International business' SWS for Q2 2025 grew by 32.6%, and 31.1% for 1H 2025, largely driven by Compose Coffee and the strong performance of Jollibee international and other coffee and tea brands.

The table below shows the breakdown of Jollibee Group's SSSG by region for the period ended June 30, 2025:

Region/Brand	Same Store Sales (SSS)	Transaction Count (TC)	Average Check (AC)
	% Growth vs Q2 2024		
Philippines	6.4%	1.4%	5.0%
People's Republic of China (China)	3.9%	15.4%	-9.9%
North America Asian Brands	7.8%	5.4%	2.3%
Smashburger	-9.9%	-10.7%	0.9%
Europe, Middle East, Asia (EMEA)	7.7%	14.3%	(5.8%)
Coffee Bean & Tea Leaf (CBTL)	4.9%	1.4%	3.4%
Highlands Coffee	4.4%	2.3%	2.0%
Milksha	4.7%	3.8%	0.9%
Compose Coffee	-	-	-
Tim Ho Wan (China)	-14.1%	-3.9%	-10.6%
International	4.1%	6.2%	(2.0%)
Global	5.5%	2.8%	2.7%

SSSG of the Philippine business was 6.4% from a volume growth of 1.4% and a 5.0% increase in average check.

SSSG of the international business was at 4.1%. North America Asian brands increased by 7.8%, EMEA by 7.7%, CBTL by 4.9%, Milksha by 4.7%, Highlands Coffee by 4.4%, and China 3.9%. Tim Ho Wan (China) and Smashburger SSSG declined by 14.1% and 9.9%, respectively.

As at June 30, 2025, the Jollibee Group had 10,119 company-owned and franchised stores globally, growing 45.5% year-over-year. Organically, the Jollibee Group's store network grew by 4.2%.

The Jollibee Group opened 473 new stores during the 1H 2025: 88 in the Philippines and 385 overseas (43 in China, 16 in EMEA, 5 in NA and 5 Tim Ho Wan). The Jollibee Group's coffee and tea brands, Compose Coffee, CBTL, Highlands Coffee, and Milksha continued to drive the growth in store network with the opening of 192, 48, 62 and 14 stores, respectively. A total of 178 stores were permanently closed during the quarter: 46 in the Philippines and 132 abroad. *Note: Please refer to Key Topline Measures per Brand on page 11 for details of store network, SWS and SSS growth by brand.*

Direct Costs

Consolidated direct costs for Q2 2025 increased to ₱62,811.8 million, an increase of ₱8,692.0 million or 16.1% compared to the consolidated direct costs for Q2 2024. For 1H 2025, consolidated direct costs increased to ₱119,990.6 million, an increase of ₱15,785.3 million or 15.1% compared to the consolidated direct costs for 1H 2024.

The increase was primarily a result of an increase in: (i) cost of inventories and (ii) store and manufacturing costs arising from the Jollibee Group's organic expansion and new acquisitions.

The following table summarizes the breakdown of the Jollibee Group's direct costs for the periods ended June 30, 2025 and 2024 and the percentage of each component and the consolidated cost of sales to consolidated revenues:

	Quarters Ended June 30				Change		Pct to Rev		Six Months Ended June 30				Change		Pct to Rev	
	2025 (Unaudited)	2024 (Unaudited)	Amount	Pct	2025	2024	2025	2024	2025 (Unaudited)	2024 (Unaudited)	Amount	Pct	2025	2024	2025	2024
<i>Cost of Sales</i>																
Cost of inventories	37,777.6	31,197.6	6,580.0	21.1%	48.7%	46.4%			70,868.1	59,695.8	11,172.3	18.7%	47.9%	46.4%		
Personnel costs:																
Salaries, wages and other employee benefits	7,900.2	7,206.8	693.3	9.6%	10.2%	10.7%			15,646.4	13,838.3	1,808.1	13.1%	10.6%	10.8%		
Pension expense	47.2	43.6	3.6	8.2%	0.1%	0.1%			91.9	84.8	7.0	8.3%	0.1%	0.1%		
Depreciation and amortization	4,293.3	4,149.2	144.2	3.5%	5.5%	6.2%			8,559.2	8,214.6	344.6	4.2%	5.8%	6.4%		
Contracted services	2,615.6	2,534.1	81.4	3.2%	3.4%	3.8%			5,058.4	4,872.3	186.0	3.8%	3.4%	3.8%		
Rent	1,973.8	1,678.3	295.4	17.6%	2.5%	2.5%			3,923.7	3,389.1	534.6	15.8%	2.7%	2.6%		
Electricity and other utilities	1,854.5	1,677.6	176.9	10.5%	2.4%	2.5%			3,533.1	3,200.1	333.0	10.4%	2.4%	2.5%		
Supplies	919.1	853.8	65.4	7.7%	1.2%	1.3%			1,788.3	1,674.1	114.2	6.8%	1.2%	1.3%		
Repairs and maintenance	823.1	789.7	33.3	4.2%	1.1%	1.2%			1,625.9	1,524.2	101.7	6.7%	1.1%	1.2%		
Security and janitorial	417.9	369.7	48.2	13.0%	0.5%	0.6%			797.4	708.7	88.7	12.5%	0.5%	0.6%		
Communication	109.7	113.3	(3.5)	-3.1%	0.1%	0.2%			212.8	221.6	(8.8)	-4.0%	0.1%	0.2%		
Professional fees	58.0	57.6	0.4	0.7%	0.1%	0.1%			124.9	97.8	27.1	27.7%	0.1%	0.1%		
Representation and entertainment	16.7	15.1	1.6	10.8%	0.0%	0.0%			34.0	30.3	3.7	12.4%	0.0%	0.0%		
Delivery costs, insurance and others	2,587.1	2,294.6	292.5	12.7%	3.3%	3.4%			5,043.5	4,488.3	555.2	12.4%	3.4%	3.5%		
	61,393.7	52,981.0	8,412.7	15.9%	79.1%	78.8%			117,307.5	102,040.0	15,267.5	15.0%	79.3%	79.4%		

The following discussion sets forth the components of direct costs and a trend analysis for each component, for the period ended June 30, 2025 as compared to the period ended June 30, 2024:

Cost of inventories increased, in line with the increase in revenues. As a percentage of revenues, consolidated cost of inventories increased YoY, primarily driven by the consolidation of Compose Coffee and Tim Ho Wan.

Personnel costs increased, primarily as a result of an increase in head count arising from the opening of new company-owned stores and the consolidation of Compose Coffee and Tim Ho Wan. Wage hikes in countries in which the Group operates also contributed to the increase in personnel costs.

Rent expenses increased, primarily as a result of an increase in company-owned stores, the consolidation of Compose Coffee and Tim Ho Wan and annual rent escalation.

Electricity and other utilities, supplies, repairs and maintenance and security and janitorial expenses increased, primarily as a result of an increase in the number of company-owned stores and the consolidation of Compose Coffee and Tim Ho Wan.

Professional fees for 1H 2025 increased versus same period last year, primarily as a result of an increase in legal consultancy fees, particularly for international business.

Representation and entertainment expenses increased, primarily driven by various projects of certain international business units.

Delivery costs, insurance and other expenses increased, primarily as a result of new company-owned stores that were opened during the year and the consolidation of Compose Coffee and Tim Ho Wan.

Cost of services – advertising increased, in line with the increase in system-wide sales.

Gross Profit

As a result of the foregoing, gross profit increased by ₱1,718.5 million or 13.1%, from ₱13,095.8 million for Q2 2024 to ₱14,814.3 million for Q2 2025. Gross profit margin declined by 40 bps from 19.5% for Q2 2024 to 19.1% for Q2 2025.

For 1H 2025, gross profit increased by ₱3,546.6 million or 14.6%, from ₱24,314.5 million for Q2 2024 to ₱27,861.1 million for Q2 2025. Gross profit margin declined slightly by 10 bps from 18.9% for Q2 2024 to 18.8% for Q2 2025.

General and Administrative Expenses

General and administrative expenses increased by ₱613.6 million or 8.8%, from ₱7,002.1 million for Q2 2024 to ₱7,615.7 million for Q2 2025. For 1H 2025, general and administrative expenses increased by ₱1,346.6 million or 10.0%, from ₱13,459.9 million for Q2 2024 to ₱14,806.5 million for Q2 2025.

The increase was primarily a result of an increase in labour costs due to an increase in headcount as the Jollibee Group continues to invest in its organisation, particularly for its international business. The consolidation of Compose Coffee and Tim Ho Wan also contributed to the increase.

	Quarters Ended June 30				Change		Pet to Rev		Six Months Ended June 30				Change		Pet to Rev	
	2025 (Unaudited)	2024 (Unaudited)	Amount	Pct	2025	2024	2025	2024	2025 (Unaudited)	2024 (Unaudited)	Amount	Pct	2025	2024	2025	2024
Personnel costs:																
Salaries, wages and other employee benefits	4,189.8	3,873.9	315.9	8.2%	5.4%	5.8%	8,251.7	7,447.9	803.9	10.8%	5.6%	5.8%				
Stock options expense	129.2	120.1	9.1	7.6%	0.2%	0.2%	258.3	240.1	18.2	7.6%	0.2%	0.2%				
Pension expense	60.4	54.7	5.7	10.5%	0.1%	0.1%	115.7	104.6	11.1	10.6%	0.1%	0.1%				
Taxes and licenses	772.0	719.5	52.5	7.3%	1.0%	1.1%	1,507.8	1,405.2	102.6	7.3%	1.0%	1.1%				
Contracted services	390.8	276.7	114.1	41.2%	0.5%	0.4%	710.1	556.2	153.9	27.7%	0.5%	0.4%				
Professional fees	355.5	381.0	(25.5)	-6.7%	0.5%	0.6%	721.4	753.6	(32.2)	-4.3%	0.5%	0.6%				
Membership and subscriptions	252.8	226.8	26.1	11.5%	0.3%	0.3%	518.7	411.9	106.8	25.9%	0.4%	0.3%				
Depreciation and amortization	249.0	170.2	78.8	46.3%	0.3%	0.3%	479.6	340.1	139.5	41.0%	0.3%	0.3%				
Transportation and travel	187.6	174.2	13.5	7.7%	0.2%	0.3%	359.9	347.1	12.7	3.7%	0.2%	0.3%				
Donations	165.4	139.2	26.3	18.9%	0.2%	0.2%	168.4	144.6	23.8	16.5%	0.1%	0.1%				
Rent	131.8	125.3	6.5	5.2%	0.2%	0.2%	267.6	257.1	10.5	4.1%	0.2%	0.2%				
Corporate events	87.5	67.1	20.4	30.4%	0.1%	0.1%	220.0	150.4	69.5	46.2%	0.1%	0.1%				
Repairs and maintenance	83.7	97.7	(14.0)	-14.3%	0.1%	0.1%	132.2	168.8	(36.5)	-21.6%	0.1%	0.1%				
Loss on retirements and disposals of property, plant and equipment, insurance	79.2	33.8	45.4	134.2%	0.1%	0.1%	112.2	80.5	31.7	39.3%	0.1%	0.1%				
Impairment in value of:	64.4	48.4	16.0	33.2%	0.1%	0.1%	129.9	93.8	36.2	38.6%	0.1%	0.1%				
Receivables	44.7	10.0	34.7	346.9%	0.1%	0.0%	90.9	11.4	79.5	696.7%	0.1%	0.0%				
Inventories	8.4	10.6	(2.1)	-20.3%	0.0%	0.0%	12.7	73.4	(60.7)	-82.7%	0.0%	0.1%				
Property, plant & equipment	-	5.7	(5.7)	-100.0%	0.0%	0.0%	-	10.1	(10.1)	-100.0%	0.0%	0.0%				
Supplies	44.9	48.2	(3.3)	-6.8%	0.1%	0.1%	89.9	85.3	4.6	5.4%	0.1%	0.1%				
Communication	37.4	35.1	2.3	6.5%	0.0%	0.1%	67.0	66.4	0.6	0.9%	0.0%	0.1%				
Electricity and other utilities	17.6	14.9	2.6	17.7%	0.0%	0.0%	30.9	29.9	1.0	3.3%	0.0%	0.0%				
Representation and entertainment	14.2	16.2	(2.0)	-12.4%	0.0%	0.0%	40.0	31.3	8.7	27.6%	0.0%	0.0%				
Association dues	13.0	12.2	0.7	6.1%	0.0%	0.0%	26.3	23.7	2.6	11.0%	0.0%	0.0%				
Reversals of provision for impairment on:																
Inventories	(7.1)	(0.7)	(6.4)	-923.2%	0.0%	0.0%	(16.6)	(8.0)	(8.6)	-108.2%	0.0%	0.0%				
Property, plant & equipment	(4.0)	(0.8)	(3.2)	-402.9%	0.0%	0.0%	(10.0)	(24.7)	14.7	59.7%	0.0%	0.0%				
Receivables	(1.1)	-	(1.1)	0.0%	0.0%	0.0%	(1.1)	-	(1.1)	0.3%	0.0%	0.0%				
Security and janitorial	12.1	3.1	9.0	292.2%	0.0%	0.0%	22.4	13.5	8.9	66.2%	0.0%	0.0%				
Training	7.2	14.5	(7.3)	-50.4%	0.0%	0.0%	22.3	18.9	3.4	18.0%	0.0%	0.0%				
Research and development and others	229.4	324.7	(95.3)	-29.3%	0.3%	0.5%	478.4	626.8	(148.4)	-23.7%	0.3%	0.5%				
Total General and Administrative Expenses	7,615.7	7,002.1	613.6	8.8%	9.8%	10.4%	14,806.5	13,459.9	1,346.6	10.0%	10.0%	10.5%				
Advertising and promotions	1,161.5	1,024.3	137.2	13.4%	1.5%	1.5%	2,208.5	1,694.7	513.8	30.3%	1.5%	1.3%				
	8,777.2	8,026.4	750.8	9.4%	11.3%	11.9%	17,015.0	15,154.5	1,860.5	12.3%	11.5%	11.8%				

The following discussion sets forth the components of general and administrative expenses and a trend analysis for each component, for the period ended June 30, 2025 compared to June 30, 2024:

Personnel costs increased, primarily as a result of (1) headcount increase; and (2) higher performance-related increases in basic pay, employee promotions, bonuses and upgrades in employee benefits.

Taxes and licenses increased, primarily due to higher business-related taxes and license fees, both domestic and international businesses, resulting from an increase in revenues.

Contracted services expenses increased, primarily driven by the Group's business technology projects, consolidation of Compose Coffee and Tim Ho Wan and higher third-party service costs of Company's foreign subsidiaries.

Professional fees decreased primarily due to a high base in the prior year, which included one-time consulting engagements for a foreign subsidiary of the Jollibee Group.

Membership and subscription expenses increased, driven by various membership and subscriptions to digital platforms and services by Information Management and Digital Technology.

Depreciation and amortization increased, primarily due to the amortization of customer relationships of the Jollibee Group's foreign subsidiaries.

Transportation and travel increased driven by more frequent business trips to various markets where the Jollibee Group operates.

Donations increased mainly due to higher audited consolidated income in 2024 compared to 2023 which is the basis for donations made to the Jollibee Group Foundation, Inc. in 2025.

Corporate events expenses increased, primarily as a result of an increase in the Jollibee Group's events such as national conventions, particularly in the Philippines and North America. Increase in headcount and inflation contributed to the higher corporate events expenses.

Repairs and maintenance expenses decreased, primarily due to the timing of expense recognition in 2024.

The loss on retirements and disposals of property, plant and equipment pertains to loss incurred arising from change in store ownership, store renovations and closures.

Insurance expenses increased, primarily due to timing differences in the recording of expenses due to internal allocation delays and the late issuance of vendor invoices.

For the period ended June 30, 2025, the Jollibee Group recognized provisions for impairment in value of receivables and inventories totaling to ₱103.5 million. In addition, the Jollibee Group recognized a reversal of ₱27.7 million on previously recognized provisions for impairment on inventories, property, plant and equipment and receivables following certain assessments performed by the Jollibee Group.

Supplies expenses increased primarily due to the recognition of late billings from vendors of foreign subsidiaries and the consolidation of Compose Coffee and Tim Ho Wan.

Communication expenses increased primarily driven by the consolidation of Compose Coffee and Tim Ho Wan.

Electricity and other utilities increased mainly due to increased usage both by the Philippine and international businesses.

Representation and entertainment expenses increased, primarily as a result of increased activities relating to business acquisition, store and market presence expansion.

Association dues increased, primarily as a result of monthly subscription for recruitment advertising platforms of the Jollibee Group's foreign subsidiaries.

Security and janitorial expenses increased, primarily due to the recognition of late billings from vendors of Philippine subsidiaries and the consolidation of Compose Coffee and Tim Ho Wan.

Training expenses decreased due to timing in the recognition of costs under a multi-year training program.

Research and development (R&D) and other expenses decreased primarily as a result of lower various miscellaneous expenses partially offset by higher research and development expenses.

Advertising and Promotions

Advertising and promotions increased, primarily as a result of product launches and other marketing campaigns of the Philippine and international businesses to boost sales.

Operating Income

As a result of the foregoing, operating income increased by ₱967.7 million or 19.1%, from ₱5,069.3 million for Q2 2024 to ₱6,037.0 million for Q2 2025.

Interest Income (Expense)

Interest income decreased, primarily as a result of lower cash balance and lower PHP and USD money market placement interest rates.

Interest expense increased, primarily as a result of increased bank loans to fund growth initiatives and refinancing of senior perpetual securities.

	Quarters Ended June 30				Change		Pct to Rev		Six Months Ended June 30				Change		Pct to Rev	
	2025 (Unaudited)	2024 (Unaudited)	Amount	Pct	2025	2024	2025 (Unaudited)	2024 (Unaudited)	Amount	Pct	2025	2024	2025 (Unaudited)	2024 (Unaudited)	Amount	Pct
Interest income	164.9	239.5	(74.6)	-31.1%	0.2%	0.4%	318.4	461.5	(143.2)	-31.0%	0.2%	0.4%	318.4	461.5	(143.2)	-31.0%
Interest Expense:																
Financing	(1,061.4)	(633.5)	(428.0)	-67.6%	-1.4%	-0.9%	(2,048.0)	(1,262.9)	(785.1)	-62.2%	-1.4%	-1.0%	(2,048.0)	(1,262.9)	(785.1)	-62.2%
PFRS 16 Leases and Others	(792.9)	(736.8)	(56.0)	-7.6%	-1.0%	-1.1%	(1,579.4)	(1,405.8)	(173.6)	-12.3%	-1.1%	-1.1%	(1,579.4)	(1,405.8)	(173.6)	-12.3%
	(1,689.4)	(1,130.8)	(558.6)	-49.4%	-2.2%	-1.7%	(3,309.1)	(2,207.2)	(1,101.9)	-49.9%	-2.2%	-1.7%	(3,309.1)	(2,207.2)	(1,101.9)	-49.9%

Equity in Net Earnings of Joint Ventures and Associates - Net

Equity in net earnings of joint ventures and associates - net increased, as a result of higher equity in net earnings of Golden Bee (Jollibee UAE), C-Joy Poultry Meats Productions, Inc., Entrek (Jollibee Brunei) and Titan II, and lower equity in net losses of Panda Express and Tortazo.

Other Income - Net

For Q2 2025, other income – net increased, primarily from gain on pre-termination of leases. For 1H 2025, other income – net decreased primarily from lower unrealized gain on financial assets at FVTPL resulting from the redemption of a significant portion of the Jollibee Group’s investment in 2024, partly offset by gain from pre-termination of leases, lower forex loss due to appreciation of peso and one-time gain from disposal of investment in C-Joy Realty.

	Quarters Ended June 30				Change		Pct to Rev		Six Months Ended June 30				Change		Pct to Rev	
	2025 (Unaudited)	2024 (Unaudited)	Amount	Pct	2025	2024	2025 (Unaudited)	2024 (Unaudited)	Amount	Pct	2025	2024	2025 (Unaudited)	2024 (Unaudited)	Amount	Pct
Write-off of liabilities	373.8	346.1	27.7	8.0%	0.5%	0.5%	862.7	860.9	1.8	0.2%	0.6%	0.7%	862.7	860.9	1.8	0.2%
Bank charges	(228.8)	(230.7)	1.9	0.8%	-0.3%	-0.3%	(458.5)	(437.0)	(21.5)	-4.9%	-0.3%	-0.3%	(458.5)	(437.0)	(21.5)	-4.9%
Gain on pre-termination of lease agreements	86.7	0.2	86.5	NM	0.1%	0.0%	85.4	4.9	80.5	NM	0.1%	0.0%	85.4	4.9	80.5	NM
Foreign exchange loss - net	(48.0)	(91.4)	43.4	47.5%	-0.1%	-0.1%	(79.6)	(104.7)	25.1	23.9%	-0.1%	-0.1%	(79.6)	(104.7)	25.1	23.9%
Rebates, suppliers' incentives and government subsidies	39.2	100.6	(61.4)	-61.0%	0.1%	0.1%	86.1	181.2	(95.2)	-52.5%	0.1%	0.1%	86.1	181.2	(95.2)	-52.5%
Gain on disposal of an associate	20.1	-	20.1	0.0%	0.0%	0.0%	20.1	-	20.1	0.0%	0.0%	0.0%	20.1	-	20.1	0.0%
Other rentals	13.8	16.0	(2.3)	-14.1%	0.0%	0.0%	32.8	44.7	(11.9)	-26.6%	0.0%	0.0%	32.8	44.7	(11.9)	-26.6%
Penalties and charges	13.2	12.5	0.7	5.8%	0.0%	0.0%	25.1	25.2	(0.1)	-0.4%	0.0%	0.0%	25.1	25.2	(0.1)	-0.4%
Mark-to-market gain on financial assets at FVTPL	7.1	82.2	(75.1)	-91.3%	0.0%	0.1%	15.1	159.2	(144.1)	-90.5%	0.0%	0.1%	15.1	159.2	(144.1)	-90.5%
Charges to franchisees	2.0	6.3	(4.3)	-67.7%	0.0%	0.0%	9.5	8.3	1.2	14.8%	0.0%	0.0%	9.5	8.3	1.2	14.8%
Insurance claims and others	140.4	90.7	49.7	54.8%	0.2%	0.1%	214.8	163.6	51.2	31.3%	0.1%	0.1%	214.8	163.6	51.2	31.3%
Total Other Income - Net	419.7	332.7	87.1	26.2%	0.5%	0.5%	813.5	906.4	(92.9)	-10.2%	0.6%	0.7%	813.5	906.4	(92.9)	-10.2%

*NM - Not meaningful

Provision for Income Tax

Provision for income tax increased, primarily due to higher taxable income from improved profitability of certain subsidiaries.

Net Income

As a result of the foregoing, net income increased by ₱228.5 million or 7.2%, from ₱3,187.1 million for Q2 2024 to ₱3,415.6 million for Q2 2025.

For 1H 2025, net income increased slightly by ₱23.4 million or 0.4% to ₱5,914.5 million.

Net Income Attributable to Equity Holders of the Parent Company

Net income attributable to the equity holders of the Parent Company increased by ₱170.0 million or 5.6%, from ₱3,040.9 million for Q2 2024 to ₱3,210.9 million for Q2 2025.

For 1H 2025, net income attributable to the equity holders of the Parent Company decreased slightly by ₱41.5 million or -0.7% to ₱5,616.6 million.

Earnings per Share (Basic)

Earnings per share (basic) increased by ₱0.166 or 6.3%, from ₱2.622 for Q2 2024 to ₱2.788 for Q2 2025. For 1H 2025, earnings per share (basic) decreased slightly by ₱0.009 or -0.2% to ₱4.857.

Key Operating Measures

As at June 30, 2025 Versus June 30, 2024

Domestic and International Business – Contribution to Global

The table below sets forth a breakdown of JFC's key operating measures for domestic and international segments for the quarters and periods ended June 30, 2025 compared to 2024. Domestic business remains to be the main driver of growth contributing 72.6% Operating Income to Global JFC. International business posted an improvement as it contributed 27.4% Operating Income to Global JFC in 2025 compared to 17.4% in 2024.

Key Metrics	Quarters Ended June 30			Six Months Ended June 30		
	2025	2024	vs. LY	2025	2024	vs. LY
	% Contribution to Total		Change	% Contribution to Total		Change
Global Revenues	100.0%	100.0%	0.0	100.0%	100.0%	
Philippines	58.7%	61.4%	-2.7	58.5%	61.0%	-2.5
International	41.3%	38.6%	2.7	41.5%	39.0%	2.5
Global Direct Costs	100.0%	100.0%	0.0	100.0%	100.0%	
Philippines	58.7%	61.0%	-2.3	58.2%	60.7%	-2.5
International	41.3%	39.0%	2.3	41.8%	39.3%	2.5
Global Gross Profit	100.0%	100.0%	0.0	100.0%	100.0%	
Philippines	58.8%	63.0%	-4.2	59.7%	62.3%	-2.6
International	41.2%	37.0%	4.2	40.3%	37.7%	2.6
Global Opex and Ads	100.0%	100.0%	0.0	100.0%	100.0%	
Philippines	49.3%	50.7%	-1.4	47.8%	48.1%	-0.3
International	50.7%	49.3%	1.4	52.2%	51.9%	0.3
Global Operating Income	100.0%	100.0%	0.0	100.0%	100.0%	
Philippines	72.6%	82.6%	-10.0	78.4%	85.9%	-7.5
International	27.4%	17.4%	10.0	21.6%	14.1%	7.5
Global NIAT	100.0%	100.0%	0.0	100.0%	100.0%	
Philippines	95.6%	98.9%	-3.3	108.6%	104.6%	4.0
International	4.4%	1.1%	3.3	-8.6%	-4.6%	-4.0

Domestic and International Business – Profitability Margins

The table below sets forth a breakdown of JFC's key profitability margins for domestic and international segments for the quarters and periods ended June 30, 2025, compared to the same period in 2024.

Key Metrics	Quarters Ended June 30			Six Months Ended June 30		
	2025	2024	vs. LY	2025	2024	vs. LY
	Margins as % to Revenues		Change	Margins as % to Revenues		Change
Global Direct Costs	80.9%	80.5%	0.4	81.2%	81.1%	0.1
Philippines	80.9%	80.0%	0.9	80.8%	80.7%	0.1
International	81.0%	81.3%	-0.3	81.7%	81.7%	-0.0
Global Gross Profit	19.1%	19.5%	-0.4	18.8%	18.9%	-0.1
Philippines	19.1%	20.0%	-0.9	19.2%	19.3%	-0.1
International	19.0%	18.7%	0.3	18.3%	18.3%	0.0
Global Opex and Ads	11.3%	11.9%	-0.6	11.5%	11.8%	-0.3
Philippines	9.5%	9.9%	-0.4	9.4%	9.3%	0.1
International	13.9%	15.3%	-1.4	14.5%	15.7%	-1.2
Global Operating Income	7.8%	7.5%	0.3	7.3%	7.1%	0.2
Philippines	9.6%	10.1%	-0.5	9.8%	10.0%	-0.2
International	5.2%	3.4%	1.8	3.8%	2.6%	1.2
Global NIAT	4.1%	4.5%	-0.4	3.8%	4.4%	-0.6
Philippines	6.7%	7.3%	-0.6	7.1%	7.6%	-0.5
International	0.4%	0.1%	0.3	-0.8%	-0.5%	-0.3

EBITDA

The table below sets forth a breakdown of EBITDA for domestic and international segments for the quarter and period ended June 30, 2025 compared to same period in 2024.

Metrics in Pbp Mn	Quarters Ended June 30		Change vs LY		Six Months Ended June 30		Change vs LY	
	2025	2024	Amount	%	2025	2024	Amount	%
Philippines	6,523.4	6,436.2	87.3	1.4%	13,153.0	12,506.0	647.0	5.2%
People's Republic of China (China)	257.2	271.4	-14.2	-5.2%	221.0	532.2	-311.2	-58.5%
North America	697.9	875.4	-177.4	-20.3%	1,110.7	1,655.0	-544.3	-32.9%
Asian Brands	926.4	841.1	85.3	10.1%	1,713.8	1,475.8	238.1	16.1%
Smashburger	-228.5	34.2	-262.7	NM	-603.1	179.2	-782.4	NM
Europe, Middle East, Asia (EMEA) ¹	577.0	390.5	186.5	47.8%	1,052.4	789.7	262.7	33.3%
Coffee and Tea	2,724.2	1,540.9	1,183.2	76.8%	4,783.5	2,692.9	2,090.7	77.6%
CBTL	1,163.7	896.5	267.2	29.8%	1,855.2	1,381.6	473.6	34.3%
Highlands Coffee	608.0	573.9	34.2	6.0%	1,243.0	1,174.4	68.6	5.8%
Milksha	64.6	70.6	-6.0	-8.5%	135.1	136.9	-1.8	-1.3%
Compose Coffee	887.9	-	887.9	100.0%	1,550.3	-	1,550.3	100.0%
Tim Ho Wan	29.2	-38.0	67.2	176.7%	49.3	-25.2	74.4	295.7%
International	4,285.5	3,040.1	1,245.3	41.0%	7,216.9	5,644.5	1,572.4	27.9%
Others ²	344.1	347.1	-3.0	-0.9%	558.7	621.6	-62.9	-10.1%
Global	11,153.0	9,823.4	1,329.7	13.5%	20,928.6	18,772.2	2,156.4	11.5%

¹ EMEA key composition are as follows Q2: Vietnam Pbp354Mn +50%, Europe Pbp43Mn +23.1%, JB SG Pbp98Mn +48.1%, and JB HK Pbp82Mn +52%

² Non-operational entities hold mostly FVPTL assets and Management Fees

*NM - Not meaningful

Key Topline Measures per Brand

The table below sets forth a breakdown of JFC's key topline measures by brand for the period ended June 30, 2025 compared to the same period in 2024.

BU	Store Count			SWS % Contribution		% Growth vs Q2 2024		SWS % Contribution		% Growth vs 1H 2024	
	COO	FR	Total	Q2 2025	Q2 2024	SWS	SSS	1H 2025	1H 2024	SWS	SSS
Jollibee	440	871	1,311	34.9%	36.8%	13.3%	7.0%	35.0%	36.8%	13.3%	7.8%
Chowking	153	421	574	6.9%	7.7%	7.0%	2.3%	6.9%	7.6%	8.4%	4.1%
Greenwich	105	169	274	2.4%	2.9%	0.5%	-0.9%	2.4%	2.9%	0.9%	-0.1%
Red Ribbon	185	317	502	2.1%	2.3%	7.6%	8.4%	2.1%	2.3%	8.0%	9.7%
Mang Inasal	11	572	583	8.2%	8.6%	13.9%	12.0%	8.1%	8.4%	14.5%	13.8%
Burger King	131	-	131	1.8%	2.1%	-1.3%	-3.8%	1.8%	2.2%	-2.2%	-3.7%
Panda Express (JV)	29	-	29	0.3%	0.4%	9.0%	7.8%	0.3%	0.4%	6.9%	6.4%
Yoshinoya (JV)	9	-	9	0.1%	0.1%	10.0%	7.9%	0.1%	0.1%	6.7%	4.8%
Common Man Coffee Roasters	1	-	1	0.0%	0.0%	-12.9%	-12.9%	0.0%	0.0%	-18.6%	-12.9%
Tiong Bahru Bakery	1	-	1	0.0%	--	100.0%	--	0.0%	--	100.0%	--
Milksha	1	-	1	0.0%	--	100.0%	--	0.0%	--	100.0%	--
Multibrand	-	8	8	0.1%	0.1%	61.1%	7.9%	0.1%	0.1%	69.1%	9.6%
Philippines	1,066	2,358	3,424	56.9%	61.1%	11.3%	6.4%	56.8%	60.7%	11.6%	7.4%
Yonghe King	236	249	485	3.6%	4.3%	0.8%	3.4%	3.7%	4.5%	-2.7%	-3.5%
Hong Zhuang Yuan	28	10	38	0.4%	0.6%	-17.1%	-0.2%	0.4%	0.6%	-24.6%	-10.2%
Jollibee Hong Kong	15	5	20	0.5%	0.5%	11.6%	8.8%	0.5%	0.6%	12.1%	10.3%
Jollibee Macau	-	4	4	0.1%	0.1%	13.1%	18.3%	0.1%	0.1%	13.9%	18.7%
China	279	268	547	4.5%	5.4%	0.1%	3.9%	4.7%	5.8%	-3.4%	-2.3%
Jollibee NA	106	-	106	6.1%	6.5%	11.3%	9.4%	6.1%	6.6%	11.1%	8.0%
Red Ribbon	33	-	33	0.7%	1.0%	-11.2%	0.3%	0.7%	1.0%	-10.1%	-1.3%
Chowking	15	-	15	0.4%	0.5%	-1.4%	1.4%	0.4%	0.5%	0.3%	0.1%
North America Asian Brands	154	-	154	7.2%	8.0%	7.8%	7.8%	7.3%	8.0%	7.9%	6.4%
Smashburger	121	82	203	3.0%	4.3%	-17.8%	-9.9%	3.2%	4.4%	-14.3%	-9.0%
North America	275	82	357	10.2%	12.3%	-1.2%	2.0%	10.4%	12.4%	0.0%	1.1%
Jollibee - Other Asia	233	55	288	3.8%	3.6%	28.5%	10.0%	3.7%	3.5%	28.1%	8.3%
Jollibee - Europe / Guam	15	2	17	0.9%	0.9%	15.5%	9.5%	0.9%	0.9%	13.8%	7.4%
Jollibee Middle East	-	61	61	1.3%	1.5%	3.6%	5.7%	1.4%	1.5%	7.9%	5.6%
Chowking Middle East	-	34	34	0.3%	0.4%	-16.2%	-9.6%	0.3%	0.4%	-10.8%	-7.3%
EMEA	248	152	400	6.3%	6.4%	17.8%	7.7%	6.2%	6.2%	18.8%	6.5%
Coffee Bean & Tea Leaf	397	864	1,261	10.0%	10.5%	14.0%	4.9%	10.0%	10.4%	14.2%	3.9%
Highlands Coffee	765	131	896	2.2%	2.4%	7.4%	4.4%	2.3%	2.5%	11.1%	4.4%
Milksha	27	319	346	1.3%	1.5%	7.1%	4.7%	1.3%	1.5%	4.6%	3.9%
Compose Coffee	-	2,809	2,809	6.8%	--	100.0%	--	6.4%	--	100.0%	--
Tim Ho Wan	32	47	79	1.7%	0.3%	549.9%	-14.1%	1.8%	0.4%	480.8%	-16.5%
International	2,023	4,672	6,695	43.1%	38.9%	32.6%	4.1%	43.2%	39.3%	31.1%	2.4%
Global	3,089	7,030	10,119	100.0%	100.0%	19.6%	5.5%	100.0%	100.0%	19.2%	5.5%

**The reported same-store sales growth for Tim Ho Wan pertains solely to its China operations.*

Financial Condition

As at June 30, 2025 Versus December 31, 2024

Causes for any material variances

(Increase or decrease of 5% or more in the Balance Sheet)

The Jollibee Group's consolidated total assets increased by ₱5,669.7 million or 2.2% from ₱263,550.9 million as at December 31, 2024 to ₱269,220.6 million as at June 30, 2025. The following explain the significant movements in the asset accounts:

- The Jollibee Group's consolidated cash and cash equivalents amounted to ₱31,940.5 million as at June 30, 2025, an increase of ₱2,613.8 million or 8.9% from ₱29,326.6 million as at December 31, 2024. The movements in the Jollibee Group's cash and cash equivalents will be explained further in the cash flow discussion.
- Short-term investments amounted to ₱715.4 million as at June 30, 2025, an increase of ₱630.0 million or 737.2% from ₱85.5 million as at December 31, 2024, primarily due to the additional China business' money market placements with maturities of more than three months, but less than one year.
- Consolidated receivables and contract assets decreased by ₱956.4 million or -8.9% to ₱9,846.1 million as at June 30, 2025 from ₱10,802.5 million as at December 31, 2024, primarily due to improved collection of receivables of the Jollibee Group for commissary sales and royalty fees. In December 2024, collections were delayed due to the timing of the holidays. Days receivable improved from 13 days as at December 31, 2024 to 12 days at end of June 30, 2025.
- Consolidated inventories increased by ₱1,982.4 million or 14.3% to ₱15,855.1 million as at June 30, 2025 from ₱13,872.7 million as at December 31, 2024, primarily due to the consolidation of Compose Coffee and Tim Ho Wan. Days inventory increased by 1 day to 39 days versus December 31, 2024.

The Company has a current ratio of 0.98:1.00 as at June 30, 2025, slightly higher than the current ratio of 0.96:1.00 as at December 31, 2024.

- Interests in and advances to joint ventures, co-venturers and associates decreased by ₱9,709.3 million or -36.2% to ₱17,118.3 million as at June 30, 2025 from ₱26,827.6 million as at December 31, 2024 primarily due to the acquisition of Tim Ho Wan from Titan Dining LP (Titan), which the Jollibee Group started to consolidate in January 2025, and collection of advances from a co-venturer.
- Consolidated trademarks, goodwill and other intangible assets increased by ₱10,540.2 million or 15.5% to ₱78,334.6 million as at June 30, 2025 from ₱67,794.5 million as at December 31, 2024, primarily due to the acquisition of Tim Ho Wan partially offset by revaluation due to the appreciation of the Philippine Peso.

Consolidated current liabilities increased by ₱3,702.9 million or 5.4% to ₱72,122.2 million as at June 30, 2025 from ₱68,419.3 million as at December 31, 2024. The following explain the significant movements in current liabilities:

- Consolidated short-term debt increased by ₱4,246.1 million or 65.6% to ₱10,718.3 million as at June 30, 2025 from ₱6,472.2 million as December 31, 2024, primarily due to additional loans acquired by Smashburger, CBTL and Zenith for working capital business

requirements. See Note 18 to the accompanying Unaudited Consolidated Financial Statements for details.

- Consolidated current portion of long-term debt increased by ₱442.9 million or 11.2% to ₱4,398.5 million as at June 30, 2025 from ₱3,955.6 million as at December 31, 2024 primarily due to additional loans acquired by the Jollibee Group for its business requirements and the reclassification of long-term debt maturing within one year from non-current portion to current portion partially offset by payments made during the period.

Consolidated noncurrent liabilities increased by ₱18,600.8 million or 18.5% to ₱119,164.9 million as at June 30, 2025 from ₱100,564.1 million as at December 31, 2024. The following explain the significant movements in noncurrent liabilities:

- Senior debt securities pertain to the USD300.0 million 5-year Regulation S only USD-denominated senior unsecured guaranteed notes issued on April 02, 2025 with a coupon rate of 5.332%, payable semi-annually.
- Consolidated noncurrent portion of long-term debt increased by ₱4,372.9 million or 36.1% to ₱16,469.9 million as at June 30, 2025 from ₱12,097.0 million as at December 31, 2024, primarily due to additional loans acquired by the Jollibee Group for its business requirements and consolidation of Tim Ho Wan, offset by reclassification to current portion of loans maturing within one year. See Note 18 to the accompanying Unaudited Consolidated Financial Statements for details.
- Consolidated pension liability increased by ₱207.6 million or 7.3% to ₱3,059.0 million as at June 30, 2025 from ₱2,851.4 million as at December 31, 2024 primarily as a result of additional accruals during the period.

Consolidated total equity decreased by ₱16,633.9 million or -17.6% to ₱77,933.5 million as at June 30, 2025 from ₱94,567.4 million as at December 31, 2024. The following explain the significant movements in Equity:

- The Jollibee Group redeemed the remaining Senior Perpetual Securities amounting to USD396.5 million (₱20,264.8 million) part of non-controlling interests in January 2025.
- The change of ₱1,080.5 million or 59.5% in cumulative translation adjustment was primarily due to the impact of the settlement of the Senior Perpetual Securities and the divestment of JWPL's investment in Titan for the acquisition of Tim Ho Wan.
- Consolidated retained earnings increased by ₱3,936.9 million or 8.1% to ₱52,519.2 million as at June 30, 2025 from ₱48,582.4 million as at December 31, 2024, primarily as a result of the consolidated net income attributable to equity holders of the Parent Company of ₱5,616.6 million for the period offset by ₱1,679.8 million cash dividend payment for preferred shares and common shares. The Jollibee Group also disclosed the following in Q1 2025:
 - (i) Release of previously approved appropriated retained earnings in 2024 amounting to ₱23,400.0 million.
 - (ii) Appropriation of ₱38,000.0 million from the Parent Company's unappropriated retained earnings for capital expenditures in 2025 to 2026.
- The increase in noncontrolling interests by ₱219.9 million or 17.4% from ₱1,263.8 million as at December 31, 2024 to ₱1,483.7 million as at June 30, 2025 was primarily a result of the acquisition of Tim Ho Wan and the Jollibee Group's share in net earnings of non-wholly

owned subsidiaries partially offset by the remaining distribution on senior perpetual securities in January 2025.

Liquidity and Capital Resources

Jollibee Group's primary source of liquidity is its cash flow from operations generated from revenues coming from store operations, franchising, and commissary sales to stores.

Jollibee Group generated an EBITDA of ₱20,928.6 million for the period ended June 30, 2025, an increase of ₱2,156.4 million or 11.5% from ₱18,772.2 million for the period ended June 30, 2024.

Overall, the Jollibee Group has financed operations and capital expenditures (CAPEX) of its business units and additional investments primarily through its cash generated from its operations and local bank loans by the subsidiaries. The CAPEX spent for 1H 2025 amounted to ₱5,555.2 million, an increase of ₱335.9 million or 6.4% compared to the ₱5,219.2 million CAPEX for 1H 2024, primarily for new stores, store renovations and investments in technology and manufacturing. The Jollibee Group generated free cash flow after investments of ₱9,814.0 million (₱4,145.0 million if excluding lease payments) for 1H 2025.

Consolidated net cash provided by operating activities amounted to ₱15,223.8 million for the period ended June 30, 2025, a decrease of ₱3,259.9 million or 17.6% compared to the consolidated net cash provided by operating activities of ₱18,483.7 million for the period ended June 30, 2024. The decrease resulted primarily from an increase in cash used for working capital and income taxes paid during the period compared to the same period last year.

Consolidated net cash used in investing activities amounted to ₱5,528.9 million for the period ended June 30, 2025, an increase of ₱2,533.6 million or 84.6% from ₱2,995.3 million for the period ended June 30, 2024. The increase was primarily due to higher capital expenditures (CAPEX) for new stores and manufacturing facilities, partly offset by collection of advances from co-venturer, joint ventures and an associate. In contrast, 1H 2024, which included investments in Botrista and Titan Fund in addition to regular CAPEX but this was partially offset by the redemption of financial assets at FVTPL which amounted to ₱5,348.0 million.

Consolidated net cash used in financing activities amounted to ₱7,035.4 million for 1H 2025, a decrease of ₱3,866.0 million or -35.5% compared to the net cash used for financing activities of ₱10,901.4 million for 1H 2024. This was primarily a result of an increase in use of cash for the redemption of senior perpetual securities. The Jollibee Group acquired a USD300 million bridge loan and ₱5,800.0 million Peso term loan for the redemption of the senior perpetual securities. The Jollibee Group also acquired additional loans for its business requirements.

Cash and cash equivalents at June 30, 2025 stood at ₱31,940.5 million, a decrease of ₱5,865.8 million or 15.5% from the June 30, 2024 balance of ₱37,806.3 million.

Discussion and Analysis of Material Events and Uncertainties

1. Any event that triggers direct or contingent financial obligation that is material to the company, including any default or acceleration of an obligation.

No events during the period will trigger direct or contingent financial obligation material to the Jollibee Group.

2. Any material off-balance sheet transactions, arrangements, obligations (including contingent obligations), and other relationships of the company with unconsolidated entities or other persons created during the reporting period:

No material off-balance sheet transactions, arrangements, obligations were created during the reporting period.

3. Any material commitments for capital expenditures, the general purpose such commitments, and the expected sources of funds for such expenditures.

The Jollibee Group is allocating ₱18-21 billion for its CAPEX budget for 2025 for new stores and renovations, construction of a new manufacturing facility in Cebu, Philippines, maintenance of existing manufacturing facilities, main office improvements and investments in technology.

Funding for the 2025 CAPEX will come from Jollibee Group's internally generated funds and bank loans.

4. Any seasonal aspects that had a material effect on the financial condition or results of operations.

Food service operations have both peak and lean seasons. Historically, sales in the second and fourth quarters are strong, particularly in the Philippines, due to the summer and the Christmas seasons, respectively. Demand during the first and third quarters usually slackens. The material financial impact of this seasonality has been considered in the Jollibee Group's consolidated financial forecast.

5. Any known trends, events or uncertainties that have had or that are reasonably expected to have a material favorable or unfavorable impact on net sales or revenues or income from continuing operations should be described.

Increased commodity prices driven by rising inflation and fuel price hikes may impact consumer disposable income and spending habits thus affecting sales volumes. Continued increase in raw material prices, labor cost and freight charges may result in cost pressures for the Jollibee Group.

6. Any significant elements of income or loss that did not arise from the registrant's continuing operations.

The Jollibee Group's income arose from its continuing operations.

7. Events after the Reporting Period:

There are no events after the reporting period.

Five (5) Key Performance Indicators

System Wide Sales

System Wide Sales is a measure of all sales to consumers both from company-owned and franchised stores.

	YTD June 2025 (Unaudited)	YTD June 2024 (Unaudited)
System Wide Sales	₱217,738.3 million	₱182,625.6 million
% Growth vs LY	19.2%	11.3%

Revenues

Revenues is a measure of (1) all sales made by the Jollibee Group's company-owned stores (both food and novelty sales); (2) Commissary sales to franchised stores; (3) fees from stores operated by franchisees; (4) revenues from services rendered by the Jollibee Group in support of the QSR systems; and (5) scrap sales, rent, delivery fees and others.

	YTD June 2025 (Unaudited)	YTD June 2024 (Unaudited)
Revenues	₱147,851.7 million	₱128,519.8 million
% Growth vs LY	15.0%	10.9 %

Net Income Margin

Net Income Margin is the ratio of the Jollibee Group's earnings after interest and tax. This is computed by dividing consolidated net income by consolidated revenues. The quotient is expressed in percentage. This measures the Jollibee Group's return for every peso of revenue earned, after deducting cost of sales, operating expenses, interest and taxes.

	YTD June 2025 (Unaudited)	YTD June 2024 (Unaudited)
Net Income	₱5,914.5 million	₱5,891.1 million
% to Revenues	4.0%	4.6%

Basic Earnings Per Share (EPS)

EPS is the portion of the Jollibee Group's profit allocated to each outstanding share of common stock. This is computed by dividing the net income for the period attributable to the equity holders of the Parent Company by the weighted average outstanding shares during the same period. This serves as an indicator of the Jollibee Group's profitability.

	YTD June 2025 (Unaudited)	YTD June 2024 (Unaudited)
EPS (Basic)	₱4.857	₱4.866
% Growth vs LY	-0.2%	30.4%

Return on Equity (ROE)

ROE is the ratio of the Jollibee Group's net income attributable to equity holders of the Parent Company to equity. It is computed by dividing net income attributable to equity holders of the Parent Company by average equity attributable to equity holders of the Parent Company (average means average of the amounts as of the beginning and end of the same period). ROE is a measure of return for every peso of invested equity. The Jollibee Group also uses ROE for comparing its profitability with other firms in the same industry.

	YTD June 2025 (Unaudited)	YTD June 2024 (Unaudited)
Return on Equity	15.1%	16.0%

Financial Ratios

Jollibee Foods Corporation and Subsidiaries			
	Formula	Jun-25 Unaudited	Dec-24 Audited
Liquidity Ratios			
Current Ratio	$\frac{\text{Current Assets}}{\text{Current Liabilities}}$	0.98	0.96
Financial Leverage Ratios			
Asset to Equity Ratio	$\frac{\text{Total Assets}}{\text{Total Equity Attributable to Equity Holders of the Parent Company}}$	3.52	3.61
Debt Ratio	$\frac{\text{Total Debt*}}{\text{Total Debt + Equity Attributable to Equity Holders of the Parent Company}}$	71.4%	69.8%
Net Debt Ratio	$\frac{\text{Total Debt* - Cash and Cash Equivalents - Short-term Investments - Financial Assets at FVTPL}}{(\text{Total Debt* - Cash and Cash Equivalents - Short-term Investments - Financial Assets at FVTPL}) + \text{Equity Attributable to Equity Holders of the Parent Company}}$	67.5%	65.6%
Interest Coverage Ratio	$\frac{\text{Earnings before Interest and Taxes}}{\text{Interest Expense}}$	3.59	3.46
Solvency Ratio	$\frac{\text{Net Income (Loss) + Depreciation and Amortization**}}{\text{Total Liabilities}}$	0.16	0.17
Debt Service Coverage Ratio	$\frac{\text{Net Income (Loss)**}}{\text{Total Liabilities}}$	0.06	0.06
* Including both total current and total noncurrent liabilities			
** Annualized, computed as amounts for the six months ended 30 June 2025 divided by 6 multiplied by 12			